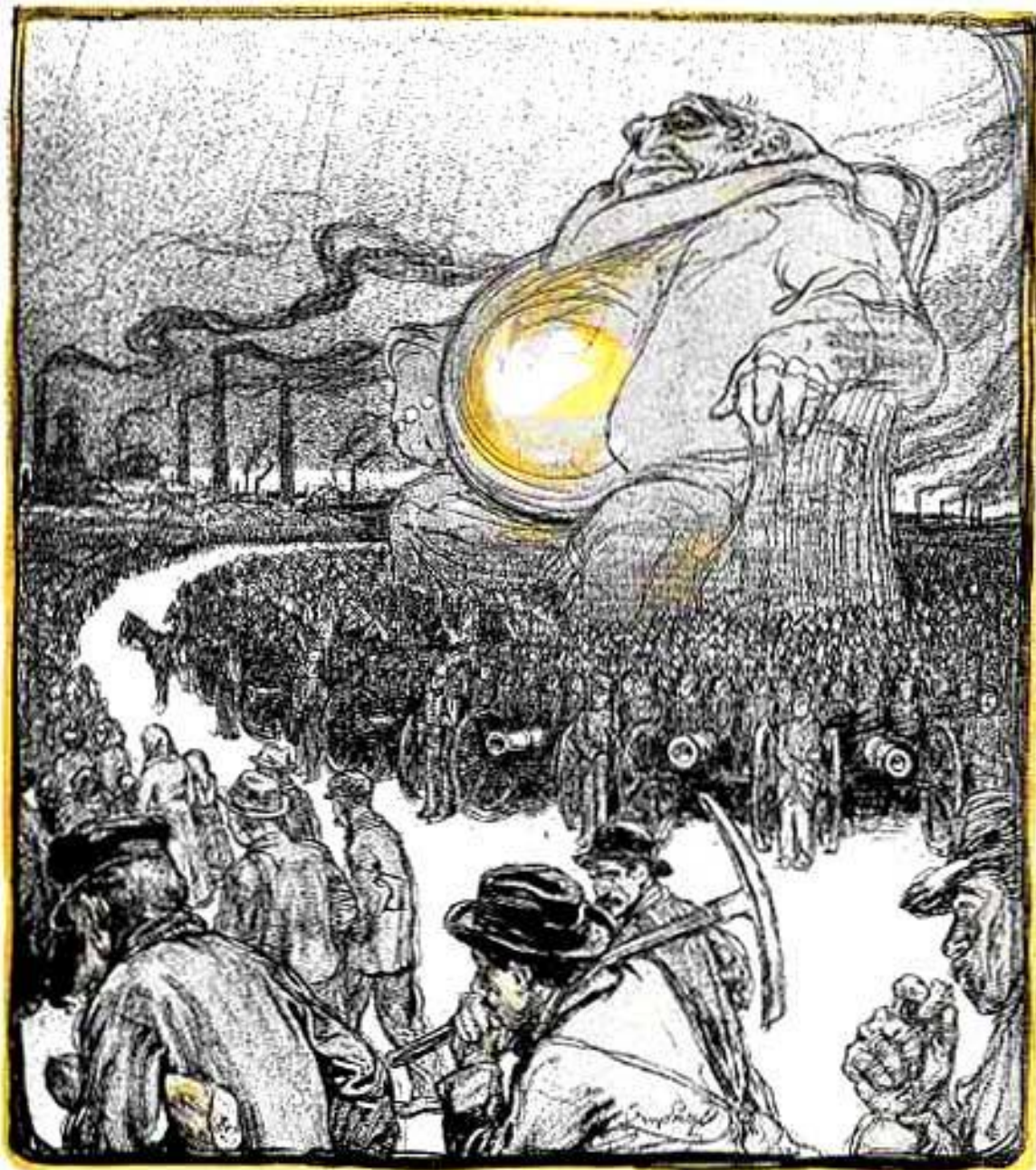


NOTES
FOR THE STUDY OF
Marx's CAPITAL: Volume One

G. Teeple
(Revised 2021)



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Marx's CAPITAL: Volume One

2021 (revised)

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 © G. Teeple (teeple@sfu.ca)
 Department of Sociology and Anthropology,
 Simon Fraser University
 Burnaby, B.C.

[This set of notes was first written in 1984; they have been successively revised/expanded to the present.]

NOTE:

These study notes are **for student use** and are meant only as a guide to the reading of Capital. They are designed to highlight the main points in the argument; they are intended to supplement the reading of the text; they are not a substitute for this reading.

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NB: All page references are to the Vintage or Penguin Edition, 1977.

I PREAMBLE

OBSTACLES TO UNDERSTANDING MARX

There are obstacles to understanding Marx that do not lie in the texts themselves; and it is important to address one of these impediments at the outset of our study of Capital. It lies in the existence of different structures of thought, sets of ideas, or conceptual frameworks that rest on premises that are fundamentally dissimilar from one another. One school of thought or conceptual framework can appear quite opaque, possibly even meaningless or incomprehensible, from the perspective of another. Unless one examines critically these structures of thinking, including one's own often unexamined acceptance of certain ideas and concepts, a different or alternative set of ideas may make little or no sense, or at the very least, be extremely difficult to grasp. *For many readers first coming to Marx, their own unexplored intellectual assumptions may well be the biggest barrier to grasping his work.*

We address briefly three such conceptual barriers/issues here, namely, **(A) materialism, (B) the dialectic, and (C) critique**. There are other barriers, for e.g., contemporary social science appreciation of induction/deduction, causality, motion or change, etc., but we omit these for lack of space.

A) Materialism: Empiricism versus Marx's Materialism

While Marx was a materialist, it is important to realize that there is more than one philosophical tradition of materialism. Although all materialists agree that science takes as its object a reality that is material/empirical and assumes that we can have knowledge of it, not all are agreed on the nature of that reality or how we acquire knowledge of it, or even what knowledge is. In other words, even amongst materialists, there is no agreement on the nature of reality, or our knowledge of it, or how we come to know it. For these reasons, we shall try to distinguish Marx's materialism from the current prevailing 'common sense' materialism that is often loosely referred to as empiricism or positivism.

Empiricism:

Often understood as the 'common sense' point of view, or the classical view of the physical sciences, it is a form of materialism that finds its roots in Democritus (about 460-370 BCE). It has come down to us as **empiricism**, a particular philosophical position that considers sense experience to be the only source of knowledge, and that stands opposed to forms of **rationalism** that see reason as the source of knowledge. It is widely accepted as the dominant version of the concept of knowledge and truth. Its main characteristics are commonly taken to be the following:

- i) Reality is a world divided: existence and essence (or Kant: phenomena and noumena):
 - phenomena are empirical and 'knowable' directly through the senses,
 - noumena (essence, 'thing-in-itself') are **not** knowable via the senses.

ii) Phenomena (existing things) are static (no inherent motion), discrete (unrelated), particular (self-sufficient), and absolute (no evolution or development).

iii) Chance and necessity (freedom and **determinism**) are mutually exclusive: freedom is defined as the absence of restraint; and necessity is determinist, i.e., things happen as they must, with no intervention of chance, accident, or freedom of will. They cannot co-exist.

iv) Science is *knowledge* of the particular, of the empirical, acquired and verifiable through the senses; *concepts* are the characteristics of the immediately and empirically given; *meaning* is the correspondence of the concept with the empirical characteristics of the real object; *theory* is a hypothetical statement about the order and persistence of the concrete characteristics of phenomena – verifiable by observation and experimentation.

Science for empiricists: knowledge of phenomena by means of the senses, or through experimentation.

Marx's Materialism:

Often this materialism is referred to as ‘dialectical’ or ‘historical materialism,’ some of the characteristics of which are noted here.

i) Reality is comprised of both existence (appearance) *and* essence (see in particular Chapters 19 and 20 and pp. 280, 421, 677, 680, 682, 683ff, 714, 729-30).

Both are knowable, both have a reality, and both must be pursued if there is to be knowledge.

‘Appearance’ is comprised of the objective existence of things, grasped through the **senses**; ‘essence’ is the defining characteristic of a thing grasped through **reason**.

There is no direct knowledge through the senses; ‘sense-data’ are always mediated by a given conceptual framework (concepts are comprised of the understood essences of things, and can be adequate, faulty, or mistaken). **Our knowledge of the world is always filtered/framed; unlike in empiricism, there is no unmediated, direct knowledge via the senses.** We receive data through our senses, data classified by the mind gives us information, and information placed in a theory or framework gives us knowledge (explanation).

ii) Phenomena (essence *and* appearance): all is motion; all is related; all things proceed through a life cycle of birth, growth, maturity, and demise.

iii) Chance and necessity: *chance* refers to the accidental, or freedom, but which is always framed or conditioned (i.e., **determination, not determinism**) by *necessity* or laws of nature or society. Chance and necessity are taken as **polar opposites**; they are **not** mutually exclusive; they are **not** a matter of either/or, but rather they **demand each other**

for their being; neither exists without the other. (*Some other examples of polar opposites: male/female, north/south, buy/sell, capital/labour, individual/society, theory/practice, use-value/exchange-value, etc.*)

iv) Science is the pursuit of the essence (the *sine qua non* of a thing); scientific *concepts* are comprised of the essence; knowledge is the grasp of phenomena as framed by the conceptualization of the essence; confirmation comes through practice or logic; *meaning* is the shared understanding of the essence. [‘All science,’ wrote Marx, ‘would be superfluous if the outward appearance of things coincided exactly with their essence’ (p. xxx). (See also: p. 433)]

In Marx’s materialism, then, one’s knowledge of the world is at all times mediated by a socially given conceptual framework; our understanding of reality is to this degree a socially determined/constructed understanding. *Knowledge of the real world exists only to the degree that society, according to its level of development and corresponding conceptual framework, acknowledges and understands it.* Knowledge, then, is both **relative** to time and place, and **absolute** in so far as it grasps the principle or essence (the concept) of a thing by means of critical reason/logic. (Marx’s Capital is just such an analysis of a historically given mode of production.)

Marx’s work cannot be understood without the notion of essence, and this makes his work difficult, or even impossible, to appreciate for the empiricist, post-modernist, and ‘analytical’ Marxist, and their concerns about ‘essentialism.’ The concept of essence was developed at the dawn of philosophy; the notion of ‘essentialism,’ depending on how it is defined, is largely a dismissal of philosophy. Without the concept of essence there can be no categories, no concepts, just a world of sheer particulars.

Science for Marx: the pursuit of essence of things by means of reasoning (induction and deduction) (p.682), confirmed through ‘**practice**’ and empirical evidence to give knowledge. [The origin of this notion of science is found in Epicurus (342-270 BCE).]

[If we cannot know the world except through a conceptual framework, then, the accuracy of our knowledge depends on the degree to which our society itself critically appreciates its own paradigms and, within these, the degree to which each of us critically examines our own understandings of them. (On this theme, see T. Kuhn, The Structure of Scientific Revolutions, 1962.)]

B) The Dialectic

Another obstacle to understanding Marx is the notion of the dialectic. The dialectic is **premised** on a view that understands reality as (a) relational, interconnected, (b) always in process or motion, and (c) comprising a ‘totality.’ There is, from this perspective, no such thing as static phenomena; there are only relative degrees of motion. (See: Preface p.101-2; and Intro p.18) This view of the world contrasts with empiricist views that generally assume the world as discrete, particular, static, and inert.

The dialectic is about *why and how this motion unfolds*, the reason why reality develops, moves from birth to death, from the implicit to explicit; it accounts for the nature of the passing of a thing through the period of its existence. Marx notes in a Preface to Capital and in The Communist Manifesto that capitalism is not absolute but continually transforms itself and produces the classes and the crises that will be its undoing.

There are **three laws of dialectical motion** found in Capital:

i) Unity/conflict of opposites (p.140, 181, 199, 208)

This law points to the contradictory nature of reality: here lies the key element of dialectics because this law contains the source of motion and evolution/revolution. A contradiction is a relation between two things that exist independently of each other but yet depend on each other for their existence – for e.g., north/south, slave/master, male/female, debts/assets, buy/sell, labour/capital, etc. It is the contradictory nature of capital explains the nature of its development, why it must come to an end, and what can follow. Contradiction defined this way should be distinguished from contrariety, which refers to two things whose mutual existence cannot be maintained, such as, fire and water, or love and hate; and neither depends on the other for its existence.

ii) Quantity into quality (p.422-4, 781)

This law points to the nature of change, i.e. stages of growth, development, that takes place as incremental *quantitative* changes until a point is reached at which the thing undergoing these changes becomes something *qualitatively* different, for e.g., water into ice/steam, individual private property into capital, competition into monopoly, etc.)

iii) Negation of the negation

This law refers to the broader nature of change as quantity into quality by pointing to each transformation as also containing the elements of the previous but in new forms. The famous example in Capital (p.929-30) points to individual private property being *negated* by capitalist private property and in turn being *negated* by socialism; the negation of the negation is the resolution of the contradiction that underlies the movement. Put another way: the future is prefigured in the past and the present.

C) Critique (as method of analysis/investigation: another obstacle)

Many of Marx's works are sub-titled 'critique' (Kritik) -- assuming that it means more than simply criticism, we must clarify its meaning. Critique, for Marx, is a form of judgment, assessment, or measurement of an existing phenomenon in light of its essence. While all criticism involves judgment, not all judgment is *value judgment*; it is important not to confuse 'critique' with subjective or moralistic evaluations. *A value judgment is an assessment that compares existence (what is) with what is thought should or ought to be.* Critique, for Marx, possesses none of the moral particularity of a value judgment.

[Despite the claims of numerous theorists, including Marxists, there is no moral argument in Capital. At times, Marx points to the consequences of capitalist development for humans and the environment, but *his argument in no way rests on a view that capitalism is 'wrong' or 'should' be something other than what it is, or should or must be overthrown because it is 'amoral,' 'inhuman,' 'unjust,' etc. Such views are unfortunately widespread, but they are as different from Marx's argument as cheese is from chalk.*]

Critique is carried out by examining/analyzing the nature of the appearance of a thing (empirical existence) and comparing it to its definition or its essence (the sine qua non of a thing; chief, necessary characteristics) -- which is determined through logical deduction from empirical data. *Again, there can be no grasp of Marx's argument without the concept of essence, which has no more to do with 'essentialism' than the concept of the empirical has to do with empiricism.*

The German Ideology by Marx and Engels is the critique of the German view of German (and human) history by comparing it to what Marx argues is the essence of what it means to be human (the 'first historical act') – a species defined by a social dynamic that makes continuous development central to its very being. That is, unlike other animals, humans are historical beings: they come to be through a history that is of their own making, albeit not a conscious one.

Capital is a critique of capitalism in a few senses. One, it is a critique of the justificatory/apologetic views of mainstream political economists by analyzing their concepts and by comparing them with a logical and empirical analysis of existing capitalism. It is also a critique of the nature of capitalism by comparing it to *consciously cooperative* productive and other social relations (pp.169-71). It is, moreover, a critique of the notion that capitalism is a fixed or final achievement of human development by showing how the capitalist mode of production came into being, developed, and produced the elements of its own demise (Ch. 32).

For Marx:

Definition or essence of capital: Value, or objectified socially necessary labour, become independent, and in pursuit of self-augmentation.

Science: grasping essence in existence (appearance) through reason.

Critique: comparing existence with essence. *Capital, Volume One*, is subtitled, '*Critique of Political Economy*,' by which Marx means a comparison of the essence of the capitalist mode of production with the conceptual grasp of it by the bourgeois political economists of his day, as well as a comparison of the essence with the actual behaviour of capital (existence).

II INTRODUCTION

a) Course rationale

Capital, Volume One (Das Kapital), first published in 1867, remains one of the most profoundly influential books ever written. Its influence continues to be pervasive.

- i) Its arguments have guided and motivated working class and trade union struggles throughout the industrialized world since the late nineteenth century to the present day.
- ii) It has been an inspiration for anti-colonial and anti-imperial wars and revolutions throughout the world in the twentieth century; and it continues to be widely read in the 21st century.
- iii) Its critique of capitalism pervades the present continuing critique of everyday life (as found in the social sciences). As an example of this on-going relevance, the widely read conservative German weekly magazine, Der Spiegel, dedicated most of one issue in 1999 to a discussion of the contemporary relevance of The Communist Manifesto and Capital.
- iv) Most of the social sciences have to a greater or lesser degree some element of a 'debate with Marx's ghost,' for the most part a debate with the arguments in Capital; and most of them have a major 'branch', school, or tendency which is Marxist.
- v) The global economic crisis of 2007-9 awakened a new even wider interest in it in search of explanations, moving many to begin a study of Capital.
- vi) And when Marx had finished the manuscript, he allowed himself a brief compliment in a short note to a correspondent: it was "the most terrible *missile* that has yet been hurled at the heads of the bourgeoisie," Marx to Johann Philipp Becker in a letter on April 17, 1867 (*Marx Engels Collected Works*, Volume 42, p. 358)

b) Why study Capital?

Why study Capital in the social sciences and humanities? Why is it not about 'economics'?

Capital is an analysis of human alienation and commodity fetishism, of a system in which human relations exist as things and via things, in other words, social relations as indirect relations mediated by money and commodities as opposed to relations that are direct and unmediated. It is about how human communities have become marketplaces, systems of exchange, in which all things are assessed according to their monetary value; and about how capitalism has resolved human relations into separate spheres, namely, the economic, political/legal, artistic/religious/philosophical, and social. For Marx, the study of human relations in reified forms (i.e., as relations between things) begins with the study of the production, distribution, and consumption of commodities, and their

regulation. This study of *Capital* is not to be construed as merely about 'economics,' which is the study of relations between things as values with no human reference, but about the human relations under capitalism that have become relations between things.

To emphasize the point, Capital while not simply about 'economics' is rather an explanation of how human relations have been reduced to economic or contractual relations, resolved into relations between commodities, and of the associated consequences of such a 'resolution,' namely, the alienated nature of all other human relations. The discipline of economics studies the exchange of things as if this were the essence of human relations, as if this were our nature; whereas for Marx, social relations as the exchange of things, as reified human relations, are the product of capitalism (716-718).

From the point of view of Capital, then, the subject matter of all the social sciences and humanities (that is, the study of the individual, family, class structure, politics, religion, psychology, education, the arts, philosophy, leisure activities, and so on) is to be seen as so many manifestations of alienated human relations with their associated contradictions and conflicts.

c) The Labour Theory of Value ('The most terrible missile that has yet been hurled at the heads of the bourgeoisie.' Marx)

At the heart of the argument of Capital is the concept of private property and the labour theory of value; and it is these two concepts that are used to explain the link between human relations and 'economics,' that is, how and why social relations become relations between things.

The theory has its classical expression in Adam Smith, and later in David Ricardo, and at its centre is the idea that all value embedded in a commodity is attributable to the amount of human labour required to produce it. (In Ricardo's words: 'the value of every commodity is proportional to the quantity of labour embodied in it, providing that this labour is used in accord with existing standards of productive efficiency.')

After Ricardo in the early 19th century, the idea was widely adopted by radical economists and trade unionists to support demands that the working class *should* receive the whole (or at least a much larger share) of the product of its labour because it was its labour that supplied the value of products. This interpretation came to mean: if labour produces all, then why should it not receive all? In this form, from the perspective of the bourgeoisie, the labour theory of value became a 'socially dangerous idea,' especially if it were to mean that all material goods and services belonged to the working classes that produced them, and the share appropriated by others was due to robbery or fraud of the workers. Such ideas were hardly supportive of the status quo.

To say that because 'labour produces all' and **therefore** workers *should* be the owners of all, however, is to mix 'demonstrable facts' with ethics or politics. Marx and Engels cautioned against such reasoning and conclusions, arguing that the scientific analysis of a

system must not be mixed with ethical or moral sentiments. That is, **it does not follow from the labour theory of value that the whole product of labour ought to accrue to the producers.** All that the theory implies is that the value embedded in commodities is a product of the amount of human labour socially necessary to produce those commodities.

As an idea in the possession of trade unionists and sympathetic economists, nevertheless, the labour theory of value was a theoretical weapon 'dangerous' to capitalist relations and was perceived as such. It was more for this reason rather than its purported falseness that the theory was rejected and abandoned by orthodox economists. Marx comments on this point in Volume One: '...Ricardo's school also merely evaded the problem [source of surplus-value] rather than solving it. In fact, these bourgeois economists instinctively and rightly saw that it was very dangerous to penetrate too deeply into the burning question of the origin of surplus-value.' (p.651-2)

Orthodox theories moved to adopt by and large some version of the utility theory of value. Roughly speaking, in orthodox economics, value is explained by reference to the 'utility' or ability of a commodity to satisfy a given need. The increase or decrease of 'utility,' and therefore the value, 'depends upon the quantity of a thing already possessed.' Marginal utility is 'the increase or decrease in total utility accompanying an increase or decrease in the supply.' The relation between supply and demand and utility comes to form the basis of the notion of 'value' in much of mainstream economics.

Since the late nineteenth century, the labour theory of value has remained more or less the preserve of Marxists. The rationale, however, for inventing 'marginal utility theory' (and its shallowness as an explanation of value) is a good example of class struggle in the conceptual realm.

d) The Purpose of Capital

In Marx's words: '...it is the ultimate aim of this work to reveal the economic law of motion of modern society...' (p.92).

Marx quotes a sympathetic reviewer: 'The scientific value of such an inquiry [Capital] lies in the illumination of the special laws that regulate the origin, existence, development and death of a given social organization and its replacement by another, higher one. And in fact this is the value of Marx's book' (p.102).

From these citations, we can say that it is Marx's goal to analyze the laws of development of capitalism, its coming into being and its passing into history; it is a system that is the product of human activity but that unfolds independently of the will of its members. These laws of motion of the capitalist mode of production underlie surface phenomena, and they can only be discovered by rational analysis of phenomena.

There is another purpose and that is found in the subtitle, 'A Critique of Political Economy.' En route to uncovering the laws of motion of capitalism, he subjects the

categories of mainstream political economy to critical analysis and demonstrates their inadequacy in grasping the essence of the capitalist mode of production.

Despite the prevalence of the view that the argument of Capital amounts to a moral condemnation of capitalism, it can be said emphatically that no part of the argument or its conclusion rests on a normative analysis; and there are no prescriptive solutions offered.

e) A Note on Property.

Central to Marx's argument is the concept of property. (See in particular pages 725, 729, and Chapter 32.) To understand this concept, there are three distinctions that must be made. **One** has to do with the general definition: **property has two meanings** – it can refer to a thing that is possessed **or** to a relationship among members of a social unit as claims, rights, or entitlements to the use and disposal of goods and services. The former is the common use of the concept; the latter is more usual in legal discourses. Marx uses it most often in the second sense, as a **relationship**, but occasionally it appears as a reference to **things** – both are valid definitions, but the reader must remember the difference.

Another distinction is between property as a *generic concept* and as *specific forms* of property. The concept of property refers to rights, entitlements, and claims to a portion of the social product; but concepts are abstractions and do not exist as such. Property actually exists only in particular forms, such as, communal, clan, family, state, or private corporate/individual, among others. In a capitalist society, **the prevailing form of property is private property (pp)**, i.e., exclusive individual or corporate rights, claims, or entitlements to goods and services. This is the form that defines the capitalist mode of production, that we often assume to be the only form of property, and that serves as the premise to most of our laws – hence the common use of the term, property, is usually a reference to private property. (*Moreover, as we shall see in Chapter 24, the CMP transforms the private property of simple commodity production/exchange into capitalist private property.*)

In this system, as long as we have the financial means to purchase the goods and services to address our needs, we rarely bring to consciousness the specific nature of this property form. It is also difficult to grasp as a specific form because, like fish in water, it is the medium through which we navigate most of our relations in daily life; in short, it is normalcy, and normalcy appears as natural, that is, beyond question. With little or no financial assets, however, we are like fish *out of water*, gasping and struggling for access to the means of life – i.e., private property in the form of money.

A third distinction must be made to understand Marx's use of private property in Capital. Here he makes the point that in capitalism there are **two forms of private property**, namely, *individual* private property (consumer goods/services and petty commodity production) and *corporate* or capitalist private property (ownership of means of production) (Chapters 24 & 32). Individual pp for consumption ends with consumption, and as petty commodity production it ends with self-reproduction. Capitalist pp, on the contrary, is ownership of the means of production, the means to augment value as pp; it is the property form that prevails in the CMP.

The destruction of individual private property in the form of petty commodity production by the capitalist mode of production is, for Marx, the 'first negation.' The second negation comes with the working-class struggle against capitalist private property, the 'negation of the negation.' This end of corporate or capitalist private property 'does not re-establish private property, but it does indeed establish individual property on the basis of the achievements of the capitalist era: namely cooperation and the possession in common of the land and the means of production produced by labour itself' (929-30). By 'individual property' he means claims or rights or entitlements to a portion of the total social product: '**from** each according to abilities, **to** each according to needs.'

In short, property as relation defines the character of our social relations; the concept is fundamental to understanding the nature of a social formation; it is not for no reason that the concept is so little employed or explored in contemporary social sciences.

e) Use of masculine form in reference to males and humanity

Marx was likely aware of the many biases embedded in language (he was an accomplished linguist), but given the structure of gender relations at the time, gender bias was not nearly as visible as it is today. Both males and females used the language with this bias as given at the time, as many still do today. The current wider awareness of gender bias in language is of relatively recent origin. Once women in the industrial nations began to claim legal, economic, and social equality, this bias became more noticeable. In Marx's day, use of the masculine form to refer to all humans or humanity was normal, as it remains in most major languages today, albeit as an embedded, usually unconscious, bias.

f) Old English Money

To follow Marx's calculations, you will need to know some of these old (pre-decimalization) English currency equivalents.

The old currency was not a decimal system, i.e., the penny was not a 'cent.' In Marx's day, the designation for a penny was 'd'; today, the new penny in the decimalized British system is 'p'. *There is no relation between the two systems, despite the continued use of the words penny and pound and the symbol for pound (£).* The old currency was changed in 1971, in favour of the current decimal system in which 100p = one pound (£). The old denominations are below and the ones in bold are the most important to remember for reading Capital.

1 farthing = ¼ penny (1/4 d)

1 halfpence = 1/2 penny (1/2 d)

3 pence = 1 threepence or thruppence (3d)

6 pence = 1 sixpence (6d)

12 pence = 1 shilling (1s)

5 shillings = 1 Crown (5s)

20 shillings = 1 pound (£)

g) About these course notes

These notes follow the text and are intended to be read alongside the text as an explanatory aid to Volume One. Although the depth of analysis and complexity of argument in Marx's Capital is different from most other treatises, it is not beyond the grasp of anyone (that is, anyone willing to put in the work). In the end, it is very rewarding to have followed and understood this long, sustained line of reasoning – not to mention the revelations about capitalism that the student will uncover.

It is important to realize that this is one long argument, in which the line of reasoning made in one chapter becomes the basis of the reasoning made in the next. It will be very difficult to fathom the arguments in one chapter without grasping those in the preceding ones. To see the steps in the argument, see below, 'A Short Summary of Volume One' (pp.122-123).



‘The Money Changer and his Wife,’ Quentin Metsys, 1514

PART ONE: COMMODITIES AND MONEY

Part One deduces the substance of value, and the two kinds of labour that produce use-value and value (concrete and abstract), and then traces the development of value from isolated exchange to the money form.

As the title suggests, Part One is about commodities and money; it is not about capital, which is introduced in Part 2, Chapter 4. This order of analysis – **commodities, money, capital** -- reflects the historical and logical development of capital, in Marx’s view.

CHAPTER 1: THE COMMODITY

This chapter is generally considered to be the most abstract and therefore the most difficult in the book. Many of the problems can be overcome if we understand why Marx begins with an analysis of the commodity. There are several key reasons. First, it is the form that all goods and services take when produced in a capitalist society. Second, the system strives to commodify everything, i.e., to address our needs solely by commodified goods and services. Third, implied in the commodity, he argues, is a contradiction out of which all the elements of the capitalist mode of production will evolve; and so, from an analysis of the commodity Marx is able to deduce and analyze the structure and operation of this system, to find and lay out its component parts, and to

discover its laws of motion. He attempts to show in Capital that from the production of commodities comes the development of capital. *This chapter lays out the fundamental concepts to be employed throughout, and so it is very important to grasp their definitions.*

1: The Two Factors of the Commodity: Use-value and Exchange-Value

Comments on the first paragraph:

‘The wealth of societies in which the capitalist mode of production prevails appears as an “immense collection of commodities”.’

The concept of *wealth* here refers to all products that combine human labour *and* nature (133-4); it is the general concept that refers to all that humans produce from nature to address their needs, *regardless of the mode of production* (p.125ff). In short, all wealth is comprised of *use-value* (its usefulness) and *value* (‘congealed labour,’ measured by socially necessary labour-time [SNLT]).

When human products take the *form of commodities*, which must have a use-value as do all products of human labour, *value* becomes *exchange-value* – i.e., the objective manifestations of value when commodities stand in relation to one another in the marketplace.

Marx asserts that the *wealth* of capitalist societies appears in the form of *commodities*; and so he begins Capital with analysis of the commodity, implicit in which is the secret of the CMP. [*Wealth* in non-capitalist societies and outside exchange or market relations does not take the form of commodities, but only as *use-values*, with value remaining implicit, yet as an informal calculation of appropriate time necessary for production.]

In the second paragraph, Marx defines the commodity:

Use-value and Exchange-Value

- The commodity: ‘a thing which through its qualities satisfies human needs of whatever kind’ (p. 125).
- ‘Needs’ – all requirements that are deemed necessary for life; no distinction made between those needs stemming from the ‘stomach’ or the ‘imagination.’ There is no distinction by Marx between ‘needs’ and ‘wants.’
- Use-value: a thing’s usefulness; realized in use or in consumption; the *substance* of all wealth; defined by useful qualities (p.126).
- Exchange-value: a question of *quantity* not quality; the basis of exchange of one use-value for another use-value; appears as external to the commodity but is, as will be deduced, inherent in it.

The analysis of exchange-value

At the top of page 127, Marx begins the argument, a deduction, that exchange-value is determined by an inherent content, namely, a quantity of embodied labour.

- In the exchange (equating) of two different quantities of two different commodities, there must exist in equal quantities 'something common to both.' And that something can only be labour (p.128).
- But not concrete, particular forms of labour; rather, 'labour in the abstract,' i.e., as simple average units or homogeneous equal units. (More about abstract labour later.)
- Value is defined as 'congealed quantities of homogeneous human labour.'
- Exchange value and value: the former is the **form of appearance** of the latter.

(To grasp this difference, exchange-value can be seen, *for now*, as represented by price, while value is the amount of abstract labour embodied in the commodity; the price, however, as we shall see, always oscillates above and below value.)

The measure of the magnitude of value (p.129)

- The magnitude of value: = quantity of labour contained or 'the amount of socially necessary labour time necessary for its production.'
- And 'this quantity is measured by *its duration*.'
- Socially necessary labour time [SNLT]: 'the labour time required to produce any use-value under the conditions of production normal for a given society and with the average degree of skill and intensity of labour prevalent in that society' (p.129). (*Very important definition: it applies to all modes of production.*)
- Value and productivity: 'In general, the greater the productivity of labour, the less the labour-time required to produce an article, the less the mass of labour crystallized in that article, and the less its value' (p.131).

Substance of value = congealed labour (units of simple average labour)
Measure of its magnitude = labour-time
Productivity and value = inversely related
Appearance of <i>value</i> = <i>exchange-value</i>

2: Dual Character of the labour embodied

Marx considered the points made here about concrete and abstract labour to be very important to his argument and to the understanding of political economy. The main difficulty is the meaning of *abstract labour*, which does not exist in an empirical sense but nevertheless has an objectivity in that it comprises the content of value. Without a concept of abstract labour, the concept of value would be impossible to grasp.

- A complex social division of labour is 'a necessary condition for commodity production.' (p.132) In other words, before there can be commodity production, production of things for the purpose of exchange, there must exist a certain degree of heterogeneity of concrete or particular types of labour. As Marx puts it: 'Use-values cannot confront each other as commodities unless the useful labour contained in them is qualitatively different in each case' (p.133).

In other words, the total social product in all social formations is always divided by production for different needs, such as shelter, food, clothing, transport, personal items, etc., but when these different use-values require different skill sets sufficiently complex not to be shared by all, the basis of commodity production has arrived.

- *Use-values* are produced by specific, concrete forms of labour: tinkers, tailors... i.e., heterogeneous labour. *Value*, however, is not.
- Value is the 'objective expression of homogeneous labour.' Value 'represents human labour pure and simple, the expenditure of human labour in general.'
- The labour referred to here is 'abstract labour,' which is defined as 'simple average labour' (p.135).
- Skilled or complex labour is 'only simple labour intensified' or 'simple labour multiplied'.

<u>USE-VALUE</u> : labour considered here counts only as concrete, specific labour and is manifested qualitatively .

<u>VALUE</u> : labour counts here only 'in the abstract' and manifests itself quantitatively as exchange-value.
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<u>Productivity and value</u> : an increase in productivity will increase material wealth (use-values) <u>but</u> will decrease the magnitude of value.

In our daily market transactions, we all make deductions employing the notion of abstract labour, or simple average labour, but usually without thinking about it.

3: The value-form, or exchange-value

Having defined the nature of the commodity and the labour it embodies in Sections 1&2, Marx now turns to analyze the evolution of the commodity from its most elementary stage to the 'money-form'. As Marx puts it: 'Now... we have to perform a task never even attempted by bourgeois economics... to show the origin of this money-form ...to trace the development of the expression of value contained in the value-relation of commodities from its simplest, almost imperceptible outline to the dazzling money-form. When this has been done, the mystery of money will immediately disappear' (p.139).

There are four stages in this development of the value-form: a) the simple or accidental form, b) the total or expanded form, c) the general form, and d) the money form. Marx considers these to be stages both in logic and in actual historical development.

Before Marx examines the first form, he reviews the nature of the commodity:

1. commodities are commodities only 'because they are at the same time objects of utility and bearers of value;'

2. a commodity in itself ('a single commodity') cannot be understood as a thing possessing value because value becomes exchange-value, i.e., **objective**, only when one commodity meets another, only in social exchange, *otherwise there is no objective manifestation of value, as such*.

Outside the marketplace, a product of human labour remains a use-value and value (SNLT), but it is not a commodity.

One reason this section is difficult to grasp lies in the conceptual framework that is common in capitalist societies and inhabits our minds, namely, empiricism or positivism. These philosophical positions present relationships as external to things rather than as intrinsic, as circumstantial happenings between self-sufficient things, rather than as things being what they are because they **are** relationships.

Another reason is that most of us tend to think in terms of use-values because it is use-values that satisfy our needs (we consume to live; we work to consume); **but** the capitalist sees only exchange-value or value, and use-value is merely the bearer of value and otherwise more or less unimportant for the capitalist.

a) The Simple, Isolated or Accidental Form of Value (pre-barter)

This section discusses the 'germ of the money-form' (p.163), or the beginning stage of the objective manifestation of value: **the first step in the development of money**.

- 'The whole mystery of the form of value,' Marx states, 'lies hidden in this simple form.' In other words, in this simple or accidental form of value, the secret of the mystery of money is to be found. And it is found in the 'two poles.' (p.139)

(1) The two poles of the expression of value: relative and equivalent forms of value

- The relative and equivalent forms of value 'are two inseparable moments, which belong to and mutually condition each other; but, at the same time, they are mutually exclusive or opposed extremes, i.e., poles of the expression of value' (p.140).
- Note here the **dialectical** relation of unity of opposites: relative and equivalent forms of value. Empiricism clouds this point because it takes all things to be discrete or unrelated. Here, the relative and equivalent forms of value have no meaning and no form of existence except in relation to each other.

- The value of a commodity can 'only be expressed relatively, i.e., in terms of another commodity.' In other words, the relative form of value (the expression of value of one commodity) 'presupposes' the existence of another commodity in the equivalent form.
- The last sentence in paragraph one on page 140 ('These forms rather...') should read: 'The very polarity of these forms makes them mutually exclusive.' That is to say, mutually exclusive *at the same moment*; but either can serve as the equivalent for the other -- depending on the position in which it is placed under given circumstances.
- Marx now turns to analyze the 'two poles' separately. (Keep in mind N/S poles; the one cannot exist without the other.)

(2) The relative form of value

i) The content of the relative form

- In the exchange of two commodities only specific, definite, empirical quantities *are seen*, therefore 'it is overlooked,' says Marx, that the reason they can be equated to each other lies in the fact that they share a definite quantity of some third element, namely, *socially necessary labour time*, as analyzed above.
- Only when this equivalence is made in a marketplace does 'abstract human labour' become manifest in the form of exchange-value (p.142); otherwise each product appears as simply a use-value, with its value hidden or implicit.
- In the exchange relation between commodity A [the relative value] and commodity B [the equivalent], 'Commodity A ... as a materialization of human labour, makes the use-value B into the material through which its own value is expressed' (p.144).
- The content of the relative form of value (commodity A) is 'the physical body' of the equivalent form (commodity B). *This point might be more easily grasped if we remember that the content of value is abstract labour and therefore cannot manifest itself as such but only in terms of the use-value (or concrete labour) of the equivalent form.*
- In a footnote here, Marx makes an analogy between the exchange relation and part of the definition of being human: humans become humans only in relation to others; *use-values* become *commodities* only in relation to others. In other words, the value of products is not apparent, products are not commodities, except in relation to another. By the same token, a person has no sense of self or identity except in relation to others (p.144).

ii) The quantitative determination of relative value (p.144)

- Here Marx examines the fact that the exchange relation is not simply an exchange of 'value in general' but of a definite quantity of congealed human labour.
- He explores what happens in the relation of two commodities with changing amounts of socially necessary labour time in each. There are four examples (pp.145-6) well worth going over because they remain common problems in the modern economy.
- He sums up this section by saying that the *relative expression of value* does not 'unequivocally or exhaustively reflect ... real changes in the magnitude of value...' In other words: 'The *relative value* of a C may vary, although its *value* remains constant. Its relative value may remain constant, although its value varies; and finally, simultaneous variations in the magnitude of its value and in the relative expression of that magnitude do not by any means have to correspond at all points' (p.146).
- Note the differences between *value* (actual SNLT) and *relative value* (as expressed in relation to another commodity).

(3) The equivalent form

A small point, but for the sake of clarity, please note that **in older editions of the text** the numbering of this section is mistaken: it reads **iii)** whereas it should be **(3)**; similarly, on p.152, the number **iv)** should be **(4)**; similar changes should be made in the table of contents.

[Some of the translation in this section is quite unclear (in my opinion); as a consequence, I have used citations from the older International Publishers edition (1967).]

- First paragraph on p.147: 'We have seen that commodity A (the linen), by expressing its value in the use-value of a commodity differing in kind (the coat), at the same time impresses upon the latter a specific form of value, namely that of the equivalent. The commodity linen manifests its quality of having a value by the fact that the coat, without having assumed a value-form different from its bodily form, is equated to the linen. The fact that the latter therefore has a value is expressed by saying that the coat is directly exchangeable with it. Therefore, when we say that a commodity is in the equivalent form, we express the fact that it is directly exchangeable with other commodities.'
- Last sentence of paragraph 2: 'But whenever the coat assumes in the equation of value the position of equivalent, its value acquires no quantitative expression; on the contrary, the commodity coat now figures only as a definite quantity of some article.'

- Marx does not mean that the value of the coat no longer counts – it is after all what is being compared to the linen – but that the use-value of the coat becomes the ‘form of appearance’ of the value of the linen (see below).
- Para. 3, ‘...because the use-value coat counts as the embodiment of value vis-à-vis the linen, a definite number of coats is sufficient to express a definite quantity of value in the linen.’ On p.148, following the asterisk: ‘the truth being, that when a commodity acts as equivalent, no quantitative determination of its value is expressed.’

[*] Three peculiarities of the equivalent form (exchange-value)

I - the use-value of the equivalent 'becomes the form of appearance of its opposite, value' in the relative form (p. 148). See the example of weights and measures.

This point is expanded by Marx on p. 49 to reveal ‘the mysteriousness of the equivalent form,’ which is, in its developed form, money. It is money as the ‘universal equivalent’ that represents the value of commodities when it stands in relation to them.

II - in the equivalent form, 'concrete labour becomes the form of manifestation of its opposite, abstract human labour' (p.150).

Marx uses the examples of the coat as equivalent (concrete labour: tailoring) and the linen as relative (weaving producing value as abstract labour), but we could use the example of gold, as money, whose concrete labour in mining and smelting comes to represent abstract labour.

III - in the equivalent form, 'private labour takes the form of its opposite, namely labour in its directly social form' (p.151).

In other words, a shoemaker’s private labour is embodied in a pair of shoes, but when the shoes are taken to market *as commodities* the private labour becomes just so many units of abstract labour, exchangeable with other commodities to the limit of its value or the number of units of abstract labour or simple average labour.

This point III has a significance that Marx draws out on page 151-2 by referring to Aristotle. Marx says that Aristotle lacked ‘a concept of value’ because ‘Greek society was founded on the labour of slaves, hence had as its natural basis the inequality of men and of their labour-powers’ (152). But, ‘in the form of commodity-values, all labour is expressed as equal human labour and therefore of equal quality...’ And so, only when the ‘commodity-form is the universal form of the product of labour, and hence the dominant social relation is the relation between men as possessors of commodities,’ do humans develop ‘the concept of human equality’ as ‘popular opinion’ – *not meaning that humans or their labour are actually equal, because self-evidently they are not, but that they see themselves as ‘equal’ because the commodity relations within which we live reduce all*

differences in labour to so many units of simple average labour. The value of the money in our pockets, the goods and services that we buy, and the labour-power that we sell is a factor of distilled average labour.

(4) The simple form of value considered as a whole

- '... the value of a commodity is independently expressed through its presentation as "exchange-value";' (p.152) i.e., the value of commodity A finds a definite expression *only* in relation to an equivalent, commodity B.
- 'The internal opposition between use-value and value, hidden within the commodity, is therefore represented on the surface by an external opposition, i.e., by the relation between two commodities such that the one commodity, whose own value is supposed to be expressed, counts directly only as a use-value, whereas the other commodity, in which that value is to be expressed, counts directly only as exchange-value' (p. 153).

[Here we see an aspect of **the dialectic**: no use-value without value, and no value without use-value; or no concrete labour without social purpose, and no social purpose without labour. When the products of labour become commodities, this **unity of opposites** becomes objectified as the two sides in commodity exchange.]

b) The Total or Expanded Form of Value

In the simple or accidental form of value above, Marx is analyzing the first historical exchanges of commodities, which would have occurred in an irregular, unsustained manner, i.e., outside of any sort of market. Nevertheless, this exchange contained the 'germ' of the money-form; **the 'expanded form' of exchange is the next step in this development of money.**

- In the expanded form of value, he examines the stage of development in which the relative form of value finds expression in a seemingly endless series of equivalents. This may be conceived as **a system of barter in a market**, but without money.
- In this stage, and in Capital for the first time, we see Marx's articulation of the **'law of value'**:

'The accidental relation between two individual commodity-owners disappears. It becomes plain that it is not the exchange of commodities which regulates the magnitude of their value, but rather the reverse, **the magnitude of their values which regulates the proportion in which they exchange**' (p.156). (See also: pages 129-30.)

Here we see the theory of 'marginal utility' contrasted with labour theory of value.

The defects (or deficiencies for exchange of the 'expanded form')

1. The relative expression of value of a commodity is always 'incomplete'; it is as long as the list of equivalents;
2. These expressions of value bear no relation to each other; all exchanges are singular, unconnected, disparate;
3. The relative value of every commodity is expressed in 'an endless series of expressions of value' different from every other.

c) The General Form of Value

- Marx first reviews the accidental and expanded forms of value, and then defines the new stage of value form; namely, the general: 'The new form we have just obtained expresses the values of the world of commodities through one single kind of commodity set apart from the rest... and thus represents the values of all commodities by means of their equality with [it] (p.158).
- The transition from the general form to the money form: the universal equivalent form 'can be assumed by any commodity' but the moment it becomes the universal equivalent it is removed from 'the ranks of all other commodities' because it is their equivalent; it is money without the form of money.

d) The Money Form (Here, value has found a resting place, as money, before journeying on to the form of capital.)

- a specific metal employed as the universal equivalent
- why a metal and why gold or silver in particular: to be clarified in Chapter Two

4: The Fetishism of the Commodity and its Secret

The difficulty in understanding this Part 4 may well have to do with the fact that we, being born and raised in a commodity producing society, take as normal a life that is determined by commodity exchange and dominated by money, as if commodity relations were really human relations, and not human life determined by the movement of our own products. Like fish in water, we see our own alienated relations as normal, natural.

What does Marx mean by fetish? A fetish is an inanimate object 'irrationally revered' 'for its magical powers or as being inhabited by a spirit...' (dictionary definition). (This notion of fetish has nothing to do with the Freudian concept.)

This much-discussed section of Capital falls into two parts. In the first, Marx analyzes the mystical or enigmatic 'supra-sensible' nature of the commodity as characterizing society as marketplace, a system based on the exchange of products not on direct human relations. In this section he elucidates how the exchange of commodities in a market underlies *the general social allocation of resources* – labour-power and goods and services – in a capitalist society. It is a social system that has become subordinate to the law of value or the exchange of commodities for the allocation of social resources rather than the rational decisions of human beings.

In the second (p.169-175), in order to clarify commodity fetishism, he compares commodity production with other modes of production. Using four examples – the fictional Robinson Crusoe, medieval feudal relations, the peasant family, and an imagined ‘association of free men,’ (socialized planned production) – he provides us with alternative modes of reproduction, all of which rest on personal relations of one sort or another, rather than on the impersonal operation of the market forces of supply and demand, to illustrate by contrast the nature of the CMP and commodity fetishism.

- As use-value, the product of human labour is mundane and 'obviously' the result of direct human effort; but as exchange-value, a commodity 'changes into a thing which transcends sensuousness' (p.163).
- The meaning of commodity fetishism: the second paragraph on p. 164 contains the heart of what Marx means by commodity fetishism. I have broken the definition into 4 numbered parts.

The 'enigmatic character' of the commodity 'arises from this form itself,' i.e., as values, commodities i) 'equalize' different kinds of labour embodied in different products, ii) represent a 'measure' of socially necessary labour-time by their 'magnitude of value,' and iii) embody the social relations of human beings producing in a society of private property, a society with a complex social division of labour. (Work and shopping as social life).

- He summarizes the argument: 'The mysterious character of the commodity-form consists therefore simply in the fact that the commodity reflects the social characteristics of men's own labour as objective characteristics of the products of labour themselves, as the socio-natural properties of these things. Hence, iv) it also reflects the social relation of the producers to the sum total of labour as a social relation between objects, a relation which exists apart from and outside the producers. Through this substitution, the products of labour become commodities, sensuous things which are at the same time supra-sensible or social' (p.164-5).
- The fetishism of commodities 'arises from the peculiar social character of the labour which produces them.' In other words, it arises in a society in which production is carried out independently and privately, obliging the products to assume or take on the role of social relations between the producers, who in turn act only as the 'bearers' of these products.
- The market: when the production and exchange of commodities have come to prevail in society, their movement, development, growth and contraction come to characterize the nature of that society, outside the control of the producers who now become merely the personifications of the multitude of sides to this complex system of production and exchange. The concept of 'person' arises here, a reference to a the human as the legal embodiment of private property.

- Money has a significant role in 'concealing' the social character of commodity production and exchange by making the social relations involved appear as so many relations between things (p.168-9). Money is objectified value (socially necessary abstract labour), an independent existence of value, without any apparent link to concrete human labour.

Four non-market examples of production presented to clarify commodity fetishism

- Marx begins the comparisons the production of **use-values** versus **commodities** with a brief examination of the story of Robinson Crusoe on page 169. Rather than producing in a complex division of labour in accordance with supply and demand in a market, this fictional figure rationally allocates his labour-time to produce goods and services according to his needs and the 'difficulties to be overcome' (p.170) in addressing these needs.
- The second comparison is with the feudal mode of production: 'Personal dependence characterizes the social relations of material production as much as it does the other spheres of life based on that production. ...[for this reason] there is no need for labour and its products to assume a fantastic form different from their reality. They take the shape, in the transactions of society, of services in kind and payments in kind. The natural form of labour, its particularity - and not, as in a society based on commodity production, its universality - is here its immediate social form' (p.170).
- The third comparison is with the self-subsistent peasant family as a spontaneously evolved social division of labour based on gender, age, ability within the extended family (p.171). Everyone has a role according to naturally occurring differences in the production of use-values for the family.
- For the fourth comparison (pp. 171-173) Marx makes reference to the nature of production and exchange in a system of 'planned control', i.e., socialized production. He is 'imagining' this 'association of free men, working with the means of production held in common' to show that 'in full self-awareness' decisions can be made on the allocation of labour and material nature in satisfying needs by producing use-values.
- Note also: the link Marx draws between religion and commodity production and the fate of religion in this 'association of free humans' (p. 173).
- In the remaining pages of this chapter, Marx explores the reasons why political economy has never been able to grasp the how and why of a mode of production in which 'the process of production has mastery over man, instead of the opposite' (p.175). It is a world determined by the exchange of values, not a world run by human beings according to their collectively determined needs and goals.

Nota Bene:

With the arrival of commodity production and market exchange, value has found an independent existence in the form of money. **All products** possess use-value and value (measured by socially necessary labour-time (SNLT)), but in **non-commodified products**, socially necessary labour time is determined by custom, tradition, or *conscious collective decisions*, etc., and has no objective existence, other than in the use-value as its ‘bearer,’ or perhaps as a plan. **With commodities**, however, **value** appears as exchange-value and is determined through supply and demand in the marketplace and has an objective existence as **price**, as money.

- All human products = use-value + value (units of abstract labour)
- Commodities = use-value + exchange-value (value determined by market forces)
- Exchange value = appearance of value in market, magnitude determined by supply and demand.

The importance of these distinctions becomes apparent in **imagined socialism** where **exchange-value** is no longer a variable at play, any more than the market. The apportioning of SNLT is determined by conscious decisions regarding present and future needs and resources.

* * *

Alienation and Commodity Fetishism: It is often asked if there is a relation between ‘alienation’ (*1844 Manuscripts*) and ‘commodity fetishism’ (*Capital*). There is: *alienation* is the effect of commodified labour-power on humans as social beings, while *commodity fetishism* is the consequence of commodity production and exchange for *social relations*. Alienation is the product of selling our labour power, i.e., making our ability to produce use-values and value into a commodity; while commodity fetishism is the result of this **value, as exchange-value**, finding a social life of its own, taking on the role of our social relations independently of its producers.

Does the concept of alienation appear in Volume One? See pp. 990,1004-7, 1054/56/58.

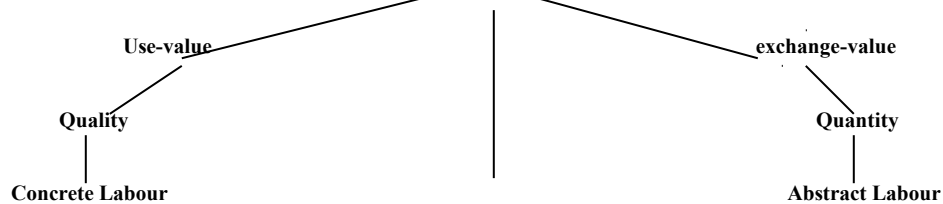
See: a recent article on the concept of fetishism: Paula Rauhala, (2019) ‘Fetishism and Exploitation: Marx – 150 and Marx – 200: What Has Changed?’ in Gupta, S. M. Musto, B. Amini (eds.), *Karl Marx’s Life, Ideas, and Influences*. London: Palgrave.

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Schematic Outline of Chapter One

Wealth = product of labour and nature = use-value + value

The Commodity (The form of wealth in capitalist society)
(value appears as exchange-value)



Exchange-Value [assumes use-value]

i) Simple, accidental form of value

[Poles of value relation]

Relative Equivalent

ii) Expanded form of value

iii) General form of value

iv) Money form

Commodity Fetishism

Versus

Direct, conscious production of use-values and value

CHAPTER 2: THE PROCESS OF EXCHANGE

In Chapter One, Marx analyzes the component parts of the commodity, stressing the point that commodities become commodities (that is, value expressions) only in relation to each other, and how value ultimately acquires independence in the form of money.

In Chapter Two, Marx shifts from an analysis of the **logic** of the commodity to analyze the exchange of commodities **in the real world**, that is, how products come to be commodities, and how in the development of the process of exchange, money - a commodity functioning solely as universal equivalent - comes into being.

In Chapter Three, he focuses on the implications of the functions of money and their historical development. This chapter sets the stage for Chapter Four on the meaning of capital, capital being money employed to augment itself.

- First paragraph: Human relations are subordinated to market relations; that is, direct, unmediated relations between human beings are displaced in the market by relations between commodities, which are characterized by contracts.

- The production of commodities (products as private property) and their exchange in the market create *specific social relations that 'mirror' those relations of production and exchange*. As Marx put it: 'This juridical relation, whose form is the contract, whether as part of a developed legal system or not, is a relation between two wills which mirrors this economic relation' (p.178).
- **Human beings as 'personifications of economic relations'**; '...it is as the bearers of these economic relations that they [humans] come into contact with each other' (p.179). This point helps explain how and why humans can commit such inhuman acts in a commodity producing society, or lose all sense of morality in the pursuit of money, the quintessential embodiment of congealed labour.
- **The commodity as 'born leveler and cynic'**: Why? because whatever the qualities of the concrete labour, the commodity is recognized only for the abstract labour that it contains; all qualities are subordinated to the quantity of abstract labour (exchange-value). (Coerced or oppressed concrete labour is ignored when considering the amount of value of the commodity.)
- **Exchange** as the proof of the use-value of a commodity and as the possibility of its realization as exchange-value, i.e., commodities for money.
- Money can only come into being by action of 'society', i.e., a state that oversees a community become market place, which requires a universal equivalent as means of exchange, sanctioned by the state.
- When one commodity separates out from the other commodities and becomes the sole universal equivalent, we have the creation of money. This act is a social one; it is the product of some sort of agreement of the social whole – be this implicitly done or done as an act of state (p.180).

Money and the process of exchange

- 'Crystalizes out of the process of exchange' (p.181)
- Process of exchange as **the opposition of use-value and exchange-value** (Note the use of the concept of polar opposition.)
- **Origin of commodification** (p.182)
 - 'quantitative exchange relation at first determined by chance' (accidental, isolated form)
 - need for others' products grows
 - production for exchange, distinction between use-value and exch-value
 - commodity exchange begins at the margins of communities, not within.
 - Later, its extension finds its way into the community itself.
- **Forms of universal equivalent**: shells, beads, cattle, slaves, etc.
- Money by nature as gold and silver:

- same uniform qualities
- capable of purely quantitative differentiation
- portable
- Because money can be represented by mere symbols, it can mistakenly be taken **as mere symbol**, but the use of symbols for money (as most modern currencies are) implies there is a store of value held by the issuer of the symbols that is equivalent to the amount represented by the symbol (p.185). If not, the symbols quickly lose credibility and are discarded as worthless.
- Measure of the value of money: socially necessary labour-time embedded in the gold or silver or in the store of value 'behind' symbolic money.
- With the appearance of money in the form of gold and silver, gold (and silver) becomes 'immediately on its emergence from the bowels of the earth, the direct incarnation of all human labour. Men are henceforth related to each other in their social relations of production in a purely atomistic way. Their own relations of production therefore assume a material shape which is independent of their control and their conscious individual action' (p.187).
- The 'riddle of the money fetish' revealed (p.187). That is: money is the physical embodiment of exchange-value (socially necessary labour-time, determined by s&d) that in a money system replaces direct human relations with relations between things. (See also p. 1005-6)

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CHAPTER 3: MONEY, OR THE CIRCULATION OF COMMODITIES

Having examined the nature of the commodity in Chapter 1, and the process of exchange of commodities in Chapter 2, Marx now turns to examine the nature and functions of money, the universal equivalent that grew out of the development of exchange. *Money in itself is not capital, but it becomes capital under certain historical and social conditions – to be explored in Chapter Four.*

1. The Measure of Values (p.188)

- The 'first main function of gold is to supply commodities with the material for the expression of their values, or to represent their values as magnitudes of the same denomination, qualitatively equal and quantitatively comparable.' (qualitatively equal, i.e., as gold; and quantitatively comparable, i.e., as specific, standard, amounts)
- Money, then, or gold, 'acts as a universal measure of value'
- **Important to note** that it is not 'money that renders the C's commensurable' but it is 'because all C's, as values, are objectified human labour, and in themselves commensurable.'

Money-form or price

- 'The expression of the value of a commodity in gold ... is its money-form or price' (p.189).
- Price, then, is the objective expression of what is really only a social relation between commodities, and for this reason Marx can say the following:

'The price or money-form of C's is... quite distinct from their palpable and real bodily form... and therefore a purely ideal or notional form.'

That is, value exists in the C, but it is invisible, and is only 'signified' by equality with other C's or gold and only in the social relation established by their owners, i.e., there are no intrinsic relations between C's; the **satisfaction of human needs** is what ultimately brings C's together.

Therefore, putting a price on a C (e.g., a tag of x\$) is 'purely an ideal act,' i.e., price is 'imaginary gold.' *That is, not an atom of gold enters into assigning a price/exchange-value to a commodity.* But this 'ideal act' is not to be interpreted as *an arbitrary act*. The price is what the vendor thinks is the exchange-value of the C -- proven when sold.

Money as measure of value:

- Price depends on the actual substance that is money, i.e., gold, silver, copper, etc. In other words, there are **different prices** for the **same measure** of value (p.190). (That is, a pair of shoes at \$100 CND = 64 Euros = 514 Yuan = 7,985 Yen = 75 USD)

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| <ul style="list-style-type: none"> • Money: (a) as measure of value - because gold itself is a product of labour and represents the incarnation of human labour; and (b) as a standard of price - because it can be divided into specific quantities of gold (p. 192). |
| <ul style="list-style-type: none"> • Rise in prices: a) rise in value of C (M-value constant); b) fall in M-value (C-value constant)
 Fall in prices: a) fall in C-value (M-value constant); b) rise in M-value (C-value constant) |

Price-form: originally the money-name and the weight-name were the same, i.e., one pound (lb.) of X (weight) = one pound (£) of X (value); but now two different things, due largely to centuries of debasement by monarchies/princes/merchants, etc., who were in a position to coin and issue money and lie about value (p.194).

- **Money-name:** more confusion: it expresses both the value of commodities and at the same time the 'aliquot parts of a certain weight of metal' – i.e., the standard of price (p.195).

The transformation problem (p.196)

- In the following discussion of price and value, Marx makes mention of the divergence of price from value, a divergence whose source lies in the nature of price.
- **Price** is 'the money-name of the labour objectified in a commodity' (p.195). It is, therefore, both the 'exponent of the magnitude of value' in a C and 'the exponent of its exchange-ratio with money;' but it does not follow that one will necessarily equal the other, for the very reasons that have been traced above, i.e., different factors can influence the value of the C and of the money.
- In other words:

1. The magnitude of value of a C = socially necessary labour time; **but**
2. This value and its price-form are subject to different variables/forces which may make the price more or less than the embodied value;
3. In fact, price is always in flux above or below value, its relative stability is a 'blindly operating average between constant irregularities' (p. 196).
[For a longer examination of this issue, see Parts I & II in *Volume 3*.]

- **No value, but price:**
- With the expansion of C exchange and the price-form, there arises the possibility of things without *value* yet being given a *price*: 'conscience, honour, etc.' not to mention "love," "marriage," "friendship," etc. (p.197).
- [**Title** of a book by Schofield: Psychotherapy: The Purchase of Friendship; **song title** by Cole Porter: 'Love for Sale;' **popular expression** in a capitalist society: 'every man has his price.']
- Price - 'theory and practice'

Price is an 'assertion' that the relative value (C for sale) is exchangeable for the equivalent (gold/money); but the realization of this 'assertion' is not always so simple; price is an equivalent in gold in the imagination -- to be realized, the C must be sold!

2. The Means of Circulation (p.198)

In this section, Marx analyzes the nature of the process of exchange; he begins by noting the 'contradiction' in the C (between use-value and exchange-value) and the fact that the development of money has given this contradiction 'room to move' – because each side now has its own independent form of existence.

The notion of *contradiction* here points to the fact that a use-value or a useful thing requires labour to produce it and value; hence, a use-value is the 'congealed labour' that constitutes value; there can be no use-values without labour, and there is no labour for no reason, hence always the production of use-values. *These are two different things, but they cannot exist without the other.* In the case of *commodities*, the use-value is actively

separated from the value in the form of exchange-value: 'Says the pie-man to simple Simon, show me first your penny.' No pie (use-value) for simple Simon unless he has a penny (exchange-value).

Note the numerous references to dialectical relations in the first few pages of this section, especially: 'contradiction,' 'unity of differences,' 'polar opposites.'

a) The Metamorphosis of Commodities (change of *form*, but same *content*, i.e., value)

Marx begins by pointing out that 'as far as the process of exchange transfers commodities from hands in which they are non-use-values to hands in which they are use-values, it is a process of social metabolism. The product of one kind of useful labour replaces that of another.' (p.198)

In the process of exchange the C goes through two transformations or metamorphoses; namely, selling and buying.

i) C-M: the first metamorphosis -- the sale

- Because of the social division of labour, there is the need to exchange: 'labour is as one-sided as needs are many-sided' (p.201).
- The market determines how much socially necessary labour time will be expended on any given product:

'If society's need for linen – and such a need has a limit like every other need – has already been satisfied by the products of rival weavers, our friend's product is superfluous, redundant, and consequently useless' (p.201).

'If the market cannot stomach the whole quantity at the normal price of 2 shillings a yard, this proves that too great a portion of the total social labour-time has been expended in the form of weaving' (p.202).

Society as marketplace: 'The owners of commodities... find out that the same division of labour which turns them into *independent private producers* also makes the social process of production and the relations of the individual producers to each other within that process *independent of the producers themselves*; they also find out that the independence of the individuals from each other has as its counterpart and supplement a system of all-round material dependence' (p.202-3) (emphasis added).

Marx here is pointing to the fact that private production within a social division of labour creates a market, that regulates production independent of the wills of the producers, and that *private independent production paradoxically produces a material dependence on everyone else*.

- 'The division of labour converts the product of labour into commodity, and thereby makes necessary its conversion into money' (203).
- 'the conversion of a C into money is the conversion of money into a C. This single process is two-sided: from one pole, that of the C-owner, it is a sale; from the other pole, that of the M-owner, it is a purchase. In other words, a sale is a purchase, C-M is also M-C.' **Another contradiction: buying and selling**

ii) M-C: the second metamorphosis -- the purchase (p.205)

- In its conversion into money, the C 'disappears,' loses its specific character as a use-value and acquires the form of its equivalent value -- money in no way reveals or exposes the nature of the C's exchanged for it: be it slaves, 'love,' commodified labour of some sort, etc., money is money.
- Money in the hand makes possible the purchase of any of the C's brought to market; it eliminates the restrictions of direct exchange and brings an exponential growth in needs and as a consequence also in the production of C's both quantitatively and qualitatively.

The circuit of commodity exchange (C-M-C)

- Nota bene: 'We see here, on the one hand, how the exchange of commodities breaks through all the individual and local limitations of the direct exchange of products, and develops the metabolic process of human labour. On the other hand, there develops a whole network of social connections of natural origin, entirely beyond the control of the human agents. Only because the farmer has sold his wheat is the weaver able to sell his linen, only because the weaver has sold his linen is our rash and intemperate friend able to sell his Bible, and only ...' etc., etc. (p.207-8).
- 'Circulation bursts through all the temporal, spatial and personal barriers imposed by the direct exchange products, and it does this by splitting up the direct identity present in this case between the exchange of one's own product and the acquisition of someone else's into the two antithetical segments of sale and purchase' (p.209).
- Commodity exchange, then, as a developed circuit does two things: a) it destroys those forms of social interaction resting on the direct exchange of products (Gemeinschaft) and b) creates a web of relations based on indirect exchange, i.e., mediated by money, and a society cum market-place in which production, exchange and distribution are beyond the control of the producers (Gesellschaft)

- direct exchange: C - C1 (barter)
- commodity exchange: C - M - C1

- In direct exchange, the process is over when the transaction is finished; on the other hand, in commodity exchange, the process does not 'disappear' once one transaction is finished because the intermediary, money, is left behind, 'it always sticks to the hands of some third person' (p.208).

The possibility of crisis

- Because the two 'sides' of exchange in the circuit C - M - C1, namely, sale and purchase, are now separate acts but in fact (in essence) demand each other as complementary acts for the circuit to be realized, there arises the possibility of crisis -- a possibility which arises when the separated acts (processes) do not for some reason follow each other, i.e., a crisis of realization or valorization.

b) The Circulation of Money

- 'As means of circulation, money circulates commodities, which in and for themselves lack the power of movement, and transfers them from hands in which they are non-use-values into hands in which they are use-values; and this process always takes the opposite direction to the path of the commodities themselves. Money constantly removes commodities from the sphere of circulation, by constantly stepping into their place in circulation, and in this way continually moving away from its own starting-point' (p.211).
- The circulation of money is merely the circulation of C's although it appears to be the reverse.

How much money goes into circulation

- Total of prices = total sum of money required (p.213)
- Price varies inversely with the value of money
- The quantity of money varies directly with total prices.
- Velocity: 'the velocity of the circulation of money is measured by the number of times the same piece of money turns over within a given period' (p. 216).
- 'Just as the circulation of money is in general merely a reflection of the process of circulation of commodities ... so too the velocity of circulation of money is merely a reflection of the rapidity with which commodities change their forms... the hurried nature of society's metabolic process...' (p.217).
- In times of economic 'slowdown,' when sales and purchases become fewer and more separated, the problem will often appear as a 'quantitative deficiency in the circulating medium' -- hence 'solutions' may arise, such as proposed by the Social

Credit movement in Canada during the 1930's, which recommend an increase in the amount of money as a way out of the depression.

- Similar arguments have been made in the crises of 2007-9 and 2020-?, and trillions handed out to corporations, and much smaller amounts to workers. But since the lack of money was not the cause of the crises, increased 'liquidity' will not solve them – a temporary reprieve at best.

Determinants of the quantity of money in circulation

- 'These three factors, the movement of prices, the quantity of commodities in circulation, and the velocity of circulation of money, can all vary in numerous directions under different conditions' (p.218).

c) Coin. The Symbol of Value:

Coin is gold/silver (or other precious metals) functioning as a medium of circulation in the shape of *minted pieces* of gold/silver. In the era of cryptocurrencies and electronic money, the discussion of *coin* can only be understood as an historical form of money.

There are several points here. 1. The price of a commodity was once expressed as a *quantity of gold/silver*, but given the problems of weights and measures and degree of purity of metals, the coming of money as minted coin had the advantage of set *denominations of value and a face value that was, at least theoretically, equal to the actual value of the gold/silver in the coin*. 2. Coin as minted embodiments of exchange-value are subject to wear and tear, conscious debasement, and overproduction all leading to the *nominal* value no longer being equal to the *actual* value. 3. Coin, as nationally denominated money, becomes used as 'money of account' referring to the expression of the value of all commodities as denominations of coin. 4. Outside the domain of national currency, in world trade, exchange is often facilitated by the use of quantities of gold.

- In the circulation of money, the nominal value can and does diverge from the real value, i.e., the debasing of coin by those with the powers of coinage such that the face value becomes greater than the real value of the content (p. 223).
- In this divergence lies the possibility of substituting real value in metallic coins with mere symbols, i.e., with paper money, playing cards, etc.
- The 'issue of paper money must be restricted to the quantity of gold (or silver) which would actually be in circulation...' (p.224).
- One source of inflation: 'If the paper money exceeds its proper limit, i.e., the amount of gold coins of the same denomination which could have been in circulation, then, quite apart from the danger of becoming universally discredited, it will still represent within the world of commodities only that quantity of gold

which is fixed by its immanent laws.' I.e., see above the three factors that determine the quantity of money in circulation.

3. Money (gold/silver as a fixed form of value, as money)

Money is the universal equivalent in the form of coin or 'its representative,' that is, a token of some sort such as paper money. Here Marx outlines the historical roles played by money as market relations expand.

a) Hoarding

- With the coming of money, the possibility of accumulating congealed labour in the form of a universal equivalent 'awakens the lust for gold.' (p. 229)
- The phenomenon of the miser -- common in pre-capitalist, petty commodity production modes. '...the gospel of abstinence...' (p. 231).
- Hoarding as a social need to ride out 'hard times'
- The recognition of the power of a congealed social force in private hands: 'Money is itself a commodity, an external object capable of becoming the private property of any individual. **Thus the social power becomes the private power of private persons**' (p.230).
- Money = power to buy = power to put a price on anything = destruction of moral order based on direct human relations and replacement by the 'morality' of 'every person has a price.'
- Purpose of hoarding: 'The reserves created by hoarding serve as channels through which money may flow in and out of circulation, so that the circulation itself never overflows its banks' (p. 232).

b) Means of Payment

- Money as means of payment sounds odd today because money is ubiquitous, and it has become the prevailing form of payment (credit), but here Marx is pointing to the significance of money as a means of payment versus the exchange of C for C, as in barter.
- By this phrase, Marx refers to the expanded use of money as the embodiment of exchange-value. Value in the form of money greatly speeds up exchange of C's, destroys non-monied relations of production, and introduces the possibility of credit.
- Credit is value that exists as a promise or a debt; or as Marx says: a 'commodity can be alienated, that is it can leave the hands of the seller, before it is sold...' (fn. p.232). An increasingly large percentage of commodities are purchased in modern 'consumer' societies 'on time,' or on credit, 'on the never-never'.

- Hence the creation of the **creditor and debtor**: In the ancient world, money as means of payment led to the rise of debtors and creditors, one of the earliest pivots of class struggle (p.233).
- The **contradiction** in the means of payment (i.e., the separation of C and money): bursts forth as a monetary crisis (p.236).
- The total amount of money in circulation now must take into account the phenomenon of credit (p.237).
- Money as means of payment and the destruction of pre-money modes of production: 'When the production of commodities has attained a certain level and extent, the function of money as means of payment begins to spread out beyond the sphere of the circulation of commodities. It becomes the universal material of contracts. Rents, taxes, and so on are transformed from payments in kind to payments in money' (p.238).

c) World Money

- The internationalization of the market calls forth the need for 'world money.'
 - After World War II, the US managed to have the USD accepted as the main currency in world trade and commerce; this primacy of the USD provided the US with an 'exorbitant privilege,' allowing the US to benefit enormously ever since.
- Aside from the USD, international exchange also takes the form of other leading currencies (Euro, Yen, Pound, etc.) and gold bullion because there is no world-state to lay down some standards, i.e., measures of value and standard of price.

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PART TWO: THE TRANSFORMATION OF MONEY INTO CAPITAL

Up to this point, Marx has traced the history of value from isolated exchange to money and marketplace society, and he has argued that (1) markets can exist without money (barter), (2) markets result in money, (3) money and markets play a very destructive role when confronting 'natural economies,' i.e., those modes of production based on the production of use-values, and (4) money and markets do exist without capital.

Part Two analyzes how money is transformed into capital, but the historical arrival of capital is not the arrival of capitalism, i.e., a system completely dominated by capital. Part Two defines capital – as the **output** of a production process that is **greater in value than the inputs**. He disabuses us of the notion that this increase arises in the marketplace, in circulation.

Capitalism refers to a system in which every aspect of social reproduction is subordinated to capital. Capital, it should be noted, enters the spheres of transportation, retailing, and

usury long before it enters the sphere of agriculture and production or manufacturing. Only when it has conquered all these spheres can it be said that the system as a whole has been subordinated to capital. At this point, capitalism has arrived. Historically speaking, this would coincide with the coming of the Industrial Revolution (1760-1830), not the Renaissance, which coincides with the coming of mercantilism (1500-1700s). **The analysis in Part Two fits with the age of mercantilism, in which capital is accumulated largely via ‘primitive accumulation’ rather than via surplus-value (s-v).**

CHAPTER 4: THE GENERAL FORMULA FOR CAPITAL

In Chapter 3, Marx outlined the nature of the circulation of commodities and money, symbolized by the formula: C - M - C. The rise to preeminence of the circulation of commodities (or the money system) brought an end to the modes of production based on production for need only and on direct exchange (C - C), but it also brought the seeds of another system, namely, capitalism. In this Chapter he defines capital by differentiating it from money and the circulation of commodities.

Money or the circulation of commodities and its spread over the world, creating a 'world market,' is the 'starting-point' of capital, writes Marx. (This is a reference to 15th and 16th century European *commercial* expansion.) Money becomes capital, but first appears as money (money as money: value with its own particular form, **an independent existence**, facilitating circulation) -- with the functions outlined in Chapter Three.

The ‘world market’ marks the beginning of the modern history of capital (p. 247), but Marx does not say **capitalism**; at this stage in the argument, we are still dealing with the development of marketplace society, much encumbered with feudal property forms. Moreover, the concept of ‘world market’ is not what is today called the ‘global economy;’ the former develops during the Renaissance, characterized by the rise of national capital striving for its share of the world; while the latter is the world as a whole subordinated to global capital, with few if any national ambitions.

The *accumulation of money in the process of circulation*, as the product of this stage, is 'the first form of appearance of capital' (p.247). And it is this form that capital first confronts the prevailing form of wealth in the sixteenth century, 'landed property' (as represented by monarchs, nobility, and ecclesiastical princes), and of course the mode of production that characterized it, namely, feudalism. Money, as merchants' capital and banker/usurers' capital, is the first historical forms of capital.

Hence, the conflict between feudal wealth and merchant capital is played out in civil wars or long-running parliamentary feuds.

Although this is the historical origin of capital, capital appears first as *money* before it is transformed into *capital* proper.

Formula for circulation of commodities: <u>C-M-C</u> (selling in order to buy) Formula for capital: <u>M-C-M</u> (buying in order to sell)
--

C stands for *commodity* here; later Marx uses it for *capital*.

Differences between the two circuits: (p. 249) [*The coming of M-C-M is a new world in the making... two dramatically different social systems. The rise M-C-M is the economic foundation of the Renaissance in art, philosophy and science.*]

a) Inverted paths: one starts and ends with C's and the other with M; one mediated by M and the other by C.

b) In C-M-C, the money is spent; in M-C-M, the money 'is merely advanced'.

c) In simple circulation, the M is displaced twice and the end result is the C; in M-C-M it is the C that is displaced twice and M which is the end result. The 'reflux of money to its starting-point' (p.250).

d) 'consumption' is the 'final goal' of simple circulation; whereas 'exchange-value' is 'the driving and motivating force, the determining purpose' of the path of capital: M-C-M, which presents a new dynamic in economic relations.

e) In C-M-C, the two extremes are 'both commodities of equal value,' albeit of different use-value: it is the exchange of different forms of congealed labour. In the circuit M-C-M there are two extremes which are different only in amount: both are money but the outcome is greater than the input. The formula really is: $M-C-M^1$, where M^1 is $M+$ an increase in M. The increase Marx calls **surplus value** (s-v) (p. 251).

It is the increase in M in the circuit M-C-M¹ that makes M into capital (p.252).
Capital, therefore, is money 'invested' in order to augment itself.

f) In C-M-C, 'the final goal lies outside circulation,' that is to say in *consumption*, in the satisfaction of some definite needs; in M-C-M, however, the end and beginning are the same; every end is then a beginning and the circuit becomes therefore endless. The purpose of M-C-M is *the augmentation of M* and therefore to fulfill that goal the circuit must be 'constantly renewed,' making the 'movement of capital... limitless' (p.253).

'Valorization of value' = the expansion of money as capital

As in direct exchange and the money system, the arrival of capital brings **new personalities** onto the world stage; the human 'bearer' of capital takes on the characteristics of the demands of capital (p.254).

g) **Nota bene:** in C-M-C money mediates the exchange of C's and has no other role to play; in M-C-M, 'both the money and the commodity function only as different modes of existence of value itself, the money as its general mode of existence, the commodity as its particular or, so to speak, disguised mode' (p.255). *In M-C-M, then, the significance of the use-value becomes entirely secondary, and the subject of the circuit becomes value alone, in one of two forms.*

Capital = value become independently active, value in pursuit of self-augmentation (the power of privately possessed congealed labour) (pp. 256, 1060)

M-C-M1 is the general formula for capital

Capital is 'money which begets money' in the words of the mercantilists, the early modern capitalists. *The beginning of 'economics' lies here as the science that traces the movement of value in the forms of commodities, money, and capital.* Hence, economists see nothing beyond value; beauty, love, innocence, honour, humanity, etc. are all as nothing.

The new preoccupation with exchange-value, and not use-value, begins a transformation of the world into the modern era – modernity defined as the moment capitalism arrives, which, following this argument, begins with the Industrial Revolution (1760-1830).

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CHAPTER 5: CONTRADICTIONS IN THE GENERAL FORMULA

The purpose of Chapter 5 is to set the stage for uncovering the source of the increased value in the circuit M-C-M¹. Marx's main point is to disabuse us of the notion that s-v arises in the sphere of circulation, the market, even though it must be realized in this sphere and the commodity (i.e., labour-power) that produces it must be purchased here.

In the circuit C-M-C, Marx points out that the exchange is an equal value for equal value; both sides benefit only in the sense that after the exchange each has a different and desired use-value; but there has been no value benefit (unless by accident or cheating) to one side or the other. (Cheating is endemic, but not intrinsic, to the marketplace: market credo: 'buyer beware'.)

Money in this circuit serves the purposes outlined in Chapter Three, in effect, to facilitate the exchange.

Here is what Marx says: '...all that happens in exchange...is a metamorphosis... The same value, i.e., the same quantity of objectified social labour remains throughout in the hands of the same commodity-owner, first in the shape of his commodity, then in the shape of the money into which the commodity had been transformed, and finally in the shape of the commodity into which this money had been re-converted' (p.260). In short, he summarizes: 'In its pure form, the exchange of commodities is an exchange of equivalents, and thus it is not a method of increasing value' (p.261).

The notion that surplus-value arises in circulation

Over the next few pages Marx addresses the not uncommon idea that surplus-value (s-v) is created in the process of circulation. His argument, in brief, rests on the point

expressed above that in circulation value is exchanged for equal value. His conclusion: 'The formation of s-v, and therefore the transformation of money into capital, can ... be explained neither by assuming that commodities are sold above their value, nor by assuming that they are bought at less than their value' (p.263).

It is all too common a notion that 's-v has its origin in a nominal rise of prices or in the privilege which the seller has of selling too dear...' (p.264) The counter-argument that Marx makes points to *the assumption in such a view* that there exists a class which produces and one which does not (consumers), and that therefore the former is in a position to sell their C's at prices above their value. The assumption is, of course, wrong; *all members of society produce something that is exchanged in the market even if it is only their labour-power*. In short, all are sellers and buyers and therefore all attempts to sell above value will be countered by similar attempts on the other side. In other words, theoretically, in a capitalist society all goods and services are sold and bought more or less at their value. *Profit is not the result of charging more than the value of the congealed labour in the commodity*.

It appears, however, to be the case with merchants' and usurers' capital that money put into circulation is augmented in the process of circulation; in particular, it would appear that fraud or cheating is the basis of merchants' capital, and that taking advantage in difficult times is the source of usurers' capital. Although such means can result in the augmentation of money in the process of circulation and can become common enough amongst merchants and usurers, this is not the systemic source of the augmentation of value, the surplus-value that Marx is going to explain. In circulation, Marx argues that there is no systemic means for the creation of s-v (pp. 266-267).

Value is created and can be increased only in the process of production, **but** it cannot be valorized in this sphere; only in the process of circulation can value be valorized, i.e., realized as an expansion of value. **Hence the paradox:** '*Capital cannot therefore arise from circulation, and it is equally impossible for it to arise apart from circulation. It must have its origin both in circulation and not in circulation*' (p.268).

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CHAPTER 6: THE SALE AND PURCHASE OF LABOUR POWER (the labour market)

In Chapter 5, Marx has led the reader to the point of seeing that s-v cannot arise in the sphere of circulation, but yet it must be realized in this sphere.

In Chapter 6, Marx deduces the source of value, and therefore of s-v, **in the expenditure of labour-power**, which is purchased as a commodity. **Now the problem is:** see the last sentence cited above on p.268 -- if value is created only in the sphere of production, in what sense does s-v have its origin in the sphere of circulation? The answer lies in his analysis of the sale and purchase of labour-power. *In this Chapter, he calculates the value*

of labour-power, but does not yet explore the role of labour in production, and how it creates s-v.

Marx includes this discussion of labour-power in Part Two because he wants to show that *the value of labour-power exchanges at its value*, and by implication s-v does not arise from cheating workers. In practice, a lot of s-v is extracted by **wage theft**, but this must not be confused as the systemic way that s-v is extracted. In general, Marx argues that labour-power, like all commodities, in theory exchanges for its value in wages/salaries in the market, but once purchased and applied in the sphere of production it produces more value than it is worth.

Marx begins by asking where the change of value – i.e., money (m) to augmented money (m+) -- takes place. It is not in the exchange itself (money as equivalent), i.e., not in the sale or purchase of C's: because that is the exchange of equivalent for equivalent.

The change can only come from the purchase and use, consumption, of a certain commodity that the money-owner finds in the sphere of circulation, in the market, namely, labour-power. It is, says Marx: 'a commodity whose use-value possesses the peculiar property of being a source of value, **whose actual consumption is therefore itself an objectification of labour, hence a creation of value**' (p.270).

Labour-power is indeed a commodity that is sold in the market, but this was not always the case. There are historical preconditions to finding labour-power as a commodity. *This is an important point if we want to make a distinction between labour in the CMP and labour in the 'natural economy,' and labour as it should appear in socialism.*

The preconditions are two-fold.

a) The possessor 'must be the **free proprietor** of his own labour-power, hence of his person' (p.271).

To be free, then, the seller and buyer of labour-power must be **equals before the law**. And it follows that the labour-power can only be sold for **a period of time**; labour-power cannot be sold as a 'lump, once and for all,' for that would be to make oneself a slave.

For more on Marx's view on the 'freedom' of workers, see p. 416.

b) The owner of labour-power must find it impossible to work for oneself or of being self-sufficient – he/she must 'be compelled to offer for sale' labour-power as a commodity - to be without the means of production and dependent on another for these means (p.272).

A market for labour-power presupposes a social division of labour complex enough that all products appear as commodities in a market function so that the separation of their use-value and exchange-value they possess functions as the rationale of exchange.

Capital arises only when labour has been 'freed' – capital and 'free' labour are polar opposites (p.274).

Here lies the reason that 'modernization theory' (as in W.W. Rostow) sees traditional pre-market modes of production as barriers to 'modernization'; and here is also the reason why the expansion of capital brings with it the destruction of all pre-capitalist modes of production. Capital needs 'free' labour – although under certain circumstances it can happily use unfree labour, such as slaves, indentured workers, prisoners, or military personnel. To get s-v out of unfree labour, however, is notoriously difficult, usually requiring varying degrees of coercion, terror, and brutality.

For M to become M' ($M+\Delta$), all the above conditions must be present; and so while value is created in the *sphere of production* by labour-power, it is the labour-power bought in *the market*, i.e., in the sphere of circulation, that is the source of value and so too s-v; and it is in the market where surplus-value is realized.

In short: capital 'arises only when the owner of the means of production and subsistence finds the free worker available, on the market, as the seller of his own labour-power. And this one historical pre-condition comprises a world's history. **Capital, therefore, announces from the outset a new epoch in the process of social production'** (p. 274). Here lies the distinguishing characteristic of capitalism; and hence the need to 'liberate' labour from pre-capitalist modes of production. (Enclosure movements, enslavement, annihilation of indigenous peoples, indentured labour, etc.)

Marx now examines how the value of labour-power is determined.

The value of labour-power, as with all commodities, is determined by the labour-time necessary for its production: its value 'represents no more than a definite quantity of the average social labour objectified in it' (p. 274).

The production of labour-power requires means of subsistence:

Marx writes: 'the value of labour-power is the value of the means of subsistence necessary for the maintenance of its owner.' The word *subsistence* has given rise to a great deal of confusion about what Marx really meant. Here is what he says: the means of subsistence 'must be sufficient to maintain [the worker] in his normal state as a working individual. His natural needs, such as food, clothing, fuel and housing vary according to the climatic and other physical peculiarities of his country.' Moreover, these needs 'are themselves products of history, and depend therefore to a great extent on the level of civilization attained by a country...on the habits and expectations ...' of the working class (p. 275).

'...the sum of means of subsistence necessary for the production of labour-power must include the means necessary for the worker's replacements, i.e., his children, in order that this race of peculiar commodity-owners may perpetuate its presence on the market.'

The means of subsistence also includes the cost of education and training, as well as moral, historical, and material aspects and expectations of a given era (p.276). Clearly, Marx is not referring to mere subsistence, but to means of subsistence commensurate with what is socially considered necessary to reproduce different values embedded in different kinds of labour-power.

The foregoing is a view of the value of labour-power as so-called 'human capital,' the perspective of capital.

Marx calculates the average means of subsistence

- The *minimum* limit of the means of subsistence: 'the value of the physically indispensable means of subsistence' (p.277).
- Workers are paid at end of the period committed for work, i.e., a week, two weeks, a month -- in this delayed pay process is an advance of credit to the capitalist: *buy now (labour-power), consume (labour), pay later (wages)*.
- The calculations that Marx maps out on pages 276-77 are very similar to the way that the legislated *minimum wage* is calculated by the modern state. And similar also to the way that the 'Campaign for a Living Wage' calculates its estimated *living wage*. It would be rare to find in any nation a **minimum wage** that was equal to a '**living wage**.'
- It could be argued that one of the implications of labour legislation and minimum wage laws, promulgated by capitalist states, is to restrain the working classes from exacting the actual value of their labour-power from employers, so creating a sanctioned, chronic, systematic reduction of wages below the value of labour-power. But this is no argument for eliminating such legislation, rather for strengthening it in the interests of labour.

To be able to calculate the approximate value of labour-power for various social strata allows one to understand the calculations by the state and corporations in keeping wages and salaries as close as possible to the 'necessities' required by these strata.

The end of Part Two

Let us leave this world of the **market**, he writes, 'leave this noisy sphere, where everything takes place on the surface and in full view of everyone, and follow them [the owners of labour-power and of money] into the hidden abode of production' (p. 279).

Here, Marx is telling the reader that up to this point he has been analyzing the development of commodities, money, and capital, but all in the sphere of the marketplace, i.e., the arena of circulation. But this is quite a different 'world' from the one he is now going to analyze, namely, the sphere of production.

The passage on p. 280 is important to go over carefully.

'The sphere of circulation or commodity exchange, within whose boundaries the sale and purchase of labour-power goes on, is in fact a very Eden of the innate rights of man. It is the exclusive realm of

Freedom, Equality, Property and Bentham. Freedom, because both buyer and seller of a commodity, let us say of labour-power, are determined only by their own free will. They contract as free persons, who are equal before the law. Their contract is the final result in which their joint will finds a common legal expression. Equality, because each enters into relation with the other, as with a simple owner of commodities, and they exchange equivalent for equivalent. Property, because each disposes only of what is his own. And Bentham, because each looks only to his own advantage. The only force bringing them together, and putting them into relation with each other, is the selfishness, the gain and the private interest of each. Each pays heed to himself only, and no one worries about the others.'

This is the 'world' of the marketplace, in which much of everyday life is lived, that gives us our view of our society, of all our notions of justice, and our concepts of freedom. But it is also the 'world' that disguises the nature of that justice and freedom, and that mystifies the source of wealth. *When we go shopping, we go as 'equals,' exchanging equal value for equal value. But when we go to work, we go as unequals and do as we are told.* Now, in **Part Three**, we enter the 'world' of production and the underlying essence of the system is exposed.

Essence and Appearance

Marx, at the end of this chapter, writes that until now the analysis has been of the **appearance** of things, but in the following chapter we will begin the analysis of the **essence** of capitalism, the 'hidden abode of production.'

It is in the sphere that 'we shall see, not only how capital produces, but how capital is itself produced, the secret of profit-making must at last be laid bare' (p. 280).

NOTA BENE: The last two paragraphs on page 280 are excellent examples of the distinction between essence and appearance, using the spheres of circulation and production as reference points.

***FROM THE REALM OF CIRCULATION TO THE REALM OF PRODUCTION ***

Up to Chapter 6 in the analysis, Marx has been analyzing *marketplace* relations, the world outside the workplace; now he will analyze relations in the *workplace* – the heart of labour-capital relations.

*In Chapter 7 he begins the analysis of the capitalist mode of production (CMP). After **value** has gone through a long journey of development as money in the marketplace, now in the form of **capital** it finally comes to dominate all sectors of the economy; the entire system comes to be reproduced through capital reproduction, hence the CMP.*

PART THREE: THE PRODUCTION OF ABSOLUTE SURPLUS-VALUE

Having argued that the source of surplus-value is not to be found in the sphere of circulation but in the purchase and use of labour power, Marx turns in Part 3 ['The Production of Absolute Surplus Value,' Chapters 7–11] to examine just how surplus is

extracted from labour. In **Chapter 7** he introduces the concept of the labour process and then analyzes *the capitalist labour process as holding the secret of the source of surplus-value*. In **Chapter 8**, he takes this analysis further and examines the different sources of value ('transferred' and 'new') in the end-product of the valorization process. In **Chapter 9**, he extends the analysis to show that the amount of *surplus* extracted in relation to the amount of *variable capital* gives the rate of surplus-value, or from the perspective of labour expended, the *degree of exploitation*. The rate of s-v or the degree of exploitation are obviously of enormous importance to both capitalist and worker. In the well-known and widely quoted **Chapter 10**, Marx works out just how s-v is extracted by the lengthening of the working day. The Chapter concludes with a historical periodization of the legislation dealing with the length of the working day. In **Chapter 11**, Marx further extends the argument by outlining the implications of the rate of s-v and its relation to the mass of s-v produced, which serves to introduce the reader to **Part Four**.

CHAPTER 7: THE LABOUR PROCESS AND VALORIZATION

In this chapter, Marx begins the examination of *the sphere of production*. The act of production is his starting point, i.e., *the labour process*. Following this, the process of producing surplus-value, *the valorization process*, is analyzed.

Section 1. The Labour Process

This sub-title could be followed by the phrase 'or the production of use-values' to indicate that Marx is here analyzing the process by which use-values are produced **under any mode of production**.

The first sentence of the chapter reads: 'The use of labour-power is labour itself.' **Labour-power** is the potential or capacity to work, a **commodity bought and sold**; and **labour** is the actual act, the doing of the work. Whether this is mental or manual labour makes no difference.

The commodity of labour-power is '**consumed**' when the capitalist buys it and puts the worker to work. In working, it is the *use-value* of the commodity labour-power, i.e., labour, that is *consumed* in the production of goods. And the *value* of this commodity is comprised of *socially necessary labour-time* to impart the experience, education, physical and/or mental abilities, etc. in the form of 'congealed' or 'objectified' labour in the worker.

Marx wants first to analyze the labour process abstractly, i.e., *without reference to any specific mode of production*. Most of this section, then, is done *without reference* to the labour process under capitalism. He writes: 'We shall therefore...have to consider the labour process independently of any specific social formation' (p.283).

The definition of the labour process:

Labour, says Marx, is 'the process by which man, through his own actions, mediates,

regulates and controls the metabolism between himself and nature.' **More:** humans confront nature as 'a force of nature,' by which he means that humans are nature, or self-conscious nature acting upon 'itself' as other, that is, upon unselfconscious nature, 'external nature.' **Yet more:** as humans change external nature, they change themselves; i.e., they develop in relation to what they produce and how they produce; to summarize in a well-worn phrase: 'man makes himself' or (up-dated) 'humans make themselves.'

The **distinction between labour and non-human activity:** in order to clarify the nature of labour, Marx compares human activity with that of other living things, namely, insects and animals. This is a well-known passage on page 284, and it can be summarized as follows: labour or human activity involves **conception before execution**, whereas the activity of other living beings does not. *Conception* implies the ability to abstract from particulars to grasp a thing conceptually, and *execution* implies a 'purposeful will.'

The **elements of the labour process:** '1. purposeful activity, i.e., *work* itself; 2. the *object* on which that work is performed, and 3. the *instruments* of that work' (p.284). It is well worth remembering these 3 elements of the definition.

Marx now examines points 2 and 3:

- The **object of labour:** 'With the exception of the extractive industries...all branches of industry deal with raw material.' **Raw material** is the object of labour, states Marx, but it is not really 'raw' if by that is meant unprocessed or in a natural state. Raw material in the production process refers to material that has been prepared for use in production, i.e., 'filtered through labour...already a product of labour' (p.284), for e.g. wood cleaned for carving or cut into lumber for building, ore concentrated for smelting, reeds cut and cleaned for weaving, etc. In other words, material used in production is always one or more steps removed from nature; it is never nature as is, which is how animals in general confront nature.
- The **instrument of labour:** that 'complex of things' which is interposed between the worker and the object of labour, or all those things which 'serve as conductors of activity, all the objective conditions necessary for carrying on the labour process' (p.285).
- **Instruments of labour and economic periods:** their level of development distinguishes 'different economic epochs' and the kind of social relations which characterize that epoch (p.286). *This is a very interesting point for us today, given that we live in an age of perpetual technological revolution. Can we talk about economic eras any more, or stable social relations?*
- **Means of production:** the instruments of production and the object of labour (raw material) combined.
- The **product of labour:** the product of the labour process is a use-value and

value, i.e., the activity has been objectified, and the labour-time (SNLT) has given the use-value its value. **All use-values are products of labour and of the means of production employed in the process of their making.** In turn, they become part of the means of production for subsequent labour processes. Use-values, then, are both the result of a labour process and the 'conditions of its existence.' (p.290)

Production is consumption (p.290).

Among many analytical insights provided by this definition of the labour process is the realization that all that humans use/consume is at least two steps 'removed' from nature, that is, (1) it is 'raw material' that is made into (2) use-values. We might add that labour is always a learned cultural practice. In other words, all use-values are products of nature 'filtered' through labour, and labour embodies tool traditions, i.e., cultural practices. Hence, humankind reproduces itself in the image of itself, not nature.

The labour process under capitalism

Now Marx leaves the abstract consideration of the labour process and moves to examine it as a process subordinated to capital.

- The 'worker works under the control of the capitalist to whom his labour belongs' (p.291). Manager, overseer.
- The product of the process is the 'property of the capitalist and not that of the worker, its immediate producer' (p.292).

In the long paragraph on page 292, Marx prepares the reader for section 2, an analysis of the **process of valorization**, by pointing to the fact that the product of labour belongs to the capitalist because all the ingredients of the labour process have been purchased in the first instance by the capitalist: raw materials, instruments of labour, and labour-power. Workers sell the use-value of their labour-power to the capitalist for a period of time and what is produced by that labour therefore belongs to the purchaser of that labour-power.

Section 2. The Valorization Process (p.293):

- In this section, Marx draws a distinction between the labour process just discussed and the process of making surplus-value; the **valorization process** is exactly that: it is the way in which more value comes to appear in the 'output' than was thrown into production.
- The first paragraph makes this distinction: the labour process in general results in **use-values *and* value, but the point of production, abstractly speaking, is always the use-value** (within a certain period of time): why else make something?

- The capitalist, however, is interested only in **value** and, more to the point, increased value, i.e., more value than was put in, in the first place. The **use-value** of labour becomes merely *the means* by which this increase will be realized: **the production of commodities**.

We must keep in mind that the concept of **commodities** does not refer to all human products, but strictly to those products produced for the marketplace: for buying and selling. For the better part of human history, humans produced only **use-values**.

*But **commodities** can be produced as objects strictly for exchange (as in petty-commodity production: equal value for equal value) or as objects for increasing value to their owners, the capitalist.*

Now to the capitalist production of commodities: the valorization process

Capitalist production: $M \rightarrow C$ (means of production + labour-power) $\rightarrow M + \Delta M$

- **First**, Marx examines the value embedded in the **means of production** broadly defined to include both **instruments of production** and **raw material** (293-5).

The *value of the raw material* is determined by the socially necessary labour-time required for its production, and this *value is transferred to the final commodity*.

Similarly, *the value of the instruments* of production reappears in the commodity but only in the proportion of the *wear and tear* that went into the production of that commodity.

Therefore: 10s worth of cotton reappears in the yarn made out of it and the 2s worth of wear and tear on the machinery reappears in the same yarn.

- **Second**, Marx analyzes what 'kind' of labour produces value; here, *a review of concrete and abstract labour* (p.295-299).

We return to the two-fold character of labour:

(1) **concrete labour** transfers the value of the means of production to the commodity and makes for the specific qualities found in the commodity;

(2) **abstract labour** is the substance of value, i.e., the new value, found in the commodity, i.e., units of simple average labour, measured in time.

Therefore: if the value of a day's labour-power is 3s, this adds 3s to total value of the commodity.

Value of the product = 10s (cotton) + 2s (w & t) + 3s (labour-power) = 15s. **BUT** this value equals the value of the capital advanced -- where is the surplus to come

from? (p. 297).

- **Third**, Marx examines how the surplus-value is created when, according to the analysis so far, *equivalent* is being exchanged for *equivalent*.

The heart of the matter lies in the difference between the value of labour-power (what is necessary to reproduce itself -- wage/salary) and the value that labour produces in the time-period for which it is employed. As Marx puts it: 'the past labour embodied in the labour-power *and* the living labour it can perform, and the daily cost of maintaining labour-power *and* its daily expenditure in work, are two totally different things' (p.300). There are two juxtapositions here: past labour and living labour, and daily costs and daily expenditure are different.

The source of surplus-value:

The value of labour-power (which is equal to the value of the means of subsistence) can be produced in less time than a 'full day's labour' -- half-a-day in Marx's argument -- while the labour-power has been bought for a full day.

As Marx writes: 'On the one hand, the daily sustenance of labour-power costs only half a day's labour, while on the other hand the very same labour-power can remain effective, can work, during a whole day, and consequently the value which its use during one day creates is a piece of good luck for the buyer, but by no means an injustice towards the seller' (p.301).

In other words, what breaks the law of equivalent exchange is not the appropriation of surplus-value but the wage/salary that is too low to allow for the reproduction of the worker; this is the source of injustice in the production process, not the extraction of s-v.

To simplify Marx's example: If in one day in the production of a given commodity the capitalist had invested, say, \$300 which is made up of \$250 in raw materials, \$25 in wear and tear on machinery, and \$25 in wages (value of labour-power), the value of the commodity in the end will be more than the \$300 **because** the value of the labour-power (\$25) represents the value of reproducing that labour-power, not the value of the product created during the time for which the labour-power was hired. If \$25 in value took one-half a day to produce, then, the worker would have produced the value of subsistence (the wage) in one-half day, and the other half day of value created (another \$25) would accrue to the capitalist *gratis*. The final product of this one day's labour would have a value of \$325.

There are several points to make here:

a) Profit has been made, but at the same time all exchanges have been made at their value: 'equivalent has been exchanged for equivalent' (p.301). In other words, the raw materials, equipment, and labour-power have all been bought at their value.

b) In so far as 'equivalent is exchanged for equivalent,' the system is not unjust, according to this argument. Injustice occurs when the exchange is unequal, i.e., when the wage/salary is below the value of labour-power. *Such a position runs counter to slogans of much opposition to capitalism that implies the system itself is unjust and for that reason should be overthrown. This is not the position of Marx.*

c) The transformation of money into capital 'both takes place and does not take place in the sphere of circulation.' The actual creation of value takes place in the sphere of production, but the *labour-power is purchased* in the sphere of circulation (the market); and the *value can only be realized* in circulation.

d) The process of valorization is only the continuation of the process of creating value past the point at which the value equal to the value of the means of subsistence required to reproduce the worker has been created.

e) The labour process: use-value vs exchange-value:

The labour process for *non-commodity production* consists of **concrete labour** producing use-values - qualitatively distinct items – with abstract labour represented by an allocation of socially necessary labour time determined by custom or tradition, or conscious decisions. By contrast, with *commodity production*, the labour process also produces use-values and values, **but** the value of the product takes on an objective form (money) in order that one commodity may be exchanged with another. Here everything counts quantitatively, i.e., as 'so many hours, or days,' of socially necessary labour, i.e., exchange-value.

f) In the value-creating process, 'the time spent in production counts only in so far as it is socially necessary for the production of a use-value' (p.303). In other words, (1) the means of production (technology) must be of the average level of development; and (2) 'the labour-power itself must be of normal effectiveness;' and (3) 'wasted' labour-time, and 'wasteful consumption of raw material or instruments of labour is strictly forbidden' because what does not become embodied in the produced commodity represents to the capitalist 'lost' value, i.e., 'inefficient' and therefore uncompetitive use of the 'inputs' in production.

(This point had very important implications in the decline of slavery when that mode of production found itself confronting the capitalist mode and the 'free' worker. The slave represents owned capital and lacks the motivation to work that the 'free' worker has in the face of the necessity to 'earn' a living.)

Complex and Simple average labour

The last point of the chapter refers to the differences in the production of s-v that arise with different types of labour: labour-power that contains more skill, training, education, etc., will produce more value in the same time as unskilled, untrained, or uneducated labour-power. It will also require more value for reproduction, but different types of labour-power are in the calculation of value reduced to units of 'simple average labour,'

and 'in both cases, the s-v results only from a quantitative excess of labour, from a lengthening of one and the same labour-process' (p. 305).



CHAPTER EIGHT: CONSTANT CAPITAL AND VARIABLE CAPITAL

This chapter deals with elements already introduced by Marx in previous chapters, namely, the components of the labour process – raw materials, instruments of production, and labour power -- and 'their different functions ... in the valorization process' (p.317).

The total value of the end product is made up of both transferred value from the raw materials and instruments of production (constant capital) **and** new value produced by the labour-power (variable capital) purchased in the market for the production process. *Here we come to comprehend better the component parts of value of a commodity.*

Marx defines the two elements in the title of the chapter on page 307:

Constant capital (c) - 'That part of capital...which [comprises the] means of production [and] does not undergo any quantitative alteration of value in the process of production.' (*Means of production: instruments -- including buildings, machinery, etc. -- and raw materials*)

Variable capital (v) - 'That part of capital which is turned into labour-power [and therefore] does undergo an alteration of value in the process of production. It both reproduces the equivalent of its own value and produces an excess, a surplus-value, which may itself vary...' (v+s).

Variable capital: 'The worker adds fresh value to the material of his labour...'

Constant capital: '...the values of the means of production used up in the process are preserved, and present themselves afresh as constituent parts of the value of the product...' (p.307).

While these two types of capital play different roles in the production of commodities, they are part of the same process: '...by the very act of adding new value [the worker] preserves their [the means of production] former values' (p. 307).

This **two-fold nature of the product** is to be explained by the **two-fold nature of the labour** that produces commodities (p.308). It is through the *concrete*, specific labour of the worker that the value of the means of production is transferred and preserved in the product. But fresh value is added to the commodity in the production process by virtue of the *abstract social labour*. The **amount of new value** is determined by the **amount of new socially necessary labour time** embedded in the commodity ($v+s$).

Marx then shows how this 'twofold effect, resulting from the twofold character of labour' can be seen 'quite plainly' in two examples, one of which there is a **rise in productivity** due to new technology and the other in which there is **change in the exchange-value** of the commodity (p.309).

- In the **first** example, new value ($v+s$) absorbed by each unit of production *declines* with the rise of productivity, while the value transferred (c) from the means of production *increases* -- both the increase and decrease take place as a result of the same process. (*Bear this point in mind for Marx's discussion of the 'organic composition of capital,' in Chapter 25.*)
- In the **second**, even though the exchange-value may vary, 'as long as the conditions of production remain the same, the more value the worker adds by fresh labour, the more value he transfers and preserves' (p. 310).

Use-value as the 'bearer' of value

- This point is quite straightforward: 'If an article loses its use-value it also loses its value' (p.310). In short, a commodity has value only insofar as it has use-value; no use-value, no value, i.e., no one wants to purchase it because no use for it.

Depreciation of machinery (and raw materials)

- In the production process, the value of raw materials and machinery is transferred and preserved in the new commodity. 'The raw material forms the substance of the product, but only after it has undergone a change in its form' (311). Machinery gradually has its value 'transferred to the product' over a certain time period.
- Only as much value as is in the means of production can be transferred; and it happens through the process of the destruction of their use-value (p.312).
- The use-value of nature unchanged by humans (wind, water, timber, etc.) adds no value to the commodity.

Waste in the production process

- If, in the production process, waste takes place unavoidably the value 'lost' is considered to have been passed on to the commodity. Where it can be recovered and added again into the process, its value is not 'lost' but actually added back in

at another time. (p. 313)

Productive labour

- 'The worker is unable to add new labour, to create new value, without at the same time preserving old values, because the labour he adds must be of a specific useful kind, and he cannot do work of a useful kind without employing products as the means of production of a new product, and thereby transferring their value to the new product.' (p. 314-5)

Surplus-value

- 'The activity of labour-power...not only reproduces its own value, but produces value over and above this. This surplus-value is the difference between the value of the product and the value of the elements consumed in the formation of the product, in other words the means of production and the labour-power.' (p. 317)

[Value of a commodity = value of raw materials + value of wear and tear on instruments of production (c) + value of labour-power (v) + surplus value (s)]
= c + v + s.

We must be careful not to confuse Marx's concepts of constant and variable capital with the mainstream economic concepts of 'fixed' and 'working capital.' *Fixed capital* usually refers to durable assets such as machinery, factories, and roads, canals, railways, etc.; whereas *working capital* refers to raw materials, unfinished goods, and all current capital requirements for day-to-day expenditures, including wages and salaries.

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This breakdown of the value components of a commodity (c+v+s) gives us a visual depiction of value in 3 different forms within a commodity. In Chapter 8, Marx has examined the ratio of c:v; and in Chapter 9, he will examine the ratio of s:v.

CHAPTER NINE: THE RATE OF SURPLUS-VALUE

(Rate: the proportional measure of one thing in relation to another.)

In this chapter, Marx employs the notion of the 'rate of surplus-value' to show the degree to which the worker is exploited.

NOTA BENE: On the notion of exploitation.

There are two meanings to exploitation. *One* refers to the use of something in an unjust or unethical manner; the *other* is a synonym simply for the use of something for a purpose. An example of the first would be the exploitation of child labour, which would be unethical because children cannot legally sign a contract, and they are unable to resist the intimidation of employers. The second meaning refers to simply the use of labour-power as a resource, and as long as the value of the labour-power is paid (and employment standards exist), there is no unethical relation.

We have stated earlier that the *argument* of Capital has no ethical dimension; it is an argument based on logic, with empirical and historical evidence. Marx is using the concept of exploitation here in the second sense to refer to the use of human beings as commodities, as something to be bought and sold as a form of value that can create more value. This is not a *value judgment* by Marx; this is the way capitalism defines and treats/uses humans.

1. The Degree of Exploitation of Labour-Power

- The first several pages of the chapter are spent in making the argument and demonstrating that the constant capital advanced by the capitalist does not contribute to the surplus created.
- In the formula $C = c + v$, upper-case C represents the total capital advanced; c represents constant capital or the means of production; and v represents variable capital or the value of the labour-power employed. The formula for expanded capital is: $C' = (c + v) + s$ where s represents the surplus-value.
- Since c (or the means of production) represents value that is constant on both sides of the equation, it is value transferred but it is not the source of the expansion of value. The variable capital, v , is the only active element and, as argued earlier, the source of s , the surplus-value.

Note that upper-case C = capital; and lower-case c = constant capital; but in Chapter Four, C referred to commodities.

Nota bene: **typo's** on **p.321**: twelve lines from the bottom: £140 should be **£410**; and on **p.328**: about the middle of the page: £150 should be **£510**. (*Corrected in recent editions.*)

The rate of surplus-value (ratio of value of s over v) [point of view of capital]

- 'The relative quantity [of s] produced, or the ratio in which the variable capital has valorized its value, is plainly determined by the ratio of the surplus-value to the variable capital, and expressed by s/v . [...] This relative increase in the value of the variable capital, or the relative magnitude of the surplus-value, is called here the rate of surplus-value' (p.324).

Necessary labour-time and necessary labour [point of view of labour]

- '...the portion of the working day during which this reproduction [of the value of the labour] takes place [is called] necessary labour-time and the labour expended during that time necessary labour.' (p.325)

Surplus labour-time and surplus labour

- The period of the labour process **after which** the worker has produced the value of his/her own value of labour-power is called *surplus labour-time* by Marx to indicate that during this time the worker is now producing value greater than his/her own value. '...the labour expended during that time... [is called] *surplus labour*.'

Degree of exploitation

(The amount of surplus extracted as a ratio of the amount of wages paid.)

- '...the rate of surplus-value, $s/v = \text{surplus-labour/necessary labour}$. Both ratios, s/v and surplus-labour/necessary labour express the same thing in different ways; in the one case in the form of objectified labour, in the other form of living, fluid labour.'
- 'The *rate of surplus-value* is therefore an exact expression for the degree of exploitation of labour-power by capital, or of the worker by the capitalist.' (p.326)

(Although this is the case, Marx adds in a footnote that this degree/rate of exploitation 'is in no sense an expression for the *absolute magnitude of the exploitation*. For example, if necessary labour = 5 hours and surplus labour = 5 hours, the degree of exploitation is 100 percent. The amount of exploitation is here measured by the second 5 hours. If, on the other hand, the necessary labour = 6 hours and the surplus labour = 6 hours, the degree of exploitation remains as before 100 percent, while the *actual amount of exploitation* has increased by 20 percent, namely from 5 to 6 hours' (p. 326 fn).

It should also be stressed that although the rate of surplus value and the degree of exploitation are identical expressions, they represent contrasting perspectives on the same relation – the point of view of capital and that of labour. There are only two perspectives; there is no third 'neutral,' or 'balanced' view.

The method of calculating the rate of surplus-value

On pages 327-9, Marx goes through some examples on the calculation of the rate of surplus-value.

2. The Value of the Product by Component Parts

In this section Marx argues that the value of a commodity can be calculated by analyzing the value of the component parts, namely, $c+v+s$. The value of these component parts can also be represented by the amount of time required to (1) transfer the value from the means of production, (2) reproduce the value of v , and (3) create the value of s . But this should not be understood to be carried out in a manner in which these parts are successively or sequentially carried out during the course of the day. Such notions give rise to such ideas as 'Senior's "Last Hour".'

3. Senior's Last Hour

Here is the formalization of the idea that workers do not produce the surplus value that makes up the capitalist's profit until the last hour of the day, the earlier part of the day being taken up in the transferring and reproducing the value originally advanced by the capitalist. It became an 'argument' against the shortening of the working-day since according to this 'reasoning' if the working-day were shortened it would remove the 'last hour' or whatever time during which the surplus was purportedly produced.

The point that Marx would make is that *in every moment* of the labour process, value is both created (new value = $v+s$) and transferred (old value = c). Whether one works for 10 seconds, 10 minutes, or 10 hours, new value is created and existing value is transferred. There is no separate period during which new value is produced or existing value transferred. The act of transferring value and creating value are simultaneous.



Charles Turzak 1899-1986. *Man with Drill*. ca. 1935. Woodcut.

CHAPTER 10: THE WORKING DAY

Part Three is entitled 'The production of Absolute Surplus Value' which refers to the extraction of surplus value by means of lengthening the working day. In Chapters 7, 8 and 9, Marx defines and clarifies the nature of surplus value, i.e., **as surplus value in**

general. In Chapter 10, he explores the nature of surplus value as **absolute surplus value**, that is, value expanded by means of lengthening the working day.

1. The Limits of the Working Day

In this section, he defines the **meaning of the working day**.

The argument has so far assumed that 'labour-power is bought and sold at its value.' And this value is determined by the socially necessary labour-time required to reproduce that labour-power. But this determination of the value of labour-power does not determine the length of the working day, the time for which the labour-power has been bought (p.340).

To illustrate, Marx points to three different working days of 7, 9, and 12 hours. In each case, it takes six hours to reproduce the value of the labour-power hired, but clearly in each there are three different amounts of surplus-value created; and the longer the working day, the more surplus-value is produced.

'The working day is...not a constant, but a variable quantity. One of its parts, certainly, is determined by the labour-time required for the reproduction of the labour-power of the worker himself. But its total amount varies with the duration of the surplus labour. The working day is therefore capable of being determined, but in and for itself indeterminate' (p. 341).

The limits of the working day:

Under capitalism, the minimum limit of the working day can never be less than the necessary labour time, since this is the time necessary to reproduce the value of the labour-power hired. (*In reality, the minimum limit is exceeded all the time by means of part-time labour, minimum wages below the value of labour-power, child labour, maquiladora labour, internships, etc.*)

The maximum limit, on the other hand, 'is conditioned by two things': (1) physical limits: how long can a human work each day without 'abnormal' exhaustion; (2) 'moral obstacles': these include all those factors constituting what would be considered 'normal' in a given society at a given time for different classes. (This limit is constantly tested by corporate resistance to unionization and government oversight, use of overtime, etc.)

What is a working day? (342)

For the capitalist, in order to create v and s , he/she must make the means of production 'absorb the greatest possible amount of surplus labour' possible. For the worker, there must be time after work to restore the depleted energy.

Conflict between labour and capital over the length of the working day:

The capitalist, Marx says, is personified capital: 'His soul is the soul of capital. But capital has one sole driving force, the drive to valorize itself, to create surplus-value, to make its constant part, the means of production, absorb the greatest amount of surplus labour. Capital is dead labour which, vampire-like, lives only by sucking living labour, and lives the more, the more labour it sucks' (p.342).

The worker, on the other hand, says Marx, sells his/her labour-power as a commodity and wants a 'fair exchange.' The trade union call for 'a fair day's pay for a fair day's work' becomes the clarion call against excessive exploitation of the worker, even though it is in Marx's analysis a mistaken notion, as we shall see in Chapters 19/20/21.

Meaning of the extension of the working day:

The extension of the working day increases the amount of surplus-value that is extracted from the worker.

It increases the rate of exploitation (surplus-labour as a ratio of necessary-labour = $s-l/n-l$) or (the same thing) the rate of s-v (s as a ratio of $v = s/v$).

To extend the working day and use up an amount of labour greater than can be restored in a 'normal' day is to use up prematurely the life-span of the worker, and to pay less over this shortened life than would be paid over a 'normal' life-span. (See Marx's example on page 343.)

The length of the working day is then an issue that is decided in a struggle between the owner of labour power and the owner of capital, between two 'rights' in the market place: 'force decides.' (p.344) Here, Marx is pointing to the conflict between the rights belonging to two forms of private property: workers' labour-power and capital's means of production.

2. The Appetite for Surplus Labour

In this section, Marx compares the capitalist and pre-capitalist in their respective drives for surplus labour.

[Boyar: member of old Russian nobility; or generic name for landed proprietor, i.e., wealth in a form other than capital.]

First: 'Capital did not invent surplus labour. Wherever a part of society possesses the monopoly of the means of production, the worker, free or unfree, must add to the labour-time necessary for his own maintenance an extra quantity of labour-time in order to produce the means of subsistence for the owner of the means of production...' (p.344).

Where, in pre-capitalist economic formations, the production process is primarily concerned with use-values, surplus labour will be limited to a 'set of needs' beyond the merely physical (see M. Sahlins, 'The Original Affluent Society'). In antiquity,

'...overwork becomes frightful only when the aim is to obtain exchange-value in its independent monetary shape, i.e., in the production of gold and silver' (p.345).

Second: Marx next compares the extraction of surplus labour in a pre-capitalist economy with that in a capitalist system: the main point is that in pre-capitalist economic formations the **surplus labour** is **evident as surplus**; it is separated from the **necessary labour** required to reproduce the means of subsistence for the worker. In the capitalist system, however, the extraction of surplus labour is done simultaneously with the necessary labour, i.e., there is no objective, visible, or identifiable means of separating the two. The idea of 'a working day' for which one is paid obscures the fact that within that day both forms of labour are being performed, necessary and surplus, without any distinction between the two. In other words, because labour-power is bought by an employer for a period of time, the distinction between necessary and surplus is not visible in the period (p.346).

The English Factory Acts

'These laws curb capital's drive towards a limitless draining away of labour-power by forcibly limiting the working day on the authority of the state, but a state ruled by capitalist and landlord. Apart from the daily more threatening advance of the working-class movement, the limiting of factory labour was dictated by the same necessity as forced the manuring of English fields with guano' (p.348).

In short, the drive for profit brought exhaustion to the working-class and therefore a fall in the vitality of the commodity that produced s-v. The Factory Acts ameliorated the worst effects of this exploitation.

3. Branches of Industry without Legal Limits to Exploitation

In section 2, Marx examines the nature of the factory acts and the reasons for their enactment: '...capital's monstrous outrages, unsurpassed, according to an English bourgeois economist, by the cruelties of the Spaniards...' in the Americas. (Marx was very likely aware of the well-known 16th century book by B. de las Casas, An Account of the Destruction of the Indies, in which the horrors perpetrated by the Spanish conquistadors against the conquered peoples of Latin America was systematically detailed.)

In this section, Marx examines what happens in those branches of industry to which for whatever reason the legislation governing the length of the working day did not extend.

*In most of the industrialized nations of the world there is legislation in place to protect workers as to the length of the working day and health and safety standards, **but** even where these regulations exist they are often not enforced. Moreover, in the semi-industrialized world and third world countries such protection that workers here take for granted is not to be found; and human slavery and bondage, extreme exploitation, and*

widespread use of child labour is common. Such abuse of workers is done for the purposes of extracting as much surplus-value as possible. To work a labour force to its limits, to the point of exhaustion, is often done where it can easily be replaced with a ready supply of willing workers or where alternative employment is difficult to find.

4. Day and Night Work: The Shift System

'Constant capital, the means of production, only exist, considered from the standpoint of the process of valorization, in order to absorb labour and, with every drop of labour, a proportional quantity of surplus labour. In so far as the means of production fail to do this, their mere existence forms a loss for the capitalist, in a negative sense, for while they lie fallow they represent a useless advance of capital... Capitalist production therefore drives, by its inherent nature, towards the appropriation of labour throughout the whole of the 24 hours in the day. But since it is physically impossible to exploit the same individual labour-power constantly ...' the shift system was developed (p.367).

5. The Struggle for the Normal Working Day: 14th to 17th Century

'By extending the working day...capitalist production, which is essentially the production of surplus-value, the absorption of surplus labour not only produces a deterioration of human labour-power by robbing it of its normal moral and physical conditions of development and activity, but also produces the premature exhaustion and death of this labour-power itself. It extends the workers' production-time within a given period by shortening his life.' (p.376-7)

The extension of the working day, however, and the consequent exhaustion of the working class increase the value of labour-power because it must be replaced more rapidly (the costs of reproduction of the working class rise) making the turn to a 'normal working day' in the interests of capital. This point, however, is understood only after the effects of the extended working day have appeared in the decline of the rate of surplus-value. **Where the national or regional working class can be constantly replenished by a global supply, this point is less valid.**

'The establishment of a normal working day is the result of centuries of struggle between the capitalist and the worker.' (p. 382)

But in this struggle there are **two tendencies**, says Marx. In the earlier statutes, from the 14th to the 17th centuries, the state attempts to legislate a longer working day. This is the case when the working class has not yet been entirely formed and alternatives to working for a capitalist remain. The state is employed to assist in the provision of an adequate supply of labour-power.

The second tendency comes after the end of the 18thC, when the working class has appeared and continues to grow, i.e., as a class with no alternative but to work for the possessors of the means of production. Now the working class has no where to turn for

relief from the demands of capital and in short order becomes exhausted; at this point, the state, both under pressure from the working class and to save the capitalists from themselves, enact legislation to limit the length of the working day.

6. The Struggle for a Normal Working Day: the Nineteenth Century

There are several points in this section that are very pertinent to the extension of the working day today.

7. The Struggle... Impact on Other Countries

The mode of production and its effect on the relations of production:

'Capital's drive towards a boundless and ruthless extension of the working day is satisfied first in those industries which were first to be revolutionized by water-power, steam and machinery in those earliest creations of the modern mode of production... The changed material mode of production, and the correspondingly changed social relations of the producers...' (p. 411).

The point is that the new means of production changed the relations of production and visited terrible cruelties on the working class until curbed by legislation.

'The establishment of a normal working day is therefore the product of a protracted and more or less **concealed civil war** between the capitalist class and the working class' (p. 412).

The above passage refers to the fact that there is no peace between the representatives of capital and labour, and that the appearance of labour standards, here signaled by the legal limits to the working day (but including a long list of employment standards and labour rights after decades of struggle), was 'the product' of this 'concealed war.'

'Labour in a white skin cannot emancipate itself where it is branded in a black skin' (p. 414).

This is a point made several times by Marx in other texts, first in relation to the treatment of the Irish by the English, and then in relation to the 'whites' and 'blacks' in the United States. In both cases, the working classes were divided by a racism that worked against their unity as a class. [Racism, sexism, bigotry, etc., serve to undermine class unity.]

Freedom of the worker:

'The contract by which he sold his labour-power to the capitalist proved... that he was free to dispose of himself. But when the transaction was concluded, it was discovered that he was no "free agent", that the period of time for which he is free to sell his labour-power is the period of time for which **he is forced** to sell it, that in fact the vampire will not let go "while there remains a single muscle, sinew or drop of blood to be exploited". For "protection" against the serpent of their agonies, the workers have to put their heads together and, as a class, compel the passing of a law, an all-powerful social barrier by

which they can be prevented from selling themselves and their families into slavery and death by voluntary contract with capital. In the place of the pompous catalogue of the "inalienable rights of man" there steps the modest Magna Carta of the legally limited working day, which at last makes clear "when the time which the worker sells is ended, and when his own begins" ' (p. 416).

Here Marx is saying that employment standards, like the legally limited 10-hour working day, are rights for workers, a working class Magna Carta, as opposed to, for instance, the Declaration of Human Rights, which represents the rights of private property that most benefit those with the financial means to exercise them.

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CHAPTER ELEVEN: The Rate and Mass of Surplus-Value

This chapter has to do with what the title suggests and associated implications for capitalists and workers. By developing the laws that spring from the relation of the rate and mass of s-v, Marx sets the stage for the argument that follows in Part Four – ‘The Production of Relative Surplus Value,’ i.e., there are limits to the extraction of absolute s-v once the length of the working-day is established by law.

In other words, the legally established limits to the expansion of the working-day, and therefore, the extraction of absolute s-v, create the necessity for the turn to extract relative surplus value – outlined in Part Four.

Marx delineates **three laws** regarding the rate and mass of surplus-value:

The first law:

- 'the mass of surplus-value produced is equal to the amount of the variable capital advanced multiplied by the rate of surplus-value...' or **$S = s/v \times V$**
- 'in other words: the mass of surplus-value is determined by the product of the number of labour-powers simultaneously exploited by the same capitalist and the degree of exploitation of each individual labour-power.' or **$S = P \times a'/a \times n$** (p.418)

Given these formulas in which upper-case S is the mass of surplus-value, it is clear that 'a decrease in one factor may be compensated for by an increase in the other.' It follows, therefore, that 'a decrease in the variable capital may...be compensated for by a proportionate rise in the degree of exploitation..., or a decrease in the number of workers employed by a proportionate extension of the working day. *Within limits, therefore, the supply of labour exploitable by capital is independent of the supply of workers'* (p.419). *Here is the principle behind 'downsizing' – fewer workers with increased exploitation produces the same mass of s-v.*

The second law: (which follows from the above)

- 'The absolute limit of the average working day - this being by nature always less than 24 hours - sets an absolute limit to the compensation for a reduction of variable capital by a higher rate of surplus-value, or for the decrease of the number of workers exploited by a higher degree of exploitation of labour-power' (p.419-20).

This law, says Marx, helps to explain why capitalists strive to 'reduce as much as possible the number of workers employed' while at the same time striving to produce as much mass of s-v as possible. It helps to explain the need to extract relative s-v. (Ch 12)

The third law:

- 'The rate of surplus-value, [i.e., the degree of exploitation of labour-power], and the value of labour-power, [i.e., the amount of the necessary labour-time], being given, it is self-evident that the greater the variable capital, the greater would be the mass of the value produced and of the surplus-value. If the limit of the working day is given, and also the limit of its necessary part, the mass of value and surplus-value produced by the individual capitalist is clearly exclusively dependent of the mass of labour that he sets in motion' (p. 420). (Brackets added)
[$S=s/v \times V$]

To put it another way:

'...the masses of value and surplus-value produced by different capitals -- the value of labour-power being given and its degree of exploitation being equal -- vary directly as the amounts of the variable components of these capitals, i.e., the parts which have been turned into living labour-power' (p.421).

This **third law** has its effects on immigration policies and on the length of the working day:

'The growth of population here forms the mathematical limit to the production of surplus-value by the total social capital. And inversely, with a given population this limit is formed by the possible lengthening of the working day' (p. 422).

A dialectical law: quantity into quality

Marx argues that 'from the foregoing,' 'it follows that not every sum of money, or value, can be transformed into capital at will. In fact, it is a presupposition of this transformation that certain minimum of money or of exchange-value is in the hands of the individual possessor of money or commodities' (p.422).

In short, there must be in the possession of the capitalist **sufficient money** to be able to purchase **enough labour-power** so that **enough surplus-value** is created not only **to reproduce** the conditions of production (to continue to purchase means of production and

labour-power) but also **to be able to live** on the surplus that remains.

The medieval 'master of a craft' into a capitalist:

'...at a certain point merely quantitative differences pass over by a dialectical inversion into qualitative distinctions' (p. 423).

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"Black Thursday", 1929. Painting by William Gropper.

PART FOUR: THE PRODUCTION OF RELATIVE SURPLUS-VALUE

In Part 3, Marx examined the concept of **absolute surplus-value**. Now in Part 4, he introduces the notion of **relative surplus-value**. In the former, s-v is extracted by **lengthening the working day**, but because of advances in organization and consciousness of the working class and obvious physical limitations to this lengthening, the demand arises for a legislated length of the working day to a certain number of hours. When this happens, the capitalist moves to expand the extraction of s-v by another

increase in general that curtails the necessary labour-time, but rather such an increase that lowers the value of labour-power, which means an increase in those sectors which produce the means of subsistence.

To be more specific, Marx says that for the value of labour-power to go down, there must be a rise in productivity (or lower costs) in those branches of industry that are concerned with 1) producing the means of subsistence (i.e., food, shelter, clothing, etc.) **and/or** 2) producing the 'instruments of labour and the material for labour for producing the means of subsistence.' 'But an increase in the productivity in those branches... which supply neither the necessary means of subsistence nor the means by which they are produced leaves the value of labour-power undisturbed' (p.432).

In short, the value of labour-power is reduced by an increase in the productivity of labour in the branches of industry that produce the means of subsistence and/or the means of production of the means of subsistence. Increased productivity reduces the amount of necessary labour-time to produce the same value and hence more surplus-value. In a word, **the commodities that constitute the means of subsistence are cheapened.**

Since the increased productivity in these branches would never take place overall simultaneously, but rather at different times in different industries (manufacturers of food, clothes, housing, etc.) the increased productivity in a given industry would cause a fall in the value of labour-power relative to its importance in providing for the means of subsistence. In other words, given the vast range of commodities that make-up the means of subsistence, the cheapening of these commodities causes a fall in the value of labour-power in proportion 'to the extent to which [any given] commodity enters into the reproduction of labour-power' (p.433).

In the middle of page 433, Marx makes the point that even though the capitalists in the branches of industry concerned with means of subsistence do reduce the value of labour-power by increasing productivity, *they do not increase productivity for this express purpose.* They do it because of the competitive nature of capitalism, i.e., the point of increasing productivity is to gain advantage over competitors. In the second half of this page, Marx makes the point that what **individual capitalists** do and think is different from the **general and necessary trends** which emerge from the totality of their **individual actions**. The former can be seen and heard; the latter can only be grasped by the work of the mind.

Science (essence and appearance):

Here is a good example of not only what Marx means by science, but also his argument on the difference between appearance and essence. Concerning this difference: the single capitalist appears to him/herself and to the empiricist as simply engaging in competition, whereas **the many acts of competition produce general trends and necessary outcomes independent of the individual capitalists.**

Concerning science, here is what Marx says: 'a scientific analysis of competition is

possible only if we can grasp the inner nature of capital, just as the apparent motions of the heavenly bodies are intelligible only to someone who is acquainted with their real motions, which are not perceptible to the senses' (p.433). In other words, science is the grasping of essences -- the inner nature -- of a thing by the use of the mind. The example of the heavenly bodies is used to make the point because the empirical experience of the stars, left at that level, would leave one with stars as pin-points of light and the moon as two feet across, etc. Only by use of the mind was the real motion and import uncovered -- subsequently confirmed by advances in empirical methods.

Productivity

The following page (434) contains an analysis of how an individual capitalist achieves an advantage over competitors by increasing productivity. It is worthwhile to work through his example of the effect of increasing productivity, keeping in mind that 12 pence (12d) make 1 shilling (1s). The import of the example is that if the value of the means of production remains the same while the productivity is doubled, the amount of value embedded in the total product is the same as before, **but, in the total product, there are more individual items each with less value.** The advantage to the capitalist who introduces more productive methods lies in the ability to sell commodities at above their individual value and, if possible, below their social value, i.e., market value. This advantage remains until 'the new method of production is generalized [i.e., adopted by all capitalists in the same branch], for then the difference between the individual value of the cheapened commodity and its social value vanishes' (p.436).

This increased productivity releases more commodities onto the market than it can bear (assuming that supply and demand are equal). **The only way to expand the market is to sell the commodities at prices below their social value (p. 434).** The capitalist with the new methods can do this and still sell commodities above their individual values.

The implications of new methods: they drive capitalists with old methods out of business, increase centralization and concentration, and produce the rationale for the advertising industry, which is to promote consumerism and create demand to meet the expanding supply.

'The exceptionally productive labour' acts as '**intensified labour**' because it allows more values to be produced in the same time as 'average social labour of the same kind' (p.435). For this same reason, new methods increase **the degree of exploitation** because the ratio of surplus labour-time to necessary labour-time has increased.

The general point of the chapter: 'Capital...has an immanent drive, and a constant tendency, towards increasing the productivity of labour, in order to cheapen commodities and, by cheapening commodities, to cheapen the worker' (p.436-7). **Marx goes on to say:** 'The absolute value of a commodity is, in itself, of no interest to the capitalist who produces it. All that interests him is the surplus-value present in it, which can be realized by sale' (p.437). In other words, the value of a commodity ($c+v+s$) is viewed simply as the bearer of value or more specifically **surplus**, which is all the capitalist is interested in.

And so: 'Why does the capitalist, whose sole concern is to produce exchange-value, continually strive to bring down the exchange-value of commodities?' (p.437). The answer is that, in a system of competition, the extraction of relative surplus-value by increasing the productivity of labour allows for more surplus to be extracted at the same time as the value of commodities is cheapened. The actions of individual capitalists produce trends beyond the power of these individuals.

Lower taxes also allow for lower wages and salaries (and so, gains for capital); and lower taxes may also increase the purchasing power of the working class by increasing the disposable amount of income without raising wages or salaries; but they undermine publicly supported programs and services and goods by making them the obstacle to lower taxes. If lower taxes, however, are introduced at the expense of public social services, the overall living standard of the working class may well fall with the fall in taxes.

Two key points of the chapter:

1. A decrease in the value of labour, or the necessary-labour time, can only be done by a) the lowering of the value of labour-power (*use of children, foreign workers, temporary/part-time labour, low official minimum wage, wage theft, etc.*) **or b)** the cheapening of the means of subsistence (*poor quality housing, food, clothing, etc.*) **or c)** increasing the productivity of the means of production dedicated to the means of subsistence (*new more efficient technology in production of food, shelter, clothing, etc.*)
2. An increase in productivity, the revolutionizing of the means of production in any branch of industry (change in tools or in method of work), acts in a way to 'shorten the labour-time necessary for the production of a commodity, and to endow a given quantity of labour with the power of producing a greater quantity of use-value' (431). In other words, an increase in productivity (given the same number of workers) does not result in the production of more value. It produces more use-values with the same total value as before, but now divided amongst more, i.e., each use-value has less value.

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CHAPTER 13 COOPERATION

At the end of Chapter 12, Marx writes: 'The objective of the development of the productivity of labour within the context of capitalist production is the shortening of that part of the working day in which the worker must work for himself, and the lengthening, thereby, of the other part of the day, in which he is free to work for nothing for the capitalist. How far this result can also be attained *without cheapening commodities* will appear from the following chapters, where we examine the particular methods of producing relative surplus-value' (p.438),

We understand ‘cheapening commodities’ to refer to cheapening of the means of subsistence and the consequent cheapening of the value of labour-power **or** reducing the overall number of workers. What Marx appears to be saying is that he will now explore the means by which capital increases the productivity of labour-power without a specific focus on the lowering of the value of labour-power or decreasing the necessary labour-time or reducing the number of workers.

Chapter 13, entitled ‘Co-operation,’ begins this exploration and is about the fundamental aspect of the capitalist mode of production, namely, the socialization of labour, the making of the labour process into a social process instead of an isolated and individual one.

This making of the working class into a social force is not to be confused with a democratic or voluntary cooperation of workers. Quite the contrary, the socialization of labour that Marx is pointing to is labour cooperation coerced by the economic necessity of having to have to work for a living as a collective unit for an employer.

Many contemporary labour processes appear to be less and less collective or cooperative and more and more individual and isolated; this is possible because of the enormous social power embedded in automated, robotized systems and in the computer and its applications, which allow fewer and fewer workers to do more and more. The cooperative or collective aspect of labour remains in these instances, but it is embedded in the computer in the form of dead (or past, objectified, congealed) labour activated by electricity and by the living labour (mental) of the user, employed for productive use mainly by corporations. As we arrive in the age of AI (artificial intelligence), even the mental side of the labour process (labour-power) becomes part of the inanimate instruments of production. The instruments of production, then, not only become extremely productive, but also absorb the side of labour-power (mental), all the while reducing the value of the means of production relative to productivity, not to mention the production of s-v. We might call this cooperation objectified.

In general, the chapter makes two main points: 1. **the socialization of labour-power** increases the productive power of labour in several ways; and this increased productivity provides a free benefit to the capitalist; and 2. the initial development of capitalist production takes place in **the form of ‘simple cooperation,’** that is, the forced cooperation of handicraft mode of production under the auspices of a capitalist.

The main points of this chapter:

- The starting point of capitalist production (p. 439):

‘A large number of workers working together, at the same time, in one place..., in order to produce the same sort of commodity under the command of the same capitalist, constitutes the starting-point of capitalist production.’

In other words, capitalist production requires both a minimum quantity of capital and a matching number of workers for its valorization.

The difference between handicraft production and the stage of manufacture (p. 439) rests on the question of the number of workers brought together in a process under one employer. A certain critical mass of labour powers provides one of the main defining characteristics of the shift from handicraft production to the stage of manufacture.

*[NB: It is important to realize that Marx uses the **concept of manufacture** to refer to a stage in the development of the labour process; it is not used, as is common now, as a general reference to all machine production as opposed to handicraft production. In fact, as used by Marx, it is a reference to **handicraft production** that is under the **control of capital**.]*

- The rise of abstract labour in the factory (pp. 440-1)

Over the next couple of pages Marx discusses how abstract labour – or ‘simple average labour’ – approaches a reality when a critical number of workers are assembled in a given workplace. ‘...individual differences... compensate each other and vanish whenever a certain minimum number of workers are employed together.’

But more: under the aegis of capital, a given number of workers can be obliged to adhere to a minimum degree of efficiency: ‘A fixed minimum of efficiency in all labour is assumed, and we shall see later on that capitalist production provides the means of fixing this minimum.’ He continues: ‘The law of valorization therefore comes fully into its own for the individual producer only when he produces as a capitalist and employs a number of workers simultaneously, i.e., when from the outset he sets in motion labour of a socially average character’ (441).

- Economies of scale (p. 442)

The ‘employment of a large number of workers produces a revolution in the objective conditions of the labour process’ (441). This revolution amounts to *a proportional increase in the means of production* – raw materials, tools, factories, store-houses, etc. – which, while not adding to the exchange-value of the commodities produced, produce an economy of scale (442).

Economies of scale are important to the capitalist because it means that the means of production ‘give up a smaller part of their value to each single product; partly because the total value they part with is spread over a greater number of products, and partly because their value, although it is greater in absolute terms, is relatively less... Owing to this, the value of a part of the constant capital falls, and, in proportion to the size of this fall, the total value of the commodity also falls. ...This economy in the application of the means of production arises entirely out of their joint consumption in the labour process by many workers.’

Here again is an unintended consequence of the transformation of the labour process – economies of scale mean less transference of value to each product thus cheapening it and allowing the capitalist to sell below the social value but above the individual value.

- Cooperation defined (p.443)

Here Marx defines what he means by cooperation: ‘When numerous workers work together side by side in accordance with a plan, whether in the same process, or in different but connected processes, this form of labour is called cooperation.’

The point that he is making in drawing attention to the socialization of labour is this: ‘Not only do we have here an increase in the productive power of the individual, by means of cooperation, but the creation of a new productive power, which is intrinsically a collective one’ (443). *That is to say a large number of workers whose energies are focused under/by a plan.*

Over the next few pages, Marx outlines the effects of this collective power (summarizing it on page 447) showing how *they increase productivity and, therefore, relative surplus-value*. The capitalist is the net beneficiary of this cooperative power, an unintended consequence of the increase in the number of workers under the direction of the employer, which is characteristic of the capitalist mode of production.

- ‘Subjection of labour to capital’ and the rise of management and resistance (p.448-50)

With the gradual demise of handicraft production in which the worker maintained control over the means of production and speed and quality of work, now with capitalist production, we find the **formal** ‘subjection of labour to capital’ – meaning that the worker ‘works for, and consequently under, the capitalist,’ although in the stage of ‘manufacture’ the worker still retains a certain control over the motive power and handling of the tools.

The implications of this subordination are two-fold. First, there necessarily arises the need for management, the voice of capital: ‘All directly social or communal labour on a large scale requires, to a greater or lesser degree, a directing authority, in order to secure the harmonious cooperation of the activities of individuals, and to perform the general functions that have their origin in the motion of the total productive organism...’

Second, as the number of workers under the control of, and exploited by, capital increases so too does ‘their resistance to the domination of capital and necessarily, the pressure put on by capital to overcome this resistance’ (p.449).

Marx compares the development of management to the hierarchy of command found in the military. Given the division between ownership and non-ownership of the means of

production, and the competitive nature of capital, there can be no alternative to strict management under the conditions of capitalist production (p.450).

- Social labour as productive force (p. 451)

Marx returns to the question of the productive power of collective labour, and makes the point that cooperative labour is at one and the same time a product of the CMP and a significant benefit to it.

He compares the examples of cooperative labour in antiquity to the ‘capitalist form’ of cooperation; they are fundamentally different. In ancient civilizations ‘simple cooperation’ produced monumental buildings, statues and public works premised on the power of sheer numbers; at the dawn of human life, cooperation was premised on the ‘common ownership of the conditions of production’ and on the unity of the individual and the community. The capitalist form, however, ‘presupposes...the free wage labourer who sells his labour-power to capital’ (p.452). Here cooperation is a consequence of the preconditions of the capitalist mode of production itself: a critical mass of capital and a critical number of workers. It is a complex cooperation based on the ‘detailed division of labour’ (Chapter 14) within the factory and under the direction of the capitalist.

- Cooperation as starting point of capital (p.453)

Cooperation is ‘the first change experienced by the actual labour process when subjected to capital.’ ‘The simultaneous employment of a large number of wage-labourers in the same labour process, which is a necessary condition for this change, also forms the starting point of capitalist production.’ ‘If, then, on the one hand, the capitalist mode of production is a historically necessary condition for the transformation of the labour process into a social process, so, on the other hand, this social form of the labour process is a method employed by capital for the more profitable exploitation of labour, by increasing its productive power’ (453).

- **In short, socialized labour increases productivity, hence relative surplus-value.**

The last point of the chapter is that ‘cooperation remains the fundamental form of the capitalist mode of production...’ (454). *In other words, the whole history of capitalism is also the history of the process of collectivizing workers – bringing them increasingly into a grand mutual interdependence.* Given this effect of capitalist production, its extension across the world creates the gradual interdependence of workers from all corners of the globe. Ultimately, all become dependent on one another because our expanding needs are addressed by a vast array of commodities produced by workers around the world: global production and distribution chains. Labour from across the globe becomes socialized, while the product of labour remains corporate private property.



Lithograph by Hugo Gellert. 1892 – 1985

CHAPTER 14 THE DIVISION OF LABOUR AND MANUFACTURE

If Chapter 13 examined the fundamental characteristic of the capitalist mode of production --that is, the socialization of labour in concert with the accumulation of a certain critical mass of capital -- it also pointed out that labour in a collective form, as opposed to the same number of workers taken individually, produces by itself an increase in productivity. This increase due to socialized labour is enhanced in every stage of capitalist development.

Chapter 14 begins the analysis of the historical stages of development of the production process under capitalism. For Marx during his lifetime, these stages amounted to three – ‘cooperation,’ ‘manufacture’ and ‘large-scale industry.’ Since Marx’s day other stages can be added to his list – Fordism, automation, computer-aided production, robotization, artificial intelligence, etc. – but these we will address later on.

The question of **stages in the development of the CMP** is important because in each stage the structure of capital changes and with that so too the structure of the working class. These changes must be analyzed because they raise new questions that demand new answers, neither found in previous stages.

1. The Dual Origin of Manufacture

[Note: **Manufacture**, for Marx, refers to production by *hand*, not by machine. *Manufacture is still handicraft production*, but in the form of factory labour organized by capital, not as individual crafts producer. Today, the term has come to be used generally as a reference to all forms of production other than handicraft.]

Marx begins by asserting: ‘That form of cooperation which is based on division of labour assumes its classical shape in manufacture.’ So, here we see that the subject of Chapter 13, cooperation, makes its appearance in the first form of capitalist production, i.e., manufacturing, which is grounded in the *technical division of labour* as found in the factory. This period of manufacturing extends, says Marx, ‘from the middle of the sixteenth century to the last third of the eighteenth century’ (455). During this time, manufacturing, as the first form of capitalist production, continuously usurps pre-capitalist handicraft forms of production, destroying or absorbing these means and methods of production.

There are **two origins to manufacturing**. *One* is to bring ‘together in one workshop, under the control of a single capitalist, of workers belonging to various independent handicrafts, through whose hands a given article must pass on its way to completion.’ He gives the examples of the making of the carriage; and in this process of bringing various handicrafts together they lose their breadth of handicraft activity and become narrowed, concentrating on those tasks only associated with the construction of carriages (455-6).

The *other* origin lies in the employment ‘in one workshop a number of craftsmen who all do the same work, or the same kind of work, such as making paper, type or needles.’ (456)

Marx summarizes the two origins: ‘On the one hand it arises from the combination of various independent trades... On the other hand, it arises from the cooperation of craftsmen in one particular handicraft.’ And further: ‘On the one hand, therefore, manufacture either introduces division of labour into a process of production, or further develops that division; on the other hand it combines together handicrafts that were formerly separate. But whatever may have been its particular starting-point, its final form is always the same – a productive mechanism whose organs are human beings’ (457).

In manufacture, the handicraft skills are ‘decomposed’ – that is, dissected, and the workers set to work more or less exclusively at one or other of the separated tasks that previously made up an organic whole of handicraft production. While this division of labour or ‘decomposition’ characterizes manufacture, certain characteristics of handicraft production remain: ‘Whether complex or simple, each operation has to be done by hand, retains the character of a handicraft, and is therefore dependent on the strength, skill, quickness, and sureness with which the individual worker manipulates his tools.’

Handicraft remains the basis, a technically narrow basis which excludes a really scientific division of the production process into its component parts, since every partial process

undergone by the product must be capable of being done by hand, and of forming a separate handicraft.' In short, in the stage of manufacture, 'the skill of the craftsman ...continues to be the foundation of the production process...' (458).

2. The Specialized Worker and His Tools

In this section Marx examines the consequences of the **detailed division of labour**. The worker who performs the same function for most of his/her working life 'converts his body into the automatic, one-sided implement of that operation.' In doing this, 'he takes less time...than the craftsman who performs a whole series of operations in succession' (458). This repetitive one-sided activity leads to greater productivity, that is, more use-values are produced in the same time than the same number of workers performing the same tasks but in an all-rounded manner.

This separation of the tasks simultaneously makes obvious the 'gaps' in the process and resolves them. 'The resulting increase of productivity is due either to an increased expenditure of labour-power in a given time – i.e., increased intensity of labour – or to a decrease in the amount of labour-power unproductively consumed' (460). The repetitive nature of work so restricted harms the vital powers of workers, but it also intensifies labour. Once again productivity is increased through the detailed division of labour with negative effects for the worker and the beneficiary is the capitalist. (See: Taylorism.)

Not only does manufacture make the worker into a form of specialized labour-power, but also transforms the tools that come from the earlier handicraft mode of production. 'The manufacturing period simplifies, improves and multiplies the implements of labour by adapting them to the exclusive and special functions of each kind of worker. *It thus creates at the same time one of the material conditions for the existence of machinery, which consists of a combination of simple instruments*' (460-1).

3. The Two Fundamental Forms of Manufacture – Heterogeneous and Organic

In this section, Marx analyzes the two main forms of manufacturing occurring in his day. 'This double character arises from the nature of the article produced, which either results from the merely mechanical assembling of partial products made independently, or owes its completed shape to a series of connected processes and manipulations' (461).

As his example of the former form, the *heterogeneous*, he uses the manufacture of the watch, which finds completion through a process that is like the assembly of the products of many specialized workers. For the latter, the *organic*, he uses the example of the manufacture of needles. Articles are produced 'through connected phases of development, go step by step through a series of processes...' (463).

In the latter form, productivity is increased by means of the cooperative nature of the labour, compared to handicraft production, and by means of the shortening of time between one stage and another in the production process. It is the effect of the 'collective

worker’ – the cooperative nature of work under the aegis of the capitalist – that increases productivity and intensity and therefore surplus-value (464).

In these pages one can see the elements of the principles that Taylor (more on him later) was to formalize and that later become known as ‘scientific management.’

Determination of value

Because of the effect of many workers working together under one roof, there is a shift, argues Marx, in the arbiter of the amount of socially necessary labour power embedded in any given commodity. ‘The rule that the labour-time expended on a commodity should not exceed the amount socially necessary to produce it is one that appears from outside by the action of competition: to put it superficially, each single producer is obliged to sell his commodity at its market price. In manufacture, on the contrary, the provision (putting out) of a given quantity of the product in a given period of labour is a technical law of the process of production itself’ (465).

Here Marx is saying that with *handicraft production*, the **value of a commodity** is established as exchange-value in the market, whereas, with *manufacture* the **value** or socially necessary labour-time is established in the factory under the command of management.

Factory Labour hierarchies

With the development of capitalist manufacture, there also arises the phenomenon of vertical integration of the production of all the component parts of the final product (467).

The breaking up of the handicraft skills leads to specialization in their component elements, and this in turn leads to a hierarchy of labour-power and of wages (469).

This dissection of skills and the hierarchy of labour-powers mean that the overall value of labour-power declines. No longer is the master craftsman needed; now the knowledge and skills of the master have been degraded into a series of lesser skills and fragmented knowledge – all worth less than when embodied in a single person. The ‘expenses of apprenticeship’ decline and even disappear for many; and the value of labour-power is lessened shortening the necessary labour-time and lengthening the surplus labour-time (470). To ‘de-skill’ is to ‘de-value.’

4. The Division of Labour in Manufacture, and the Division of Labour in Society

Here Marx makes the distinction between these two forms of the division of labour. The division of labour in society (or the social division of labour) begins with the dawn of human existence; while the division in manufacture begins only with the coming of capitalist production. The social division of labour is discussed on pages 471-2; and the differences are mapped out over the following pages.

The social division of labour under capitalism is the product of the capitalist production and market exchange and therefore is characterized by ‘anarchy’ – its form is determined by the irrational actions of the market. At the same time, the detailed division of labour in the workshop is characterized by ‘despotism,’ the rule of capital – its form determined by the demands of capital to maximize the surplus-value extracted from the labour of the workers (477).

On pages 477-479, Marx compares the character of these forms of the division of labour to those of systems of common ownership, where the social and detailed divisions of labour based on a simple mode of production appear as planned (478-9).

In the transition from **feudalism to capitalism**, a social structure representing a given **social** division of labour belonging to feudalism (namely, a landed aristocracy, monarchy, and church) had to be eliminated before capital could commence the detailed division in the workshop. But it was **the guilds** that ‘deliberately hindered the transformation of the single master into a capitalist, by placing very strict limits on the number of apprentices and journeymen he could employ’ (479), thereby excluding ‘the kind of division of labour characteristic of manufacture’ (480). They had to be dismantled so that labour could be bought ‘as a commodity’ and the **detailed** division of labour in the workshop established.

5. The Capitalist Character of Manufacture

(Manufacturing, it must be remembered, is capitalized craft production; the analysis is not yet at the stage of machinery and the entire system characterized by the capitalist mode of production.)

Marx has already established that there must be a critical amount of accumulated capital before investment in capitalist production is possible; now he makes the point that capitalist production also demands a critical number of workers ‘under the control of one capitalist.’ Given the detailed division of labour, moreover, an increase in the number of workers is necessary and, to further the advantages of this division, it is necessary to continue to add workers.

This increase in variable capital means that there must be an increase in constant capital as well. ‘The quantity of it [constant capital] consumed in a given time, by a given amount of labour, increases in the same ratio as does the productive power of that labour through its division. Hence it is a law, springing from the technical character of manufacture, that the minimum amount of capital which the capitalist must possess has to go on increasing. In other words, the transformation of the social means of production and subsistence into capital must keep extending’ (480).

This interesting point suggests that there must be a constant increase in the minimum amount of start-up capital for capitalist manufacture, and that once commenced capitalist production seeks to capitalize all ‘means of production and subsistence.’ This point has to be modified in the age of computers.

The collective worker organized by the capitalist in the workshop constitutes for the capitalist a force of production. At the same time, the worker is degraded and ‘crippled’ in order to produce this cooperative force (481-2).

Mental and manual

In this detailed division of labour in the workshop, the mental and manual labour previously combined in the skills are separated and the mental for the most part shifts to the capitalist. Knowledge, once part of the productive act, becomes the preserve of the capitalist. Ultimately, Marx points out, **knowledge as science** becomes a powerful productive force ‘in the service of capital’ under large-scale industry (482). (Chapter 15)

It is worth mentioning here that this **period of manufacturing** covers much the same time period as the Renaissance, mercantilism and the **Enlightenment**. And the Enlightenment is commonly defined as the coming preeminence of science and reason over tradition and religion. The rapid development of science and reason in this period has been argued to be a corollary of the development of manufacturing. It has also been argued that much of this science was a usurpation of the implicit knowledge in the minds of skilled workers, but as science it was formalized, made explicit. (See: C. D. Conner, *A People’s History of Science*, New York: Nation Books, 2005)

The **consequent decline of intellectual activity** amongst the working class brings calls for some elementary education provided by the state (484). *Later, it becomes clear that advanced forms of capitalist production require a working class that is stratified according to varying degrees of education and skill.*

The chapter ends with a lead-in to the next chapter.

‘At a certain stage of its development, the narrow technical basis on which manufacture rested came into contradiction with requirements of production which it had itself created.’

‘One of its most finished products was the workshop for the production of the instruments of labour themselves, and particularly the complicated pieces of mechanical apparatus already being employed.

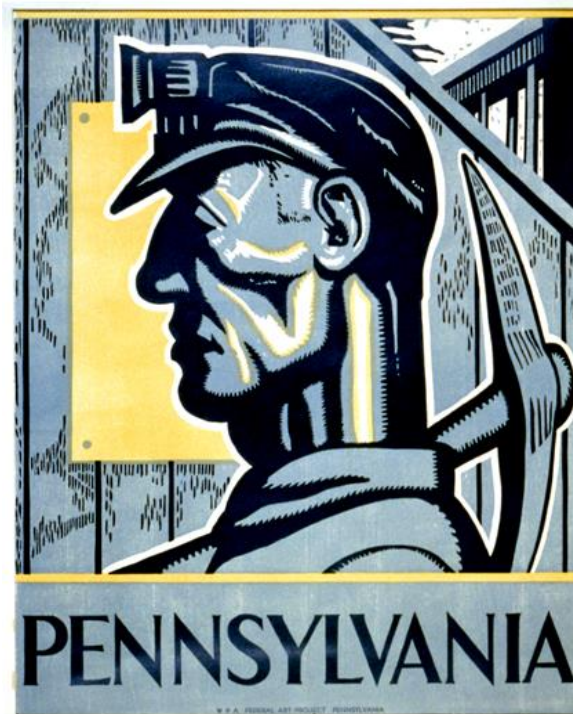
‘This workshop, the product of the division of labour in manufacture, produced in its turn – machines. It is machines that abolish the role of the handicraftsman as the regulating principle of social production. ...the technical reason for the lifelong attachment of the worker to a partial function is swept away...[and] the barriers placed in the way of the domination of capital by this same regulating principle...also fall.’ (491).

In short, by creating the workshop (manufacturing), the labour process was subjected to analysis, rational dissection, in order to lower the value of labour-power (de-skilling) and increase productivity and intensity of labour. Out of this rationalization of the labour process came the insight into the invention and the possibility of the use of machines.

In producing machines, says Marx, the era of manufacture undermined the very basis of its mode of production (the ‘decomposed’ handicraft mode) and prepared the ground for the next stage – large-scale industry based on machine production.

‘Manufacture produced the machinery with which large-scale industry abolished the handicraft and manufacturing systems in the spheres of production it first seized hold of. The system of machine production therefore grew spontaneously on a material basis which was inadequate to it. When the system had attained a certain degree of development, it had to overthrow this ready-made foundation...and create for itself a new basis appropriate to its own mode of production’ (504).

The system of manufacture, with its **craft** unions, each specific to separate trades, was about to be replaced by the system of machines, and a push to organize **industrial or all-in** unions.



Artist Isadore Posoff made this stunning miner for Pennsylvania, the mining capital of America at the time, 1937. Mine workers were among the first to organize, pushing for much-needed safety reforms.

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CHAPTER 15 MACHINERY AND LARGE-SCALE INDUSTRY

1. The Development of Machinery

The coming of machinery is largely synonymous with the **Industrial Revolution (1760-1830)**, and that with the arrival of the CMP, defined by the subordination by capital of all the spheres of reproduction. Machinery would appear to be, for Marx, the third stage of development towards the capitalist mode of production. Here is what he says: ‘We have seen how machinery does away with cooperation based on handicrafts, and with manufacture based on the handicraft division of labour’ (588). Although ‘cooperation’ constitutes one form of the CMP, it remains the foundation of all subsequent stages of development (454), i.e., **capitalist production is nothing if not social production.**

Marx begins this chapter by pointing out that the introduction of ‘machinery under capitalism’ was never intended to reduce the amount of work, but only ‘to cheapen commodities and, by shortening the part of the working day in which the worker works for himself, to lengthen the other part, the part he gives to the capitalist for nothing. The machine is a means for producing surplus-value’ (492).

[To digress from the argument here, the introduction of machinery under a system of freely associated labour (socialism) would create both more free time for everyone and more surplus for social advancement. Current anti-technology sentiments/movements have their starting point as the use of technology in the CMP and not as part of the potential liberation of humans from work.]

In the second paragraph, Marx points out: ‘**In manufacture**, the transformation of the mode of production takes labour as its starting-point. In **large-scale industry**, on the other hand, the instruments of labour are the starting-point.’ By this he means that the shift from handicraft production to manufacture was principally a shift in the nature and organization of labour, whereas the change to large-scale industry was a question of the transformation of tools. This second transformation is about the coming of machines.

He defines the machine: ‘All fully developed machinery consists of three essentially different parts, the motor mechanism, the transmitting mechanism, and finally the tool or working machine’ (494). And more: ‘The machine... is a mechanism that, after being set in motion, performs with its tools the same operation as the worker formerly did with similar tools.’ ‘From the moment that the tool proper is taken from man and fitted into a mechanism, a *machine* takes the place of a mere *implement*.’ ‘The number of tools that a machine can bring into play simultaneously is from the outset independent of the organic limitations that confine the tools of the handicraftsman’ (495).

Marx next discusses the relation between *the machine and its source of power* (496). He argues that it was ‘the invention of machines that made a revolution in the form of steam-engines necessary.’ In other words, it was not the steam-engine that spawned the industrial revolution, but the ‘invention of machines.’

The machine, in Marx's view, is coterminous with the industrial revolution. 'The machine, which is the starting-point of the industrial revolution, replaces the worker, who handles a single tool, by a mechanism operating with a number of similar tools and set in motion by a single motive force, whatever the form of that power' (497).

'An increase in the size of the machine and the number of its working tools calls for a more massive mechanism to drive it...' (497-9).

On page 498, **note the relation between the demands of increased machinery and science.** The physical limits of harnessing sources of power (water, wind, animals) gave rise to scientific investigation into sources of power, transmissions and tools. *Hereafter, the physical sciences and machinery and power would forever be linked.*

Steam power replaces horses, water, and wind for several reasons. 'Not till the invention of Watt's second and so-called double-acting steam-engine was a prime mover found which drew its own motive power from the consumption of coal and water, was entirely under man's control, was mobile and a means of locomotion, was urban and not – like the water-wheel – rural, permitted production to be concentrated in towns instead of – like the water-wheels – being scattered over the countryside....' (499).

Independence of the motive force (steam-engines in Marx's time) gives rise to machine cooperation and complexes – i.e., many machines powered by one source. Hence the rapid rise in machine production (499).

Marx makes a distinction between two ways in which machines are combined – one machine that carries out multiple functions and a machine complex made up of complementary machines (500-1). But the main point here is that Marx is describing a 'machine system' – i.e., many 'complementary machines of varying kinds' through which a product passes before emerging as commodity. And even in Marx's day, he could talk about a 'vast automaton,' i.e., a huge complex of machines, autonomously powered and operating.

2. The Value Transferred by the Machine to the Product (508)

3. The Most Immediate Effects of Machine Production on the Worker (517)

- a) Appropriation of Supplementary Labour-Power by Capital (517)
- b) The Prolongation of the Working Day (526)
- c) Intensification of Labour (533)

4. The Factory (544)

5. The Struggle Between Worker and Machine (553)

6. The Compensation Theory... (565)

7. Repulsion and Attraction of Workers... (575)

8. The Revolutionary Impact of Large-Scale Industry ... (588)

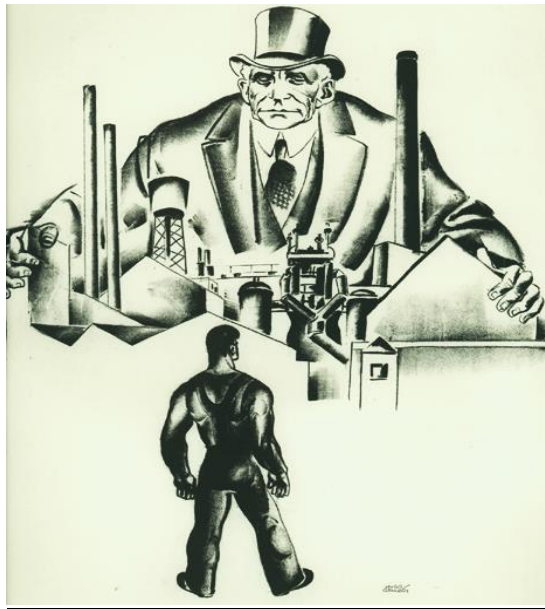
- a) Overthrow of Co-operation ...
- b) The Impact of the Factory System...
- c) Modern Manufacture
- d) Modern Domestic Industry
- e) Transition from Modern Manufacture...to Large-Scale Industry

9. The Health and Education Clauses... (610)

10. Large-scale Industry and Agriculture (636)

(This section is especially insightful for those interested in environmentalism, see also: J. B. Foster. (2013). 'Marx and the Rift in the Universal Metabolism of Nature.' *Monthly Review*. Vol. 65. No. 7.)

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Lithograph by Hugo Gellert. 1892 – 1895

**PART FIVE: THE PRODUCTION OF ABSOLUTE AND RELATIVE
SURPLUS-VALUE**

In Part 5, Marx continues to examine the development of capital, but now within the development of the capitalist mode of production that, contemporaneous with his life, had begun the conquest of every sphere of social reproduction. There is no longer, then, a

particular emphasis on the production of absolute or relative surplus-value but rather on the production of both simultaneously. The fully developed capitalist mode of production strives to increase both relative and absolute surplus-value. Chapters 16, 17, 18 bring together many of the points made in Part 4.

CHAPTER 16: ABSOLUTE AND RELATIVE SURPLUS-VALUE

The chapter is about the nature of productive labour under the capitalist process of production. The implications of productive labour as labour that is always collective and that produces surplus-value allow us to see that, with the extension of the capitalist mode of production, all forms of labour *not* productive of surplus-value and *not* collective will gradually succumb to the form of productive labour under capitalism. (*For a longer discussion of productive and unproductive labour, see pages 1038-1048.*)

He begins by pointing out that, abstractly speaking, productive labour is that which produces a result from a labour process. In the capitalist labour process, however, the nature of labour and the result is much different.

In the first couple of pages (643-4), he maps out these differences. (1) In small-scale production, the workers can supervise themselves; under capitalism, they are ‘supervised by others.’ (2) Small-scale producers combine the elements of conception and execution; under capitalism mental and manual labour are separated. (3) In the former, the product is the direct result of one or a few producers; in the latter, it is always the product of ‘a combination of workers.’

These characteristics constitute a change in the ‘concept of productive labour.’ **First**, a productive worker is now part of a ‘collective labourer’ whose relation to the final product may never be seen or understood. **Second**, a productive worker is now someone who produces surplus-value. In other words, as far as the system is concerned, *the only labour that counts* is that which produces surplus-value. This is not to say that other forms of labour are not essential to the reproduction of the system (such as home child-rearing, or work in the public sector) but they are not considered ‘productive’ in a capitalist mode of production because they are paid out of revenue and do not produce surplus-value for capital.

Note the often-cited example given by Marx (644) about the school teacher who works for a private school and produces surplus-value for the owner. By contrast, the school teacher in the public sector produces no such surplus. The former produces s-v, the latter not.

The production of absolute and relative surplus-value corresponds to different types of relation between labour and capital (645). In the stages of simple cooperation and manufacturing, capital establishes control over the labour process, but the workers retain direct control over the tools and pace of production – this, Marx calls, the ‘*formal subsumption of labour*’ to capital, and it allows for the extraction of absolute surplus-value – the lengthening of the working day. With the introduction of machinery comes

the '*real subsumption*' of labour to capital and the extraction of relative surplus-value by *increasing productivity* and re-casting the production process to *intensify* labour.

There is a relation between productivity, needs, and surplus-value. As long as human needs are limited, there is a similarly limited necessity to produce anything beyond their satisfaction. As productivity and needs increase, so too the possibility of the production of a surplus. On the basis of this surplus, there arises the possibility of a part of that community to live 'on the labour of others' (647). The more productive the labour, the larger that part of the community is that can live off the surplus. Today, a substantial part of the population in industrial nations live off s-v – namely, government bureaucracies, civil service workers (teachers, medical staff, artists, librarians, etc.), the military, police/fire-fighters, employees in state dependent corporate sector and bailed-out private corporations, etc.

Where the bounty of nature provides a surplus without much labour, that natural plenty allows for public or artistic works that could not have been accomplished otherwise – to wit, the temple sites of the antique world (648). But natural plenty also has the effect of preventing development because it presents few demands to develop the instruments of production to overcome adversity or seasonal privations (649).

CHAPTER 17: CHANGES OF MAGNITUDE IN THE PRICE OF LABOUR-POWER AND IN SURPLUS-VALUE

If Chapter 16 is about productive labour in the capitalist mode of production, as collective labour that produces surplus-value, Chapter 17 is about the relation between the price of labour-power and surplus-value – more specifically the share of new value going to labour (v) and capital (s). The concepts of wages and profits are not used here because the concept of wages, as we shall see in Chapter 19, is profoundly ideological: it assumes appearance to be the truth. And the concept of profit is much narrower than the concept of surplus-value, which embraces all the value produced beyond the value of wages. Profit is one part of surplus-value, which is broken into profit, rent, interest, salaries, insurance, overhead, etc.

In the first paragraph, Marx maps out the components of the value of labour-power – which are the 'quantity of means of subsistence,' the 'cost of developing that power' such as education, training, experience, etc., and the 'natural diversity of labour-power' (655).

In the third paragraph, he itemizes the factors that determine the relative magnitude of surplus-value and of the price of labour-power (s and v). These are (1) 'the length of the working day,' (2) 'the normal intensity of labour,' (3) and the 'productivity of labour.' How these three factors vary in relation to one another determine the relative share of total new value (v+s) produced that goes to the value of labour-power or surplus-value – loosely, wages and profits. The better part of the chapter is an examination of the main relations between these three factors and their effects on **the share going to labour-**

power or surplus-value. This relative share is ultimately determined by class struggle over wages and working conditions (659). (See also: Phillips Curve)

1. Length of working day and intensity of labour held constant, while the productivity of labour is varied (656-660).

‘A variation in the productivity of labour, its increase or diminution, causes the value of labour-power to move in the opposite direction’ (656).

‘The amount of this fall [diminution of value of l-p]... depends on the relative weight thrown into the scale by the pressure of capital on the one side, and resistance of the worker on the other’ (659).

2. Length of working day and productivity held constant, while intensity varied (660-662).

In this section, Marx makes the distinction between the effects of increased productivity and increased intensity of labour. The former results in more products in a given working day, with same total value spread out over the increased number; the latter results in more products, each with the same value as before. *Increased intensity increases the total value and number of products* (661). (See: Taylorism or ‘scientific management’)

Given this point, a given working day may not produce the same value with the same number of workers. *Variations in intensity will vary the value produced.*

If the value of labour-power goes up to account for this ‘overwork’ (more value created than on average), the increased wages may not compensate for the ‘more rapid deterioration’ of the workers. (661) (See: overwork & ‘death by work’¹)

3. Productivity and intensity held constant, while length of working day varied (662-664).

A shortening of the w-d leaves the value of l-p unchanged (unless reduced below value of l-p) and therefore reduces surplus-value because shorter day means shorter surplus labour-time. ‘Only by reducing the price of l-p below its value could the capitalist compensate himself for this fall’ (663). Shortening usually does reduce the value of l-p below its value.

‘When the w-d is prolonged, the price of l-p may fall below its value, although that price nominally remains unchanged, or even rises. The value of a day’s l-p is estimated...on the basis of its normal average duration, or the normal duration of the life of a worker, and on the basis of the appropriate normal standards of conversion of living substances into motion as it applies to the nature of man.’ To a point, Marx says, the ‘increased deterioration of l-p’ by the lengthening of the w-d can be ‘compensated for by making

¹ “More Than 1 in 5 Japanese Companies had Workers at Risk of Death from Overwork.” *Nikkei Asian Review*, 7 October 2016. More than 80 hours of overtime per month was the threshold that put workers at risk. So common for so long, the Japanese have a word for death from overwork – ‘karoshi.’

amends in the form of higher wages,’ but beyond this the effect is simply to reduce the length of life of the worker through overwork.

4. The last section of the chapter examines simultaneous variations in all three variables (664-667) on the division of variable capital and surplus-value.

Socialism:

After examining some more effects of these changes on the price of labour-power under capitalism, Marx turns to compare these effects with the same changes with ‘the abolition of the capitalist form of production’ (667).

In this situation, the ‘reduction of the working day to the necessary labour-time’ would mean that necessary l-t would ‘expand to take up more of the day.’ And this for ‘two reasons: **first**, because the worker’s conditions of life would improve, and his aspirations become greater [i.e., needs or ‘means of subsistence’ expand], and **second**, because a part of what is now surplus would then count as necessary labour, namely the labour which is necessary for the formation of a social fund for reserve and accumulation’ (667).

Note here that Marx does not use the concept of value, but **labour-time** because under socialism there would be no commodities and so no exchange of commodities, no market, no prices, no wages. Production and distribution of the product would be by means of democratic planning. Note, too, that here all production is now necessary, not ‘surplus,’ because it is for the well-being of all and the planned future well-being. This is no longer ‘work’ but productive activity to create use-values, defined by all as necessary.

Capitalism and efficiency:

Marx also makes a couple of pointed criticisms of capitalism here (667).

- (1) ‘The capitalist mode of production, while it enforces economy in each individual business also begets, by its anarchic system of competition, the most outrageous squandering of labour-power and of the social means of production, not to mention the creation of a vast number of functions at present indispensable, but in themselves superfluous.’

Here he makes the distinction between efficiency of the individual firm and the wastefulness of market-based production. Toyota, for example, as **a single corporation** may be an exemplar in efficient auto production, but **auto production in general** is inefficient in the extreme i.e., the production of private cars on massive scales with extensive pollution in production and consumption, with built-in obsolescence and vast wastage at every step, instead of public transport.

However efficient Toyota might be in the production of its cars, the automobile itself, let alone the auto industry as a whole, has extensive ‘externalities’ in production, in use, and in disposal. No more wasteful mode of transportation than the private automobile is possible to be imagined.

Functions that are now ‘indispensable’ but ‘in themselves superfluous’ might include bureaucracies, banking/insurance, legal services, security/surveillance, etc.

- (2) ‘In capitalist society, free time is produced for one class by the conversion of the whole lifetime of the masses into labour-time.’

He might have added, as we will see in Chapter 25, that a growing part of the working classes are destined for obligatory ‘free time’ in the form of unemployment or underemployment.



CHAPTER 18: DIFFERENT FORMULAE FOR THE RATE OF SURPLUS-VALUE

In this chapter, Marx employs his analysis of the *rate of surplus value* in a critique of mainstream views. In part, it is about what wages represent – the value of labour-power (v), not the value of what is produced by labour (v+s). It is about the importance of the distinction between labour and labour-power, and necessary labour-time and surplus labour-time. Labour-power is the commodity; its use is labour.

These formulae <surplus-value/variable capital (s/v) = surplus labour/necessary labour> represent the same thing in different terms; the first as ‘a ratio of values’ and the second as ‘a ratio of times during which those values are produced’ (668).

To measure *surplus* as a ratio of the cost of the total product (c+v), however, is to obscure the actual relations between labour and capital, because it presents s and v as mere ‘fractions of the value-product,’ which ‘conceals’ the fact that workers are paid out of

variable capital for creating all new value ($v+s$) and that workers have no claim over the product of their labour (670-1).

(Note: the value components of a commodity are $c+v+s$, the cost of production is $c+v$; and the new value produced is $v+s$.)

Similarly, to represent s/v as *unpaid labour/paid labour* is to misrepresent the fact that the capitalist pays for labour-power not labour. If capital paid for labour, then, the value produced during the whole w-d would equal the value of wages, leading to **the mistaken understanding in the phrase so-often used by the trade union movement: ‘a fair day’s pay for a fair day’s work.’** Capital, says Marx, pays for the value of labour-power, which means the value of the means of subsistence necessary to reproduce labour-power and so not equal to the value of the whole day’s product (671-2).

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PART SIX: WAGES

CHAPTER 19: THE TRANSFORMATION OF THE VALUE ...OF LABOUR-POWER INTO WAGES

If chapter 18 is about how mainstream political economy obscures the relations of production by confusing *labour* and *labour-power*, chapter 19 is about the form that paid “labour” (really labour-power) takes, namely, wages, and how this form disguises the nature of the price and value of labour-power. Here Marx examines the wage form as ideology, as obfuscation of the value of labour-power.

Take note of the chapter title: a wage, considered the ‘price of labour,’ is actually the exchange-value of labour-power, or the market expression of the value of labour-power.

NOTA BENE: For Marx, the concept of ideology is not merely a set of related ideas with a point of view, as is commonly understood. In this vein, there are even Marxists who talk about ‘Marxist ideology.’ But Marx was quite clear about what he meant: **ideology is the presentation of the appearance of a thing as if it were the essence or truth of the thing**, that is, appearance paraded as essence. *This chapter is about wages as an ideological form, as the existing form (appearance) of a certain phenomenon that conceals the underlying reality or essence of that phenomenon, i.e., wages presented as the value created in a working-day (the appearance of wages), as opposed the value of labour-power (the essence of wages).*

An expanded exposition of Marx on wages can be found in my paper: ‘[The Neglected Chapters on wages in Capital](https://www.sfu.ca/sociology-anthropology/People/faculty/gary-teeple.html),’ in M. Musto (ed.), 2019. *Marx’s Capital after 150 Years*. London: Routledge. (232-247). Available here:
[<https://www.sfu.ca/sociology-anthropology/People/faculty/gary-teeple.html>]

The chapter begins with:

‘On the surface of bourgeois society the worker’s wage appears as the price of labour, as a certain quantity of money that is paid for a certain quantity of labour’ (675).

There are several key words here. The phrase, ‘on the surface,’ is a reference to the appearance of things as opposed to their essence; the verb ‘appears’ suggests wages are not what they are claimed to be; and ‘labour,’ as Marx has argued, is the expenditure of energy, to be contrasted with labour-power, i.e., the skills and knowledge that are embodied in a worker and employed while working (i.e., expending energy). The point is that wages are seen as ‘the price of labour,’ that is, the price of living labour, of expending energy for the length of the working day; whereas, they are, as Marx argued, the price of labour-power, the value of the means of subsistence necessary to reproduce that labour-power. This is what Marx argues over pages 675-677.

The argument is succinctly put on page 677.

‘It is not labour which directly confronts the possessor of money on the commodity-market, but rather the worker. What the worker is selling is his labour-power. As soon as his labour actually begins, it has already ceased to belong to him; it can therefore no longer be sold by him. Labour is the substance, and the immanent measure of value, but it has no value itself.’

Where does this notion of wages as ‘the value of labour’ come from? Marx answers:

‘It is an expression as imaginary as the value of the earth. These imaginary expressions arise, nevertheless, from the relations of production themselves. They are categories for *the forms of appearance of essential relations*. That in their appearance things are often presented in an inverted way is something fairly familiar in every science, apart from political economy’ (677). (Emphasis added)

On page 678, Marx examines the usual explanation of mainstream political economy on how this price is determined – by pressures of supply and demand. S&D can explain the fluctuation of the price above and below ‘a certain mean,’ he says, but once the S&D ‘balance, the oscillation of prices ceases...’ At this point, the explanation of the price ceases as well because S&D cannot explain the mean. He then shows that political economy in fact resorts to the notion of the cost of production of ‘labour,’ which amounts to value of the means of subsistence underlying the value of labour-power. **‘Therefore, what they called the “value of labour” is in fact the value of labour-power...’**

Following this conclusion, he points to the obscurantist nature of wage labour – it conceals the nature of the working day as divided into necessary and surplus labour -- and then compares wage labour with the nature of labour under the corvee and slavery, in which paid and unpaid labour, as time spent working, is clearly demarked.

‘The wage form thus extinguishes every trace of the division of the working day into necessary and surplus labour, into paid and unpaid labour. All labour appears as paid labour.’

Marx further spells out the signal ideological importance of the use of the concept of ‘wages’ for the mainstream.

‘We may...understand the decisive importance of the transformation of the value and price of labour-power into the form of wages, or into the value and price of labour itself. All the notions of justice held by both the worker and the capitalist, all the mystifications of the capitalist mode of production, all capitalism’s illusions about freedom, all the apologetic tricks of vulgar economics, have as their basis the form of appearance discussed above, which makes the actual relations invisible, and the indeed presents to the eye the precise opposite of that relation.’ (680)

Justice? Because the contract between employee and employer is cast as if between two equal parties, whereas once the contract is signed, the employer owns the labour of the employee who now must do as told. Mystifications? Because the wage form obscures the source of surplus value by eliding necessary and surplus labour time. Illusion about freedom? Because workers *must* work for capital, regardless of the apparent ‘freedom’ to choose one’s employer. Apologetic tricks? Because it is argued that capital ‘works’ too and should be rewarded. Form of appearance? Wages appear as compensation for the entire day of labour, whereas, they represent value of labour-power, an amount of value (v) created in much less time than during the entire time worked.

On page 681, Marx explains how this inversion, this ideological view, comes about. In short, it rests on the confusion of the exchange-value and use-value of the commodity as labour-power. The exchange-value is the monetary expression of the value of labour-power, while the use-value is the labour – two entirely different things. But since the worker is paid after he/she has performed labour, the use-value, it appears that it is the actual work that is being paid for. Yet, as he says above, labour has no value, although it creates value; it is simply the expenditure of energy.

Note: In earlier editions, on page 681, paragraph three, line three, there is a typo: ‘2 shillings’ should read ‘3 shillings.’ This is corrected in recent editions.

On page 682, Marx explores further the reasons why capitalists see wages as the price of labour. The final paragraph of the chapter, moreover, contains a concise statement of Marx’s **notion of ideology**, which rests on the difference between essence and appearance.

‘...what is true of all forms of appearance and their hidden background is also true of the form of appearance “value and price of labour”, or “wages”, as contrasted with the essential relation manifested in it, namely the value and price

of labour-power. The forms of appearance are reproduced directly and spontaneously, as current and usual modes of thought; the essential relation must first be discovered by science. Classical political economy stumbles approximately onto the true state of affairs, but without consciously formulating it. It is unable to do this as long as it stays within its bourgeois skin.'

Wages, in short, are an ideological form of the value of labour-power. **The form of appearance of the value of labour-power (wages) is taken as if the essence**, and in this way the ideological form serves to obscure the essential relations, undermining a working class understanding of the nature of its exploitation.

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CHAPTER 20: TIME-WAGES

Marx begins this chapter (683) with the sentence: 'Wages themselves again take many forms.' Most of us are familiar with some of them, namely, tips, grants, lump-sum contracts, salaries, hourly & piece rates, 'in kind' (Xmas turkey), work-related competitions, etc. The defining characteristic of wages is that they represent remuneration for the value of labour-power, paraded as the value of labour. Marx says that he will consider only two forms: *time-wages* (Ch. 20) and *piece-wages* (Ch. 21).

In the second paragraph, he points out that 'the sale of labour-power' constitutes a contract for 'definite periods of time.' The sale, then, 'converts' the 'daily' or 'weekly' value of labour-power into appearing as 'time-wages' – remuneration for the hour, day, week, month, etc.

In the third paragraph, he refers the reader to Chapter 17 where he compared 'the changes in relative magnitude of price of labour-power and surplus-value' and says that the laws he mapped out there can be read as applying to the wage-form of the value of labour-power. (*In that chapter, he assesses the effects on v and s of varying the length of the working day, the intensity, and the productivity of labour.*) Similarly, he writes, the difference between *nominal and real wages* may be read as the difference between 'the exchange value of labour-power and the sum of the means of subsistence.' To draw on Chapter One, this is the difference between exchange-value and value. **Nominal** wages, then, are the 'form of appearance' of the exchange-value of labour-power; while **real** wages are the value of labour-power (means of subsistence). What you get (nominal) versus what you need (real).

In paragraph four, he points to the fact that the same **nominal daily or weekly** wages may represent quite different quantities of labour supplied -- depending on the length of the working day -- and therefore, differences in the 'price of labour.' '**The average price of labour is the average daily value of labour-power divided by the average number of hours in the working day**' (684). The 'price of labour' may be read as the **hourly wage rate**; and Marx says that this will be used 'as the unit measure for the price of labour.'

(This is more or less how the current 'Campaign for a Living Wage' has calculated the amount of the recommended living wage in any given jurisdiction.)

If a worker is paid on a *daily or weekly* basis (not calculated as an hourly wage), it is possible to see that depending on the length of the day/week the price of labour (the rate calculated per hour) can rise or fall. 'Inversely, daily or weekly wages may rise, although the price of labour remains constant or even falls' (684). These, among other variations, mean that there are 'methods of lowering the price of labour which are independent of any reduction in the nominal daily or weekly wage' (685). This is still the case where employees are paid by the day, week, or month. And even when paid by the hour, if the number of hours exceeds the normal and overly fatigues the worker, the hourly pay falls below the value of labour-power, that is, the increased means of subsistence necessary to replace the greater exhaustion.

If we hold the amount of labour (time) constant, then, the daily/weekly/monthly wage depends on the rise or fall of the value of labour-power. If the price of labour is held constant, then, the wage depends on 'the quantity of labour expended,' daily, weekly, or monthly.

Given that the price of labour is calculated by dividing 'the value of a day's labour-power' by 'the number of hours in a working day,' if workers cannot find work that fills a day/week/month, then, they will earn less than the value of their labour-power, although the nominal hourly wage remains constant. By the same token, to work for an hourly rate for a day longer than normal is also to earn less than the value of their labour-power if the hourly rate remains the same.

Time wages as the 'price of a working hour' assumes a certain length of the working day. But if the worker is employed for less than necessary to supply the means of subsistence, less than the value of labour-power, then, under-employment and the need for more than one job.

Marx points to two laws of wages that follow:

- a) if the amount of time is constant, then, the wage varies with the value of labour-power or the difference between the price and value of labour-power;
- b) if price is constant, then, the wage depends on the 'quantity of labour expended daily or weekly.'

The price of labour (or hourly rate) is calculated as a ratio of a full day of work; and so when there is no full day or week, the price of labour 'loses all meaning' (p.686). See this page for a good description of what has now come to be called '**flexible labour.**' In Britain, the '**zero-hour contract**' remains in use and, while such work is tied to a mandatory minimum wage, as we can see from Marx's argument, such a link is meaningless.

Low wages mean that longer hours must be worked to earn sufficient for basic necessities; hence, low wages 'act as a stimulus to the extension of the working day'

(p.688). Here we can see the function of the low minimum wage: it is to force workers to work or press **for longer hours** to meet their needs. *Within the system, the fight against this situation would be to press for a higher minimum wage that is based on a living wage, attached to a commensurate number of hours, and indexed to the rate of inflation.* The current demand --- ‘The Fight for Fifteen’ – to raise the minimum wage goes part of the way, but \$15 is hardly a living wage, it is not attached to a number of hours or the rate of inflation; and so it does not accomplish the goal of establishing a wage equal to the value of labour-power – but then that was never the goal.

The argument on page 689 goes a long way to explain the use of female labour in so-called developing countries – low wages and long hours are not choices.

Pages 689-690 address many of the issues around the use of temporary foreign workers to lower employment standards, rates of pay, and unionization.

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CHAPTER 21: PIECE-WAGES

(to be continued)

This chapter covers an increasingly significant form of wages in the gig economy of the 21st century. It is well worth reading through. There is one main point that we should grasp in this chapter and that is that piece-wages are the ideal form of wages for capital because it allows for the greatest number of ways to extract surplus value from workers.

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CHAPTER 22: NATIONAL DIFFERENCES IN WAGES

(to be continued)

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PART SEVEN: THE PROCESS OF ACCUMULATION OF CAPITAL

There is a two-page introduction to Part 7, in which Marx broadly maps out what he intends to do here. Part 7 is where he brings together all the elements that he has discussed so far to show how they relate to each other in ‘the process of accumulation of capital.’ The ‘whole’ is greater than the ‘parts’ – Marx says that the parts, when considered as part of the whole, reveal characteristics that on their own they do not possess. *Part 7 (Chapters 23,24,25) is the section in which Marx systematically examines how the parts of the analysis so far fit together as a system. Parts 1 to 6 comprise the analysis of the ‘parts’ of CMP, while Part 7 is about the ‘whole.’*

The culmination of the argument in Volume One is found in this Part 7, in Chapter 25.

The process of reproduction can be represented in this manner:

$M \rightarrow C$ (raw materials and machinery) + V (labour-power) $\rightarrow P$ (production) = $C + V + S$ (new product) $\rightarrow$ market for realization of $S \rightarrow M + M'$ (S divided into profit, interest, rent, etc., and M to re-invest).

In the above circuit, money buys in the sphere of **circulation** (the market) the means of production and labour-power ($c+v$), which is then put into **production** to create commodities ($c+v+s$), which then in turn must be sent to the sphere of **circulation** in order to realize the value embedded in them. The resulting money (new value or $v+s$) is divided into different parts that represent the various activities of capital necessary to the reproduction of the system, namely, wages, constant capital, rent, interest, etc.

Marx points out that the ‘detailed analysis of the process will be found in *Volume 2*.’ Just how the surplus is shared ‘with capitalists who fulfill other functions in social production taken as a whole’ is analyzed in *Volume 3*. ‘Surplus-value,’ writes Marx, is ‘split up into various parts. Its fragments fall to various categories of person, and take on various mutually independent forms, such as profit, interest, gains made through trade, ground rent, etc.’

Because this splitting up of surplus and ‘mediating movements of circulation’ complicate the understanding of the process of accumulation, Marx says that he will ‘disregard’ for the time being all factors that intrude on the process taken in its simplest or most abstract form – a form that does not actually exist but is imagined for analytical purposes (710).

CHAPTER 23: SIMPLE REPRODUCTION

This chapter is the analysis of capital reproduction on an **existing scale**, i.e., without accumulation, simply the repeated reproduction of existing capital through its various and repeated metamorphoses = money (M) to commodities (C) to money augmented ($M^\wedge$).

Simple reproduction defined (and paraphrased): if the labour process is but a means to the self-expansion of capital, and the revenue only serves for the individual consumption of the capitalist, then simple reproduction takes place. In this hypothetical situation, **there is no growth**, but the continuous process of reproduction depicted here suggests characteristics that do **not appear** in the same process taken in its isolated and discontinuous moments (712). In short, Marx is saying that he will consider reproduction in this simplified way in order to grasp the process before he considers it in the form of **expanded reproduction** in Chapter 24.

This chapter begins with a central point about all social formations, from hunting and gathering to capitalist:

‘Whatever the social form of the production process, it has to be continuous, it must periodically repeat the same phases. A society can no more cease to produce than it can cease to consume.

When viewed, therefore, as a connected whole, and in the constant flux of its incessant renewal, every social **process of production** is at the same time a **process of reproduction**.²

‘The conditions of production are at the same time the conditions of reproduction. No society can go on producing, in other words no society can reproduce, **unless it constantly reconverts a part of its products into means of production or elements of fresh products**’ (711).

In short, *production is necessary for consumption*, which is necessary for *reproduction of society* (all its component structures and institutions). This point in these two paragraphs has been used to make the case about the ‘primacy’ of the forces of production as opposed to the relations of production.²

But more, part of the annual total product must be returned to the sphere of production if the social formation is to be reproduced. The total product is always divided between *individual/state consumption* and *productive consumption*.

‘Hence a definite portion of each year’s product belongs to the sphere of production. Destined for productive consumption from the very first, this portion exists, for the most part, in forms which by their very nature exclude the possibility of individual consumption’ (711).

In the first two paragraphs, then, Marx has made **three main points**: (1) all social formations must produce to exist, which at the same time is to reproduce, (2) all reproduction involves the reconversion of part of production into the continuation of the means of production, (3) and the production process is always divided into ‘productive consumption’ and ‘individual consumption.’

In the third paragraph, he turns to examine these points as found in the CMP (as distinct from the general above), in which he says ‘the labour process appears only as a means towards the process of valorization,’ (i.e., not as the production of use-values) and similarly in the reproduction of the system it appears ‘only as a means of reproducing the value advanced as capital, i.e., as self-valorizing value’ (711). **In other words, in the CMP the labour process appears only as the production and reproduction of capital, and not as the means of producing all the goods and services necessary for the perpetuation of a social system.** Put another way, ‘the economic character’ of the CMP appears to be simply the valorization of capital and the augmented value that accrues.

Here is what Marx says: ‘As a periodic increment of the value of the capital...surplus-value acquires the form of a revenue arising out of capital’ (712).

² Clearly, Marx is not arguing here for a deterministic relation but rather a relation in which ‘the conditions of production are ...the conditions of reproduction,’ i.e., a relation of determination that does not preclude reciprocal effects between and within the elements of the base and superstructure. **Determination is not to be understood as determinism.** Synonyms for the *former* are condition, frame, limit, set boundaries, etc.

In short, the CMP conceals the source of value and the nature of wages because production and reproduction appear to be merely a valorization process and not a labour process in which value and use-values are created.

In the first paragraph on p. 712, Marx defines ‘simple reproduction,’ i.e., reproduction without accumulation, but justifies simplifying the process because it makes visible ‘new characteristics’ that cannot be seen when the parts are studied on their own.

In the second paragraph (712) he makes the point that production and reproduction in the CMP is the production of new value, i.e., the value of wages and surplus ($v + s$). But workers are paid only at the end of a period of employment, hence, they have produced the value of their wages (and $s-v$ for the capitalist) before they are paid their wages, i.e., part of the value they have produced for themselves. Wages are money as ‘the transmuted form of the product of (their) labour.’

The fact that the wage comes in the form of money obscures its origin as value produced by the worker. But this concealment is uncovered, Marx says, if we consider wages from the perspective of the entire classes of capital and labour. Capital (as employer) pays the workers ‘drafts’ or claims in the form of money ‘on a portion of the product produced by the latter and appropriated by the former. The workers give these drafts back ...to the capitalist (as retailer), and... withdraw from the latter their allotted share of their own product’ (713).

‘This transaction,’ Marx argues, ‘is veiled by the commodity-form of the product and the money-form of the commodity.’ In other words, the commodity-form makes the product of their labour appear not as their product but that of the capitalist who owns it; and the money-form of the commodity makes it impossible to use the products of their labour without the requisite exchange-value in money.

On the rest of this page, Marx makes the point that variable capital (wages) is only one form of ‘the fund for providing the means of subsistence, or the labour-fund, which the worker requires for his own maintenance and reproduction, and which, in all systems of social production he must himself produce and reproduce’ (713). In short, after a certain point in history, all labour is divided between the time to reproduce itself and the time to produce a surplus for the master.

If it is insisted that wages are paid out of the capitalist’s own funds, Marx has a counter (714). It may be, he says, that the capitalist began with a fund of accumulated capital, but there are two issues. Just what was the source of that accumulated sum if not the labour of others? Or theft, plunder, piracy, conquest, etc.? But even allowing for an innocent accumulation, once this sum began to be used it is a matter of time that it is used up, and at that point, the reproduction only uses value produced by workers who produce the value of their own subsistence and a surplus for the owner of capital.

By implication, the value of all capital today is ‘nothing but the total amount of surplus-value appropriated... (by the capitalist) without payment’ (715). In other words, all

property, even long-held family assets, is eventually converted into accumulated capital or capitalized surplus-value,' i.e., the unpaid labour of others.

From this, Marx concludes that 'the starting-point of the process of capitalist production' is the 'division between the product of labour and labour itself' (716). And this starting-point is constantly renewed in the process of reproduction and so becomes also the result of the CMP.

The rest of page 716 is an analysis of capitalist production as the reproduction of capitalist relations. 'The capitalist produces the worker as a wage-labourer;' and the workers create the value to sustain the capitalist and themselves as wage-labourers.

Marx now turns to examine the nature of workers' consumption (717). In the first paragraph he makes a distinction between **productive consumption** (the consumption of means of production in the production of commodities) and **individual consumption** (the means of subsistence).

In the second paragraph he points out that while at work, the worker 'is often compelled to make his individual consumption into a merely incidental part of the production process.' Workers consume to reproduce themselves as mere workers: '...the means of consumption are then merely the means of consumption of a means of production.' ('Eat, sleep, work, ...')

Given this argument, Marx says that the capitalist makes a profit with both forms of consumption: productive and individual. 'By converting part of his capital into labour-power, the capitalist valorizes the value of his entire capital.' In other words, capitalized labour-power produces (1) the *augmented value or s-v that sustains the capitalist*, and (2) the *value of wages that is used to purchase means of subsistence as commodities*.

Even if capital profits from the working class *both as workers and consumers*, it does not mean that the capitalist is uninterested in how much is required to reproduce the working class. 'All the capitalist cares for is to reduce the worker's individual consumption to the necessary minimum' (718). In other words, consumption beyond the minimum, relatively defined, means the demand for higher wages, which lowers profits. Here is what Marx says about the limits of the worker's individual consumption:

'...the capitalist and his ideologist, the political economist, consider only that part of the worker's individual consumption to be productive which is required for the perpetuation of the working class, and which therefore must take place in order that the capitalist may have labour-power to consume. What the worker consumes over and above that minimum for his own pleasure is seen as unproductive consumption.'

Consider the implications of this point of view for minimum wage laws, unemployment insurance, welfare rates, disability pensions, old age pensions, workers' compensation, etc.

In what sense is the workers' individual consumption productive? '...it is productive to the capitalist and to the state, since it is the production of a force which produces wealth for other people' (719).

What Marx has done in this chapter is to show that the CMP produces and reproduces itself in its own image and that the capitalist and worker are both the source and products of the system; they need and define each other as capitalist and worker (724); it is not a choice for either.

But it is not a choice also because the relation between the two is concealed by the very elements of the system. Here is what Marx writes:

'the Roman slave was held in chains; the wage-labourer is bound to his owner by invisible threads. The appearance of independence is maintained by a constant change in the person of the individual employer, and by the legal fiction of a contract (719).

And later: 'In reality, the worker belongs to capital before he has sold himself to the capitalist. His economic bondage is at once mediated through, and concealed by, the periodic renewal of the act by which he sells himself, his change of master, and the oscillations in the market-price of his labour (724).

We think that we are free as workers because we can change employers (but not free not to sell our labour-power except on pain of poverty/starvation), we sign a contract between two apparently equal parties to an agreement (but no equality because one is selling out of necessity and the other can hire and fire at will), and we can earn more or less according to market fluctuations and occupational hierarchies (but more or less wages are still wages).

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CHAPTER 24: THE TRANSFORMATION OF SURPLUS-VALUE INTO CAPITAL: The Inversion Which Converts The Property Laws of Commodity Production into Laws of Capitalist Appropriation

If chapter 23 was titled 'Simple Reproduction,' this chapter could be called 'Expanded Reproduction,' as a reference to the process of capital accumulation in which wealth in the form of commodities is progressively expanded. **But capital accumulation is exactly what this title points to: s-v into capital, or 'economic growth.'**

1. Capitalist Production on a Progressively Increasing Scale.

Note the subtitle of this section: Marx has mentioned **property laws** before this, but now he is going to **show how property is converted with this shift from commodity production to the CMP.** (See these Study Notes, pp.10-11)

Marx begins this chapter with the paragraph: (725)

‘Earlier we considered how surplus-value arises from capital (*Parts 3 and 4 on ‘absolute’ and ‘relative surplus-value’*); now we have to see how capital arises from surplus-value. The employment of surplus-value as capital, or its reconversion into capital, is called accumulation of capital.’

The first two pages of this chapter, Marx uses the investment of the sum of £10,000 an example of expanded reproduction. £8,000 is paid out for constant capital, and £2,000 for wages. At the end of the production cycle and after the resulting commodities are sold in the market, there is a ‘profit’ or return or surplus-value of £2,000. There is nothing, he states, that ‘will tell us that this sum of money is surplus-value’ (725) – in other words the value of unpaid labour, but it appears as merely a sum of money and in the hands of the employer.

If the capitalist reinvests this £2k in year 2 of production, in the same proportions as the first investment, then, £1600 goes to constant capital and £400 goes to wages. But in this year 2, the original sum of £10,000 remains in operation, and so now the capitalist has two sums invested – the original sum and the surplus-value from year 1. In year 3, we then would have the original sum, the surplus £2k from year 1, and the surplus-value from year 2. Hence the accumulation of capital – or ‘economic growth.’ With this expansion of capital comes the growing demand for more labour.

After a certain time, the original sum is used up and eclipsed by the accumulated sums, or the new capital produced by the workers as unpaid labour. Moreover, the accumulated sums continue to be valorized by workers who also ‘must buy back the fruits of [their] previous labour with more labour than they cost’ (728). Why more? Because the value components of a commodity are $c+v+s$, whereas the costs of production are $c+v$. The worker must valorize the value of the commodity in the market in order to live; part of wages go to realizing the surplus-value for the capitalist. One could say the worker is exploited twice: once through the unpaid labour that produces the $s-v$ for the capitalist, and again through wages expended on consumer commodities that contain a portion of their unpaid labour.

On Pages 729-30, Marx makes his point about the change in property relations. In the simple market, where owners of commodities exchange their goods, it is assumed that this exchange is equal value for equal value, and each side benefits to the degree that each has disposed of surplus commodities in exchange for desired use-values. But now these simple relations of private property in the product of one’s own labour exchanged for the same of another is, in the CMP, transformed. Here is Marx:

‘The change of equivalents, the original operation with which we started, is now turned round in such a way that there is only an apparent exchange, since, firstly, the capital which is exchanged for labour-power is itself merely a portion of the product of the labour of others which has been appropriated without an equivalent; and secondly, this capital must not only be replaced by its producer, the worker, but replaced together with an added surplus. The relation of exchange between capitalist and worker becomes a mere semblance belonging only to the process of circulation, it becomes a mere form, which is alien to the content of the transaction itself, and merely mystifies it. ‘...Originally the rights of property seemed to us to be grounded in a man’s own labour. ...Now, however, property turns out to be the right, on the part of the capitalist, to appropriate the unpaid

labour of the worker, of appropriating his own product. The separation of property from labour thus becomes the necessary consequence of a law that apparently originated in their identity' (729-30).

Nevertheless, Marx makes the case that the workers are not 'defrauded' by this relation.

'If...the amount of value advanced in wages is not merely found again in the product, but augmented by a surplus-value, this is not because the seller has been defrauded, for he has really received the value of his commodity; it is due solely to the fact that this commodity has been used up by the buyer.

'The law of exchange requires equality only between the exchange-values of the commodities given in exchange for one another' (731).

In other words, as long as workers receive wages equal to their means of subsistence, they are not defrauded, even though in every minute, hour, day, week, etc. of labour they earn as wages the value of only part of the value they produce. *Where the defrauding of workers occurs is in the many ways of paying them less than the value of their labour-power.*

Marx sums up this new property relation: 1. The capitalist owns the product of the workers' labour, 2. The surplus-value in the product that cost the capitalist nothing belongs to the capitalist, and 3. The workers keep possession of their labour-power and can sell it if and when they find 'another buyer.' And to these, we can add a #4, and that is that it is through these property relations that more and more of the total social product becomes 'the property of those who are in a position to appropriate the unpaid labour of others over and over again' (733).

We can now understand the importance that Marx attaches to the concept of property. While the simple exchange of commodities by their owners gives rise to its legal expression as private property and contract, it is the accumulation of money transformed into capital that makes these same relations of private property **into the main mechanism for the rapid growth in economic inequality.**

He ends this section by arguing that whatever case is made for the owners of original capital, in due course, all capital is transformed into accumulated surplus-value; all capital becomes simply the product of the unpaid labour of workers (734).

2. The Political Economists' Erroneous Conception of Reproduction on an Increasing Scale

The point of this section seems to be to set the stage for the next. Marx makes two interesting points about the coming of capitalist production in contrast to the preceding feudal mode of production.

First, the 'old nobility' (and we might well include the hierarchy of the RC Church here) consumed with abandon and without regard to how the surplus was produced or increased other than through coercive means applied to the serf or peasant producers. By contrast, the early capitalists were very concerned about the accumulation of capital, which required *a close watch on the unnecessary consumption of surplus* and the need to

reinvest as much as possible, and therefore regarded the nobility and church officialdom, which squandered their surpluses in indulgences of all sorts, as at best out of step with the 'new world' of capital.

Second, the practice of hoarding one's money was a phenomenon of the pre-capitalist economy in which there was no mechanism for augmenting money, for turning it into capital. The practice, then, was anathema to the new capitalist class that could see hoards only as a waste of potential augmentation of value (735). No one hoards money anymore; one's bank account, however small, still 'earns' an interest (unpaid labour), albeit as low as the bank can make it and largely recouped on smaller accounts through a series of questionable fees and charges.

3. Division of Surplus-Value into Capital and Revenue, the Abstinence Theory

In this section, Marx points to the division of s-v into capital for reinvestment and as a revenue for capitalist consumption (738). He points to the capitalist as merely **the personification of capital** whose historical significance is nothing more than the changing character of the CMP (939). And so, given that in its earliest stages of development, capital required as much reinvestment as possible to establish its foundation as a mode of production. For the capitalist, its representative, this demand meant that the portion of s-v that was set aside for consumption had to be minimized – hence, the morality of asceticism, or the abstinence theory. (Max Weber's thesis in *The Protestant Ethic and the Spirit of Capitalism* captures this link, albeit in a rather indeterminate way.)

[As an aside, it might also be argued that after the Russian Revolution, the Russian working class was obliged to forgo much of the enjoyment of the surplus it produced in order that as much surplus-value as possible could be reinvested to industrialize the USSR as rapidly as possible.]

But if this morality of the early capitalists were tied to the stage of development of capital, then, it also would change as capital accumulated. Marx cites with approval a treatise that spelled out 4 stages in the development of capital and with them an accompanying morality (741-2), usually embraced by the Christian churches of the day.

[By the mid to late 19th century, the accumulation of capital was such that it could support a large and growing 'middle-class' that existed thanks to the revenue stream from productive capital. Hence, a growing state bureaucracy, standing military, lawyers, accountants, church functionaries, artists, domestics, etc. – all testimony to the relative size of the revenue that could be drawn from the s-v produced by workers with ever more productive machinery. Hence, too, *the rise of charitable sentiments* on the part of this 'middle-class' for the lower strata of the working class (for e.g., Charles Dickens' novels), not to mention *the political ideology of reformism*.]

4. The Circumstances which, independently of the proportional division of surplus-value into capital and revenue, determine the extent of accumulation, namely, a) the degree of exploitation of labour-power, b) the productivity of labour, c) the growing difference in amount

between capital employed and capital consumed, and d) the magnitude of the capital advanced.
(letters added) (747)

In this section, Marx wants to consider the circumstances, aside from the normal division of s-v into capital and revenue, that contribute to accumulation, at the expense of workers. We shall briefly summarize the contributing factors listed above.

a) The degree of exploitation of labour-power:

Here Marx points out that throughout the analysis so far, he has assumed that workers are paid the value of their labour-power, but that the paying of wages below this value is widespread and significant and cannot be left unmentioned. (To this day in the 21st century it remains a major issue.)

On this point he cites J.S. Mill on the fact that ‘wages have no productive power; they are the price of a productive power.’ In other words, Mill is arguing that wages in themselves contribute nothing ‘to the production of commodities,’ implying by way of conclusion that ideally wages ‘might be dispensed with’ (948). Marx comments that there is a ‘constant tendency of capital ...to force the cost of labour back towards this absolute zero.’ To this end, Marx points out that there were many attempts to encourage inexpensive diets for the working classes, the widespread adulteration of basic food stuffs intended for workers, and the production of a range of goods of cheap quality (950). (All of these examples have long become significant aspects of modern capitalist production.)

To these points he adds the increase in the length of the working-day, the addition of overtime, and the intensification of the labour process – all means of increasing the degree of exploitation (951).

b) The degree of productivity of social labour

Marx has argued that by increasing the productivity of labour, the mass of products is greatly increased while the value in each item is reduced. This ‘cheapening of commodities’ (953) has the effect of ‘a cheapening of the worker’ which raises the ‘rate of surplus-value, even when real wages are rising.’ In other words, by increasing productivity (increased use of machinery) the value of the means of subsistence is lowered, and so too, it follows, the value of labour-power, while at the same time workers can consume more because the value of subsistence has become cheaper. (Consider the significance of Walmart or McDonalds.)

All the advances in science and technology, not to mention global labour arbitraging, similarly, have the effect of lowering the value (i.e., less labour-time embodied in commodities) and so allow workers to reproduce themselves with relatively less value in wages.

5. The So-Called Labour Fund

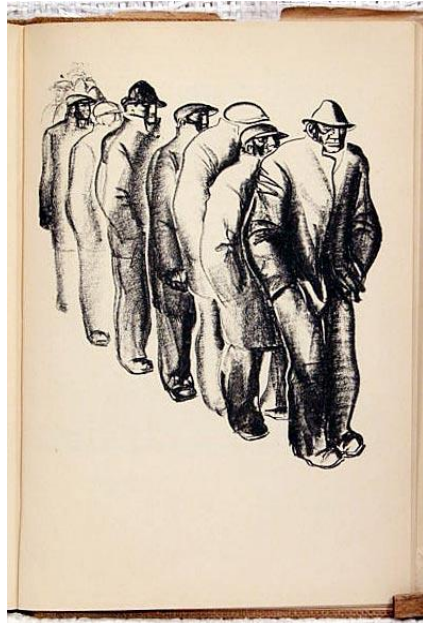
This section is a short analysis of a concept invented by classical political economy called the ‘labour fund,’ which was purported to refer to variable capital, or the means of subsistence for the worker. It was held that this portion of the total capital was separate from the rest of capital and fixed, i.e., unaffected by the influence of other divisions of the total capital (959).

Marx counters this notion by arguing that ‘capital is not a fixed magnitude, but a part of social wealth which is elastic, and constantly fluctuates with the division of surplus-value into revenue and additional capital’ (958). In short, the amount of capital going to wages, and the nature of the division of s-v into capital and revenue are always products of struggle – these divisions are ‘elastic,’ i.e., subject to many different forces, particularly class demands, in their determination.

Economists today no longer talk about a ‘labour fund;’ in a way, it might even be argued that they have tried to hide the fact that there are workers at all, in that (1) the labour theory of value was long ago expunged from the mainstream literature in favour of marginal utility theory, which shifts the perspective from value creation to value fluctuation due to supply and demand, and (2) in the invention of the categories of ‘fixed capital’ and ‘circulating’ or ‘working capital,’ (instead of constant and variable capital), mainstream economics has reduced the worker (wages and salaries) to merely one component of the production ‘inputs’ with no other significance.

In both the ‘labour fund’ and the current use of ‘circulating’ or ‘working capital’ we can see the role that concepts play in obscuring and ignoring the question of the source of value. As Marx writes: ‘...these bourgeois economists instinctively and rightly saw that it was very dangerous to penetrate too deeply into the burning question of the origin of surplus-value’ (651-2).

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Lithograph by Hugo Gellert. 1892 – 1985

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CHAPTER 25: THE GENERAL LAW OF CAPITALIST ACCUMULATION (762)

This chapter is the culmination of Marx's analysis of capital as found in 'the general law of capitalist accumulation.' The operation of this law is mitigated by numerous factors, which are discussed in Volume III of Capital, but here Marx analyzes the law, abstracting it from these contingent influences.

This chapter, Marx says, considers 'the influence of the growth of capital on the fate of the working class.' The key to this 'influence' is the 'composition of capital and the changes that it undergoes in the course of the process of accumulation' (762). It is the effects of the changing balance of constant and variable capital ($c+v$) that is the heart of this chapter.

*Why does Marx make the final stage in his argument an analysis of **the fate of the working class**? Because this is the class that the system has created and that produces value, but that has had no stake in the perpetuation of the system, but at a certain point in the accumulation of capital, or in the use of labour-power, capital finds that it no longer has a use for the working class. Marx writes in the Grundrisse, that at this point '...production based on exchange value breaks down...' ³*

'1. A Growing Demand for Labour-Power Accompanies Accumulation If the Composition of Capital Remains the Same'

³ K. Marx (1973). *Grundrisse* Harmondsworth: Penguin Books. p. 705.

In this section 1, Marx introduces the concept of the **composition of capital**, which is a reference to **the ratio** of the two components, constant and variable capital ($c + v$), that comprise the forms of value (means of production and labour-power) thrown into the process of production. The point of this section is to define the concept and to use it to explore the impact on the working class of the accumulation of capital *with its composition held constant*.

In paragraph 2, he says that the composition of capital can be taken in two ways: 1. The **value-composition** or the proportion in which capital divides into constant and variable capital. And 2. the **material composition or technical division** determined by the division into means of production and living labour-power. These are two expressions of the same thing, one in terms of value and the other in terms of the material representation of that value.

Marx defines ‘**the organic composition of capital**’ as the ‘value-composition of capital, in so far as it is determined by its technical composition ...’ (762). The point that Marx is making is that value is not an independent variable but congealed labour, and its division into constant and variable capital is determined by the ratio of means of production (or dead labour) to living labour-power, that is, the ratio of machinery, raw material, etc. to workers.

In any given economy, there are different branches of production and the ‘average of their individual compositions gives us the composition of the total capital in the branch of production under consideration’ (762).

In this section 1, however, Marx is **not** going to explore the impact of the changing composition of capital on the working class, but rather, on the next page (763), he points out that the growth of capital, or its accumulation, with no changes to its composition, nevertheless has an impact on the working class. This is the subject of section 1.

As capital accumulates, so too the demand for more labour, and with more workers more means of subsistence is required. In the middle of the page he describes the impact of the accumulation of capital roughly in the second half of the 19th century, but the same description is easily applicable to the post World War II period in the industrial nations. With rapid economic growth, the demand for labour rises and begins to exceed the supply.

As a consequence, wages also rise, creating two effects: 1. a rise in the living standards of the working class and its growth in numbers, and 2. an increased drive to introduce new technology to offset wage rises and address the increased demand for consumer goods.

Marx draws the conclusion: *the ‘accumulation of capital is therefore the multiplication of the proletariat’* (764). But he is quick to point out that the growth of the working class (and its relative well-being) does not mean that its ‘enslavement to capital,’ or its utter dependence on the continued accumulation of capital, has changed. In confirmation, he

quotes some economists of the day about their acknowledgement of the necessity of workers for the production of wealth. For instance: ‘...the labour of the poor [is] the mines of the rich.’ And he cites others on their awareness of the fact the rich live from the labours of the poor. Moreover, he cites some acknowledging the importance ensuring the poor or working class are not allowed to starve, but kept alive if only in the most marginal way so that their employment comes as a welcome respite to existence in poverty (764-5).

The maintenance of poverty is an important *means of social control*, but so too is *ignorance*. Marx cites another writer on the *significance of ignorance*: ‘...knowledge both enlarges and multiplies our desires, and the fewer things a man wishes for, the more easily his necessities may be supplied’ (765). Ignorance along with poverty are recognized as important instruments in social control.

On page 769, there are some incisive passages about the impact of increased wages, which are eminently applicable to the post World War II era when the working classes of the industrial nations found that they could afford to purchase cars, homes, and an array of other personal consumer goods. But Marx points out again that this rising standard of living must not be confused with the elimination of wage dependency. However well-to-do the working class, it was still a working class. It was merely receiving ‘a larger *peculium*,’ a reference to a small fund that some Roman slaves were granted as money for their own use, while still remaining slaves.

At the bottom of the page, Marx writes: ‘it is clear that at the best of times an increase in wages means only a quantitative reduction in the amount of unpaid labour the worker has to supply. *This reduction can never go so far as to threaten the system itself*’ (769-70). In other words, *the division of surplus and variable capital (s+v) represents a contradiction: the higher the v, the smaller the s, and vice-versa*. In the post World War II era, the postwar conditions made it possible for the working class to demand more and get it, as long as the share going to surplus was sufficient to allow for accumulation. But as the demands for increased wages continued into the 1960s, and the amount of surplus decreased, the possibility of accumulation waned. Economic recession or ‘stagflation’ marked much of the 1970s.

On page 770, Marx maps out these two scenarios: the continual rise in the share going to wages and fall in the share going to surplus, and the consequent recessions that followed. The long paragraph on 770 begins with ‘**Either**’ – to grasp the point that he is making it is important to find the ‘**Or,**’ which is just above mid-page.

On page 771, he makes the point that the rise and fall of wages, or of the relative standard of living of the working class, is directly related to the division of s and v. There is no independent movement of either; the rise of one is the fall of the other; although both can fall and rise albeit not at the same rate; and since the fall of s means the slowing of accumulation, it also means more unemployment, which also means lower wages. But lower wages mean higher surpluses, and with higher surpluses the rate of accumulation can once again rise, and so too the demand for labour – and wages... Hence: ‘...the

continued reproduction, on an ever larger scale, of the capital-relation' (772), not to mention the continual business cycles of peaks and troughs.

2. A relative diminution of the variable part of capital occurs in the course of the further progress of accumulation and of the concentration accompanying it. (772)

In section 1, Marx examined the impact of the accumulation of capital on the ratio of variable capital to surplus (**v+s**), exploring the rise and fall of the relative well-being of the working class, and tying it to the conditions that allow for the increase in the production of s and v at the same time. As the tide of accumulation waxes and wanes so too the fate of the working class, not to mention capitalist class.

Now, in section 2, Marx examined the relation of the accumulation of capital and the change to the composition of capital (**c+v**) that accompanies it, i.e., 'a relative diminution' of v in relation to c.

The reason for this change in composition? The accumulation of capital produces of its own accord 'the development of the productivity of social labour...[as] the most powerful lever of accumulation' (772). With the accumulation of capital, the means of production (raw materials and machinery) grow, enabling a given worker to produce more products in the same time and with the same intensity of labour as before. There is a 'progressive growth of the constant part of capital in comparison with the variable part' (773).

On page 774, Marx compares the difference between the mass of the means of production and the value of labour that it consumes. He points out that this increased productivity results in a great expansion of the mass but a decrease in the value of labour consumed. In absolute terms, both value and mass rise, but value in relation to mass falls.

At the bottom of page 775 he summarizes the argument in this section: 'The continual re-conversion of surplus-value into capital now appears in the shape of the increasing magnitude of the capital that enters into the production process. This is in turn the basis of an extended scale of production, of the methods for raising the productivity of labour that accompany it, and of an accelerated production of surplus-value.'

And this development throughout the mercantilist era (c1500-1760) does this: 'With the accumulation of capital, therefore, the specifically capitalist mode of production develops, and, with the capitalist mode of production, the accumulation of capital.' The dynamic between these two movements – capital accumulation and the CMP -- means that 'the variable component becomes smaller and smaller as compared with the constant component' (776).

A further consequence of this dynamic is the increasing concentration of capital: 'With the increasing mass of **wealth** which functions as **capital**, accumulation increases the concentration of that wealth in the hands of individual capitalists, and therefore widens the basis of production on a large scale and extends the specifically capitalist methods of production. The growth of the social capital is accomplished through the growth of many individual capitals' (776). So, the concentration of capital is the growth of the

capitalization of wealth in the hands of capitalists. This should be read, I think, as a reference to the concentration of petty-commodity producers (such as small farmers, artisans, retailers, etc.), and as a process that characterizes the mercantilist period **in which capitalist methods of production are growing, as is the accumulation of capital, but the capitalist mode of production, defined by the domination of all economic sectors by capital, has not yet come into being.**

The shift from mercantilism to capitalism takes place with a further accumulation of capital, but more specifically as ‘the concentration of capitals already formed, destruction of their individual independence, expropriation of capitalist by capitalist, transformation of many small into a few large capitals.’ What Marx is referring to here is the centralization of capital: **centralization** ‘presupposes a change in the distribution of already available and already functioning capital. Its field of action is therefore not limited by the absolute growth of social wealth, ...or by the absolute limits of accumulation’ (777).

While concentration is largely the accumulation of wealth in the form of capital, centralization is concentration of already existing capitals. Today we live in an age of centralization (‘mergers and acquisitions’) not concentration, although some of this still takes place in regions that capital has not yet completely penetrated. And the two major mechanisms of centralization are *competition* between capitals and ‘*the credit system.*’

The process of centralization theoretically could proceed to the point of uniting all the social capital into ‘either a single capitalist or a single capitalist company’ (779).

On page 780 Marx compares the processes of concentration and centralization, and makes the point that both speeded the process of accumulation, but that the latter was vastly the more powerful means of capital accumulation, especially with the arrival of the ‘joint-stock companies.’ Here we have mentioned the institutional mechanism, still used today to raise capital via the stock market and, of course, the other mechanism, credit. And one of the largest sources of credit – then as now – was the national debt. In other words, the incorporation of **joint-stock companies** and the use of the state to burden its citizenry with a **national debt** were two of the main mechanisms for the centralization of capital, i.e., the mobilization of the power of capital.

The consequent vast increase in productivity and the mass of goods, fueled by investments in science and technology and their applications, did not produce a commensurate demand for labour. While the absolute demand rose, the relative demand fell as capital continuously produced more of everything and expanded social and individual needs to continuously unprecedented levels.

3. The Progressive Production of a Relative Surplus Population or Industrial Reserve Army (781)

Marx begins this section with the sentence:

‘The accumulation of capital, which originally appeared only as its quantitative extension, comes to fruition... through a progressive qualitative change in its composition, i.e., through a continuing increase of its constant component at the expense of its variable component.’

Here he is using one of the laws of the dialectic – quantity into quality – to explain how the accumulation of capital leads to more than the mere increase in the surplus, but also to the continuous change in the composition of capital, i.e., the increase in the constant ‘at the expense of the variable component.’ The consequent increases in the productivity of labour and the constant shifts in the organic composition lead to exponential growth in the accumulation of capital. These characteristics of growth, he implies, define the specifically capitalist character of production.

Besides the accelerated rate of growth, the increase in productivity and organic composition produce an absolute increase in the demand for labour, but a decrease in this demand in relation to the total mass of the social product. And the consequence is ‘a relatively redundant working population, i.e., a population which is superfluous to capital’s average requirements for its own valorization, and is therefore a surplus population’ (782).

‘The working population therefore produces both the accumulation of capital and the means by which it itself is made relatively superfluous; and it does this to an extent which is always increasing. This is a law of population peculiar to capitalist mode of production’ (783-4).

This superfluous population Marx calls the ‘industrial reserve army,’ to which he attaches a great deal of importance. It becomes not merely ‘a lever of capitalist accumulation,’ but also ‘a condition for the existence of the capitalist mode of production.’ He means by this that the rapidity and multi-faceted growth of accumulation depends on the availability of a ready supply of workers. But more: the increase in productivity and in the organic composition of capital constantly produce and renew this ‘reserve army,’ creating a constant source of cheap and ‘disposable’ labour.

But the size of this labour supply, he says, cannot be left to the natural processes of procreation, and so he points to other ways to increase the supply of labour-power: the use of the threat of unemployment to ‘encourage’ the production of more value for the same wage for those employed (788), by lengthening the working-day and intensifying labour (789). And this is not to mention the increased use of child labour, other forms of cheaper labour-power.

(See also: L. Foerstal (ed.) (1996). *Creating Surplus Populations: The Effect of Military and Corporate Policies on Indigenous Peoples*.)

But he also attributes the very structure of the ‘*floor*’ on wages and the *rise and fall* of wages across the system to the waxing and waning of this superfluous population. Here is what he writes:

‘Taking them as a whole, the general movements of wages are exclusively regulated by the expansion and contraction of the industrial reserve army, and this in turn corresponds to the periodic alternations of the industrial cycle’ (790).

And attempts on the part of workers to organize trade unions to offset their competition for jobs and to build organizations between the employed and unemployed are met with resistance by the corporations and their hired hands, the economists, to promote the ruse of ‘the law of supply and demand.’ Supply and demand of labour-power has always been manipulated by the state and/or corporate sectors by means of immigration policies, lengthening the working day, intensifying labour, hiring the less skilled, the innocent – there are few barriers except those fought for by workers and maintained by constant vigilance. Here is Marx:

‘...the degree of intensity of the competition amongst themselves depends wholly on the pressure of the relative surplus population; as soon as, by setting up trade unions, etc., they try to organize planned co-operation between the employed and the unemployed in order to obviate or to weaken the ruinous effects of this natural law of capitalist production on their class, so soon does capital and its sycophant, political economy, cry out at the infringement of the “eternal” and so so speak “sacred” law of supply and demand’ (793).

4. Different Forms of Existence of the Relative Surplus Population (794)

Marx begins this section by saying that every worker who at some point has been unemployed or temporally employed or part-time employed has been part of the relative surplus population. This ‘attraction and repulsion’ of workers by capital goes on with regularity and affects a very large percentage of the labour force. Not all are affected, however, for some have found themselves in or chosen a career or occupation that is relatively free of such insecurity, but this is always a minority. Still, there are occupations that offer a degree of security that the majority do not enjoy, for instance, in state sector jobs (the bureaucracy, policing, firefighters, healthcare, education, etc.), religious institutions, and the military. But the degree of security in these positions is relative to the amount of revenue that can be extracted from sources of income. For the majority of the labour force, however, the general insecurity of employment in the capitalist system is a constant preoccupation, not to mention a source of terror and social control.

In this section, Marx describes the categories that define the relative surplus population, and he ties the systemic growth of a surplus population to the ‘general law of capitalist accumulation.’ Given the significant changes to the structure of employment in the 21st century, his four categories – ‘the floating, the latent, the stagnant’ and the ‘lumpenproletariat’ -- would need ‘up-dating’ but not in general terms.

The ‘floating form’ refers to all those who have relatively steady employment that might last for years, or even the span of a working-life. During the era of the Fordist mode of production (roughly 1945-1980), it was relatively common for a substantial part of the labour force to have a working-life of steady work, with living wages and pensions at the end. Given the permanent on-going revolution in technology that now characterizes the economy, the long-term jobs of the Fordist period are no longer possible – in any line of work (794-5).

The '*latent form*' refers to all those potential workers who have not been deprived of their means of production (e.g., indigenous peoples), or exist outside the capitalist labour market. In Marx's day he was referring largely to agricultural labour when agriculture had not yet been completely capitalized. There are nations in which agriculture still remains in the hands of small farmers, and in some places there has been a bit of a resurgence of small farms, but for the most part agriculture has been capitalized (795-6). We might also include here women as 'home-makers,' youth in school, the military, etc.

The '*stagnant form*' refers to all those with 'extremely irregular employment.' And the '*lumpenproletariat*' is the stratum in which we find the obvious casualties of the system (797).

At the end of the 20th century, it was becoming clear that the new modes of production employing computers in every aspect of production and distribution was transforming the world of work – in ways that fit very well the analysis of Marx. By the early 21st century, the idea that all work was becoming a form of **precarious labour** was becoming a reality. Even the term, **the precariat**, was born to describe the growing number of workers who could find nothing but temporary jobs. Governments had already begun in the 1980s and 90s to amend labour codes, employment standards, and minimum wages to encourage such forms of employment. Today the only growth in employment is in the form of precarious labour: in education, healthcare, private policing, military deployment, corporate administration, etc. etc. The 'gig economy' is an expression that captures the present labour market conditions.

(See: Guy Standing. (2011). *The Precariat, The New Dangerous Class*, London: Bloomsbury; and J. B. Foster, et al (2011). 'The Global Reserve Army of Labor.' *Monthly Review*. Vol. 63. No. 6.)

Here is how Marx sums up the 'general law of capitalist accumulation:'

'The greater the social wealth, the functioning of capital, the extent and energy of its growth, and therefore also the greater the absolute mass of the proletariat and the productivity of its labour, the greater the industrial reserve army.'

In other words, the more that productivity increases the greater the misery of the working class and the greater the proportion of the working class that is impoverished (798).

'This is the absolute general law of capitalist accumulation.' Marx writes, but adds a caveat to the effect that this law is mitigated by a host of factors that ameliorate its effects. Such mitigating factors today might include: food banks, soup kitchens, welfare payments, unemployment insurance, temporary housing, overnight shelters, second-hand clothing, etc. The system itself has no way to address these issues except in these haphazard, temporary, charitable forms -- all completely inadequate for the task and without broader planning or policies for the continuing expansion of precarious work.

With the advent of computer-aided robotized production and distribution, wide-spread applications of artificial intelligence, industrial agriculture, electronic money or crypto-currency, the question now before us is no longer the size of the industrial reserve army, but the possibility of eliminating work, and with that the foundation of entire system.

(On this theme, see these books, written already in the 1990s: J. Rifkin (1995). *The End of Work*. New York: Putnams; and S. Aronowitz and W. DiFazio (1994). *The Jobless Future*. Minneapolis: University of Minnesota Press.)

5. Illustrations of the General Law of Capitalist Accumulation (802)

Marx has made his point about the end point of the development of capitalism. It would not be a stretch to say that we are living through this period now in the early 21st century.

In this final section to Part Seven, Marx dedicates over 60 pages to giving examples of the effects of the ‘general law.’ On the one hand, he shows the increase in wealth, which today we could point to the growing GDP across the world that benefits the rich (even during the crises of 2008-9 and 2019-21; he also describes the rise in the inequality of wealth, which today has risen to levels that place the better part of global wealth in the hands of a small handful of people; and he shows that investment in productive industry continues to grow.

At the same time, using contemporary examples, global wage levels continue to fall or stagnate; precarious labour becomes all that most can hope for; hunger and homelessness expand everywhere; forms of ‘nomadic’ labour become normalized; union density falls across the globe; the working classes are consciously divided by racism and ideological obfuscation; and war-like provocations dominate the international arena.

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PART EIGHT: SO-CALLED PRIMITIVE ACCUMULATION

Part 8 is about the history of the development of capitalism, or the historical changes that took place that provided the preconditions of the capitalist mode of production. In general, this amounted to the accumulation of sufficient amount of money to allow for the purchase of $c+v$, and the ‘freeing’ of labour from pre-capitalist property relations (serfs, free farmers, guild members, etc.) and ownership/control over the means of production.

CHAPTER 26: THE SECRET OF PRIMITIVE ACCUMULATION

This short chapter introduces the question of primitive accumulation – or better translated as ‘original accumulation.’

Marx begins (p. 873) with the point that capitalist accumulation presumes some prior accumulation – ‘an accumulation which is not the result of the capitalist mode of production but its point of departure.’

Marx suggests that mainstream political economy addresses this question by asserting the existence ‘long ago’ of ‘two sorts of people; ...the diligent, intelligent and...frugal’ -- and the lazy.

This is the stuff of children’s tales and folklore but has nothing to do with real history. ‘In actual history, it is a notorious fact that conquest, enslavement, robbery, murder, in short, force, play the greatest part [in accumulating wealth in pre-capitalist times].’ ‘...the methods of primitive accumulation are anything but idyllic’ (p.874).

This pre-capitalist accumulation of money, gold, silver, and commodities are, however, not the end of the story. This accumulated sum must be valorized, i.e., augmented. And for this to happen there must be a ‘meeting’ of those who possess these sums *and* those who have nothing to exchange but their labour-power. A critical mass of wealth and a critical mass of ‘free’ labour are the prerequisites of the CMP.

There must be ‘free workers’ for this to happen – free in two senses: free from pre-capitalist property relations (slavery, serfdom, guilds, bondage of any sort, and petty commodity production) *and* ‘free’ from their means of production. Where there is a ‘polarization of the commodity-market into these two classes, the fundamental conditions of capitalist production are present. The capital-relation presupposes a complete separation between the workers and the ownership of the conditions for the realization of their labour.’

There are two transformations here: ‘the social means of subsistence and production are turned into capital, and the immediate producers are turned into wage-labourers.’ **‘So-called primitive accumulation, therefore, is nothing else than the historical process of divorcing the producer from the means of production.’**

Marx goes on to argue that the ‘economic structure of capitalist society’ grows out of ‘the economic structure of feudal society’ and that the ‘dissolution of the latter set free the elements of the former’ (p.875). The structure of labour under feudalism had to be dismantled before labour could be ‘free’ for exploitation by capital. For capital to have the means of valorization, ‘great masses of men are suddenly and forcibly torn from their means of subsistence, and hurled onto the labour-market as free, unprotected, and rightless proletarians. The expropriation of the agricultural producer, of the peasant, from the soil is the basis of the whole process’ (p.876).

‘And this history, the history of their expropriation, is written in the annals of mankind in letters of blood and fire’ (p.875). Of course, the mainstream writing of ‘history’ has expunged these realities out of the record.

Marx could easily have argued that this history is continuing: the current expropriation of peasants, small farmers, fishers, aboriginal peoples -- in fact, social units that retain a proprietary relationship with means of production (mostly in Latin America, Africa, Asia, but also elsewhere) must be divested of their means of production so that the land and water can be 'capitalized,' and these producers made into workers.

The 'secret'? -- the dispossession of the producers from their means of production *and* the dissolution of all property relations other than private property.

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CHAPTER 27: The Expropriation of the Agricultural Population from the Land

Marx begins by making the point that pre-capitalist land holding in England was characterized by small peasant holdings. This form of wealth 'ruled out wealth in the form of capital' (p.878). It was necessary to transform this mass of small holders into a mass of "'free" and unattached proletarians' to constitute 'free' workers and a labour-market for use by capital.

This process of creating a working class takes place over several centuries. Part of the transformation arises from the relation between consolidation of royal power and the dissolution of manor, baronies, lordships, lesser nobility -- resting on decayed feudal rights. Decaying feudalism transformed the nature of land-hold -- the expansion of private property.

The enclosures that took place over several centuries meant the usurpation of common lands -- lords claimed rights over common lands as did the peasants. But the former was the more powerful and so the expropriation of peasants from the land -- for sheep pasturage; it was the transformation of land from 'means of labour into capital' (p.881).

In the 16th century, the Reformation in England caused the dissolution of the monasteries, a process that 'hurled their inmates into the proletariat.'

Systematic decline of yeomanry, class of small, independent petty commodity producers. They were gone more or less by 1750 (p. 883).

The English Parliament abolished feudal tenure in 1660 with the passing of the *Tenures Abolition Act*; here was the legal transformation of feudal relations into private property (p. 884). (The French abolished feudal forms of property only after the Revolution of 1789, incorporating clauses in the constitution pointedly eliminating all forms of property except private property.)

There is also the transformation of state lands -- theft by capitalist land owners. (pre-capitalist form of neo-liberal policies). They were sold at low prices, given away, changed by legislation, or seized by force.

In short, over many generations church lands, state lands, small-holdings, common land were all privatized and made into capital.

Marx's summary passage:

‘The spoliation of the Church’s property, the fraudulent alienation of the state domains, the theft of the common lands, the usurpation of feudal and clan property and its transformation into modern private property under circumstances of ruthless terrorism, all these things were just so many idyllic methods of primitive accumulation. They conquered the field for capitalist agriculture, incorporated the soil into capital, and created for the urban industries the necessary supplies of rightless proletarians’ (p.895).

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CHAPTER 28: Bloody Legislation against the Expropriated since the End of the Fifteenth Century. The Forcing Down of Wages by Act of Parliament.

In this Chapter, Marx traces some of the historical uses of the state (legislation) to discipline the nascent working class. That is, as capital evolved so did the working class, but this making of the working class – a process taking many centuries – required coercion to force the dispossessed into accepting their fate as wage-labour and to ensure that their ability to resist the oppression of capital was outlawed or undermined.

This process continues to this day; every generation of workers must be indoctrinated anew to accept the fate of wage-labour and the dictatorship of the workplace.

The first point that Marx makes is that during the long period of the breakdown of feudal relations, the enclosure of the commons, the theft of Church lands, and so on, far more of the labouring classes were ‘freed’ from their means of production than the incipient capitalist class could absorb. Hence, there were many generations of the forced creation of large numbers without any means of support – seen as vagabonds, thieves, beggars, outcasts. This occurred throughout Britain and Europe, albeit at different times.

The legislation enacted was intended to punish the migrant landless and propertyless and to force them back to their place of birth and usually some form of forced labour.

‘Thus were the agricultural folk first forcibly expropriated from the soil, driven from their homes, turned into vagabonds, and then whipped, branded and tortured by grotesquely terroristic laws into accepting the discipline necessary for the system of wage-labour’ (p.899).

Once the system has become fully capitalist -- that is, when capital has penetrated and dominated every branch and sector of industry – the working class does not need the same forms of coercive legislation. ‘The silent compulsion of economic relations sets the seal on the domination of the capitalist over the worker.’ Direct extra-economic force is

still of course used, but only in exceptional cases. In the ordinary run of things, the worker can be left to the “natural laws of production”, i.e., it is possible to rely on his dependence on capital, which springs from the conditions of production themselves, and is guaranteed in perpetuity by them’ (p.899). But this silent compulsion has not always been there and more open forms of compulsion have had to be employed.

It follows that the next point Marx makes is that ‘during the historical genesis of capitalist production...the rising bourgeoisie needs the power of the state, and uses it to “regulate” wages, i.e., to force them into the limits suitable for making a profit, to lengthen the working day, and to keep the worker himself at his normal level of dependence. This is an essential aspect of so-called primitive accumulation’ (p.899-900).

Laws were passed to regulate wages and to outlaw workers combinations (unions) formed to limit competition amongst workers, and to demand higher wages or better working conditions (pp 900-904).

‘In the long period of manufacture properly so called [the period of the formal subordination of labour to capital], the capitalist mode of production had become sufficiently strong to render legal regulation of wages as impractical as it was unnecessary; but the ruling classes were unwilling to be without the weapons of the old arsenal in case some emergency should arise’ (p.902).

Establishment of a legal minimum for wages (for agricultural workers) was a big step in recognizing the nature of wages as representing the value of labour power– the value of the means of subsistence necessary to reproduce the worker. Previously, there were only legal limits put on the maximum for wages.

Laws were promulgated against the formation of workers ‘combinations’ – the early word for trade unions. Marx makes the point that even when the state finally made it legal to combine into a trade union and bargain with an employer, the British Parliament placed the law into a branch of law that was interpreted and overseen by ‘justices of the peace’ who were more often than not appointed from the class of manufacturers.

Even under French law, based on its declarations about the ‘rights of man and citizen,’ workers were not extended the rights to combine or to strike. It was after all a bourgeois revolution – a revolution to install the bourgeoisie in power and to create a political system that conformed to the rule of capital.

‘During the very first storms of the revolution, the French bourgeoisie dared to take away from the workers the right of association that they had just acquired. By a decree of 14 June 1791, they declared that every combination by the workers was “an assault on liberty and the declaration of the rights of man”, punishable by a fine of 500 livres, together with deprivation of the rights of an active citizen for one year. This law, which used state compulsion to confine the struggle between capital and labour within limits convenient for capital, has outlived revolutions and changes of dynasties. Even the Terror left it untouched. It was only struck out of the Penal Code quite recently’ (p.904).

Later, the law allowed for the formation of corporations [capitalist private property] but continued to restrict the formation of ‘corporations’ for the workers [capital as labour-power] – under the guise that the latter would restrict the freedom of the former that was guaranteed by the French Constitution.

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CHAPTER 29: The Genesis of the Capitalist Farmer

In this Chapter, Marx traces the development of capitalist farming in Britain. This process takes many different forms in the countries of Europe and is very important to understanding the different character of capitalism in different countries. But there is little in this Chapter that is ‘generalizable’ – i.e., no general pattern can be discerned and applied to other national developments of capitalism, other than that farming is capitalized, in one way or another.

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CHAPTER 30: Impact of the Agricultural Revolution on Industry.
The Creation of a Home Market for Industrial Capital

In this Chapter, Marx points to some interrelated implications of the creation of the working class.

One implication is that the ‘freeing’ of part of the agricultural population meant that the lands that they farmed and the products that they produced now became owned and produced by capitalist farmers and manufacturers. As Marx puts it: ‘The expropriation and eviction of a part of the agricultural population ... set free for industrial capital the workers, their means of subsistence and the materials of their labour...’ (p.910).

The second implication is that these changes also created ‘the home market.’ ‘Previously a mass of small producers, working on their own account, had found their natural counterpart in a large number of scattered customers; but now these customers are concentrated into one great market provided for by industrial capital.’ ‘And only the destruction of rural domestic industry can give the home market of a country that extension and stability which the capitalist mode of production requires (p.911).

This point is eminently applicable to the current stage of globalization – global capital in the form of TNCs must complete the task of separating the world’s remaining rural population from its domestic ties to the land and water; and by capitalizing these natural means of production, forcing the people from the land, completing the creation of the global working class, of the global market for consumer goods, and of the capitalist penetration into every sector and geographic corner of the world.

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CHAPTER 31: The Genesis of the Industrial Capitalist

Here, Marx continues to lay out the dimensions of ‘primitive accumulation.’ This is one chapter that should be read closely – there is much more in it than meets the eye, and much that is very applicable to today’s conflicts.

Marx begins by pointing out that there were two forms of capital before the capitalist mode of production became the prevailing mode of production – usurer’s capital and merchant’s capital (p.914). But these were not very instrumental in the genesis of industrial capital – because they were constrained by the fetters of feudalism and locked in the sphere of circulation.

What was necessary for there to be industrial capital? – the main elements of ‘primitive accumulation’ are here laid out.

‘The discovery of gold and silver in America, the extirpation, enslavement... of the indigenous population of that continent, the beginnings of the conquest and plunder of India, and the conversion of Africa into a preserve for the commercial hunting of blackskins... [Then] ‘the commercial war of the European nations...

On the whole, the accumulation that precedes industrial capitalism combines the following: ‘the colonies, the national debt, the modern tax system, and the system of protection.’ Key to all of these means of accumulation is the state (p.915).

Marx, then, over the next few pages, outlines the vast destruction that took place in the colonies and the vast fortunes made through the violence of the colonial system – no European country can be portrayed as less or more violent than another; they all carried out destruction of human beings on a vast scale.

The *colonial system* (p.918) created new markets (and monopoly markets) for the mother country. The profits generated in this way complemented the looting and enslavement of non-Europeans in the generation of capital to be sent back to the European masters.

The ‘*system of public credit*’ was another enormous boost to accumulation. The national debt is mechanism for marshaling huge sums by the state for use by national capital. The debt, in turn, becomes a significant means for the control of the state by capital – loans must be paid back to the financial corporations that advanced them and their approval of state policies will determine future loans, their timeliness, and rates of interest. ‘The public debt becomes one of the most powerful levers of primitive accumulation’ (p.919). This public debt helps to consolidate an international system of credit.

The *national debt* also becomes the rationale for the coming of the modern tax system. Taxes are the means by which the debt is serviced; and the tax base (population size, kinds of tax, rates of taxation) is the revenue base on which more or less money may be borrowed by the state. The larger the tax base, the greater the possibility of public debt.

The same holds true today. The public debt is an essential part of the capitalist state; the capitalist mode of production would likely not have survived the various economic recessions, depressions, and crises over the last 200 years without the use of state debt.

The ‘*system of protection*’ is reference to state laws to protect nascent national industries from competition from other industrial nations – a necessary role for the state to create national industrialization.

Marx ends the chapter with a sentence that has been widely quoted:

‘If money...’ comes into the world with a congenital blood-stain on one cheek,” capital comes dripping from head to toe, from every pore, with blood and dirt’ (p.926).

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CHAPTER 32: The Historical Tendency of Capitalist Accumulation

If Chapter 25 is the culmination of the argument of *Volume One* (the tracing of the development of value from accidental exchange-value to capital and the credit system), this chapter is the completion of Marx’s grander view of the ultimate fate of capitalism. It is short, but it should be read carefully. Here is found his depiction of the ‘negation of the negation.’

Here Marx makes the general argument of the whole text by means of outlining the transformation of private property. Private property in the form of individual private holdings (petty-commodity producers) is ‘negated’ by the coming of capitalist or corporate private property. The two are incompatible in principle, although they do coexist uneasily in reality; yet capitalist private property exists only by absorbing, usurping, destroying, or otherwise eclipsing private property in its petty-commodity non-corporate form.

But the continued development of corporate (capitalist) private property leads in the direction of the exacerbation of the law of capitalist accumulation (Chapter 25), and so to the necessary further transformation, or ‘negation,’ of capitalist private property. On page 929, Marx makes the argument of the ‘negation of the negation’ (one of the laws of the dialectic) – the private property of the petty-commodity producer is ‘negated’ in the coming of the private property of the corporation, but this capitalist private property in turn is ‘negated’ in its transformation into ‘possession in common’ of all the means of production, and it follows, all the product; in a word, it is transformed into ‘social property’ (p.930).

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CHAPTER 33: The Modern Theory of Colonization

This final chapter to Capital has produced a certain perplexity among many commentators. It might be because the point Marx wants to make is made somewhat indirectly. But the objective of the chapter is to emphasize a relation that even some Marxists miss, and mainstream economists certainly do, and that is that capital, in its long development (to date at least), does not expand alone; it lives and grows only through the exploitation of labour. There is no capital without wage-labour, and no wage-labour without capital – a fact ‘discovered’ by Wakefield in the colonies.

Marx begins the chapter by pointing out that there are two types of private property: individual (petty-commodity producers) and capitalist (corporate private property). They are antithetical; the second must ‘annihilate’ the first if it is to grow, and it can only grow with the eclipse of the first. He is pointing to the fact that a class of independent commodity producers cannot coexist with the capitalist mode of production if the latter is to flourish because the existence of such a class inhibits the growth of labour for capitalist exploitation. Capital needs wage-labourers who are ‘freed’ from their means of production and who have no recourse other than to seek employment, where their exploitation and hence the expansion of capital takes place.

The subject of this chapter has a certain relevance to the history of Canada – as it does to all the former British colonies. Marx uses the insights of a near contemporary, Edward Gibbon Wakefield, a political economist who wrote about the problem of labour supply in these colonies, to show how the secret of capitalism was discovered in the colonies (p.932). The problem was that no matter how much capital was exported to the colonies, without a labour force to transform this capital into products embodying surplus, the capital remained stagnant. While there was emigration from the ‘mother country,’ the ready availability of land meant that immigrants would settle on the land as soon as possible even with their minimum resources, preventing or limiting the creation of a working class for exploitation while building a class of small farmers and artisans (petty commodity producers).

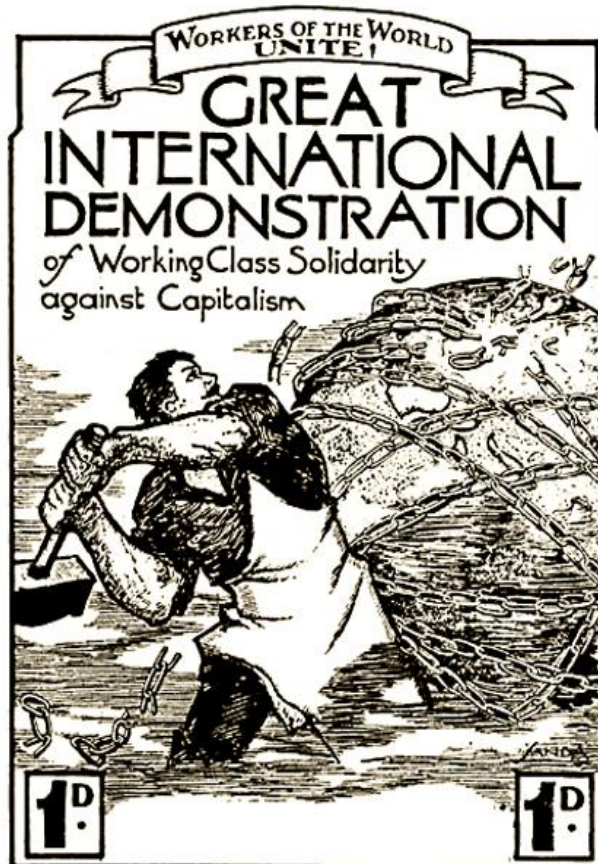
Wakefield devised a set of policies, some of which were implemented in Canada, among other colonies, in the early 19th century, that set an ‘upset’ price on the land, making it necessary for the immigrants to work for a few years before leaving wage-labour to buy their own land to work for themselves. In this way, capital was provided a supply of labour before the immigrants could leave the labour market for petty commodity production – small farms or artisanal manufacturing. Even in these positions, however, they were exploited by the merchants through the sale of the product of their labour, rather than their labour-power. Later, the railroad companies and banks dominated the intermediary roles between petty-commodity producer and wholesaler/retailer, squeezing surplus-value out of the petty-commodity producers.

The answer to why this chapter is the last in the text is found in this point: the ‘secret’ or the essence of the capitalist mode of production is the necessity of a working class that has no option but to sell its labour-power. Without this, there is no capitalism.

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MAY DAY, 1932



In 1932, many workers across many nations were still celebrating May 1st as the day of labor struggles, despite many governments' efforts to shift 'labour day' to early September. The association between May 1 and socialism was uncomfortable for both union leadership and governments.

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A Short Summary of Volume One

To provide an overview or general outline of the argument in *Volume One*, here below is **a short summary of the broad contents of the 8 Parts of *Capital***.

The first and fundamental point to grasp is that *Volume One* is comprised of a long historical and logical but distinctly non-linear journey – the path taken by the development of value from the first isolated exchanges of goods and services between human communities to world-wide chains of production and distribution.

What is value? All that humans produce have both use-value and value; use-value is the material and practical usefulness of a thing, and value is the amount of socially necessary labour-time expended in its production.

Why historical? Because this value in the market or process of exchange of products makes its appearance as exchange-value, and as exchange-value it passes through a long process of developing markets over several thousand years, appearing first in isolated exchange, then in barter form, then as credit, as money, and finally as capital, retaining all previous forms as it evolves. The development follows a ragged, non-linear path predicated on or framed by the uneven changing structure of the prevailing technology (*Volume One*: pp. 286-7, 325).

Why logical? Because every step in this long development has a reason, a logic to it, that can be uncovered by the use of the mind, and that Marx elucidates.

Why non-linear? Because the steps are defined by incremental changes in technology and technique that arise from a dynamic between technology and needs and that occur in different places at different times in answer to different needs. This development takes place over long periods punctuated by fundamental transformations, changes that give advantages in conflict (endemic in history) and that increase production, efficiency and distribution, allowing for increased population, trade, and accumulated wealth. In general, these developments do not go in reverse, except in the literature of lament for a romanticized past or in utopian movements attempting to escape the present. There is no implication that these developments take a smooth or linear path.

This historical and logical journey is the path taken by **value**, i.e., abstract labour, as it develops and comes to dominate and determine the very character of our social relations. As value becomes exchange-value, then money, credit, capital, it takes on a life of its own; humans become increasingly the *personified embodiments* of the demands of the product their labour; and social relations become relations between things. *Value, particularly as capital, comes to be the 'dominant subject.'*

Each of the 8 'Parts' of *Capital* represent the steps, and associated developments, in this history.

Part One: Marx deduces the substance of value as labour, and the two kinds of labour that produce use-value and value (concrete and abstract), and then traces the development of value from its first appearance in isolated exchanges to the money form. He then analyzes the implications of money and markets on our social relations in the section on 'commodity fetishism.'

Part Two: here he examines the transformation of money into capital and raises the question of the **source of surplus-value**, the value that is produced over and above the value of wages and the requirements of reproduction.

Part Three: having shown that new value does not arise in the market, Marx turns to the sphere of production. Here he examines how new value ($v+s$) is produced, and how the growth or accumulation of capital demands ever more surplus-value, and how it does this by expanding the length of the working-day by every means possible, physically and mentally exhausting the working-classes.

Part Four: here he analyzes the response of capital to the impossibility of further extensions of the working-day, namely, the introduction of machinery and the continuous expansion of the use of science and technology, among other ways to transform the labour process and increase the extraction of surplus-value.

Part Five: examines how in its drive for ever-increasing amounts of surplus value, capital combines both the lengthening of the working day and the continuous introduction of ever-more productive technology and expansion of the application of science. At this point, the capitalist mode of production (CMP) arrives, i.e., capital has now come to dominate all spheres of production and reproduction.

Part Six: looks at the wage-form, i.e., the structure of worker remuneration, and how it disguises the source of surplus-value, providing the illusion that the worker is paid for the full time at work. Marx also shows that the different forms of wages allow for many sorts of manipulation to squeeze out of the worker as much surplus-value as possible.

Part Seven: contains the culmination of Marx's argument in *Capital*, namely, the 'general law of capitalist accumulation.' Here he examines the effects of capital accumulation (growth) on the fate of the working-class. The arguments rest on his notion of the 'organic composition of capital,' i.e., the ratio of past to living labour, or this division of value ($c&v$) in all commodities as determined by the level of technological development. The arguments remain applicable to the contemporary predicament of the working-classes around the world, as exemplified by the 'gig economy' and the continuous growth of precarious labour. The drive by capital to augment itself ultimately leads to its own demise – the production of use-values without value.

Part Eight: returns the argument to the origin of capital, i.e., in 'primitive accumulation,' as found in the era preceding the coming of the capitalist mode of production. In this section, Marx examines all the more or less violent and bloody expropriations of pre-existing wealth, and dispossessions of the means of production from the producers. He ends this Part, and the book, by pointing out that capital exists only by virtue of the productive labour of workers, i.e., the production of surplus-value; capital and labour are essential to each other.

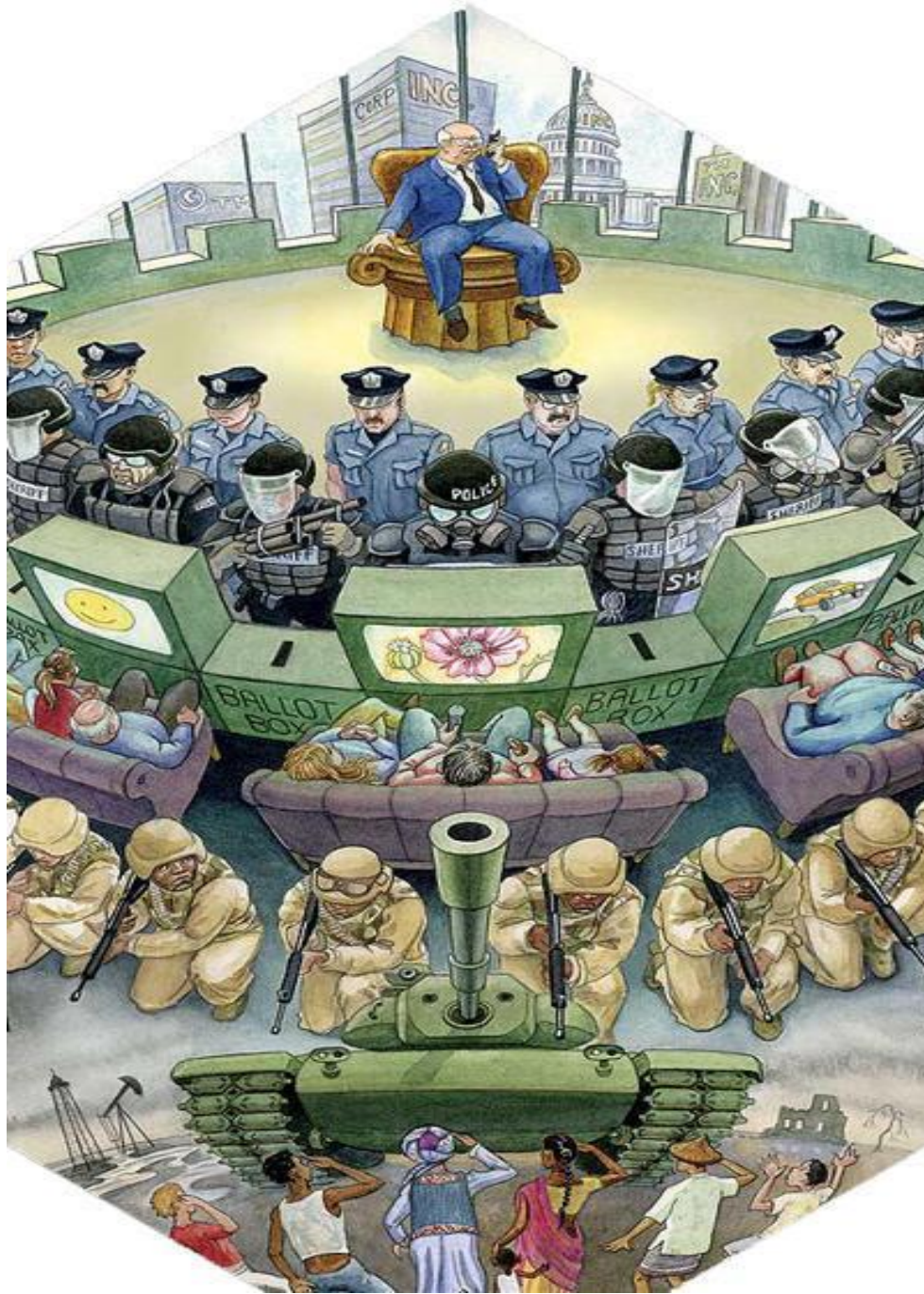
Marx provides numerous examples over many pages throughout the text to illustrate his arguments. But latterly, with the rise of robotic production and artificial intelligence, the same arguments would appear to need some revision. What happens when there is no longer the need for living labour, and robots do it all? In fact, Marx began to address these very questions in the *Grundrisse*, his long unpublished notebooks, that contains many sections reflecting on how the combination of science and technology would become so productive as to eliminate the need for workers. If the composition of value in a commodity is past and living labour, and their ratio is determined by the level of technological development achieved, then, robotic production of goods and services reduces both past and living labour while increasing productivity. Once machines produce machines and automatic systems prevail, we can foresee the end of the production of things with value. This dilemma for the CMP is today apparent, hence, these small sections in his notebooks have attracted much attention in the last few decades.

(K. Marx, *Grundrisse*, Harmondsworth: Penguin Books, 1973. See: pp. 690-5, 704-12, etc.)

G. Teeple (2018)

OLD VIEW





NEW VIEW

SA 351 CLASSICAL MARXIST THOUGHT

[Course on Capital, Volume One]

Instructor: G. Teeple

GUIDE QUESTIONS

GUIDE QUESTIONS TO CHAPTER ONE

1. In the first sentence of Chapter One, Marx uses the concept of 'wealth.' What does it mean, and how does it differ from commodities?
2. What is a commodity and why does Marx begin his analysis of capitalism with it?
3. What are the elements of Marx's deduction of exchange-value as crystallized labour?
4. How does Marx distinguish between the concepts of use-value, exchange-value, and value?
5. What is the relation between value and 'socially necessary labour time' and between value and productivity?
6. 'Now we know the substance of value. It is labour. We know the measure of its magnitude. It is labour-time. The form, which stamps value as exchange value, remains to be analyzed.' (p. 131, Vintage Edition)
Why did Marx feel it necessary to distinguish the substance of value (Section 1 of Chapter 1) from its form (beginning of Section 3 of Chapter 1)?
7. Why is a certain level of complexity in the development of the division of labour a necessary prerequisite for the production of commodities?
8. Marx considered 'the two-fold character of labour' (concrete labour and abstract labour) to be one of the best points in Capital. What is the difference between concrete and abstract labour, and why did he attach such importance to the distinction?
9. What is the relation between simple average labour and complex labour?
10. In what sense is the 'simple, isolated or accidental form of value' the 'germ of the money-form'?
11. Explicate the difference between the relative and equivalent forms of value? Why does Marx spend so much time analyzing the equivalent form?
12. Describe the stages of development of money from simple commodity exchange.

13. What does Marx mean by the fetishism of commodities? What are its causes and what role does it play in society?
14. In Section 4 of Chapter 1 (Fetishism...) Marx makes brief reference to the nature of consciously socialized production and distribution. Draw out what he describes and contrast it with the capitalist mode of production and distribution.

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GUIDE QUESTIONS TO CHAPTER TWO

1. In what sense is 'economics' (the study of the exchange of commodities merely as things) an illusion?
2. '...we shall find, in general, that the characters who appear on the economic stage are merely personifications of economic relations. It is as the bearers of these economic relations that they come into contact with each other' (p. 179).
How does Marx arrive at this conclusion?
3. 'A born leveler and cynic, it [the commodity] is always ready to exchange not only soul, but body, with each and every other commodity, be it more repulsive than Maritornes herself' (p.179).
Why are commodities 'born levelers and cynics'?
4. 'Money necessarily crystallizes out of the [development of the] process of exchange...' (p.181) Why? What is Marx's argument?
5. How and 'where' do products become exchange-values? (p. 181-2)
6. Why is money 'by nature gold and silver'? (p. 183-4)
7. In what sense is money a commodity and how does it differ from other commodities?
8. How is it that money can be 'mistaken' for 'a mere symbol' and why is it not that?
9. 'The riddle of the money fetish is therefore the riddle of the commodity fetish, now become visible and dazzling before our eyes' (p.187).
What 'riddles' are these, and how are they now 'visible'?

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GUIDE QUESTIONS TO CHAPTER THREE

1. Why is this chapter entitled 'Money or the Circulation of Commodities'?
2. What is the difference between the total form of value, the general form of value, and

the money form?

3. Distinguish the following functions of money: a) measure of value; b) standard of price; c) circulating medium; d) means of payment; e) store of exchange value (hoard); f) world currency.
4. Why is it that price and magnitude of value do not necessarily coincide? (p. 196)
5. Does the rise of paper money destroy the relationship between money and its value?
6. What 'things' can have a price but no value and why is this possible? (p. 197)
7. In the circulation of commodities, Marx uses the concept of 'metamorphosis' to describe the changes from C to M and M to C. Why is this an appropriate use of the term?
8. 'Money has no smell.' What does this mean?
9. How does the 'circulation of commodities' differ from 'direct exchange,' and what effect does the historical arrival of the former have on the latter? (p. 207)
10. What does Marx mean by the phrase: 'Circulation sweats money from every pore'? (p. 208)
11. Why does the separation of sale from purchase and the intermediation of money bring the 'possibility of crisis'?
12. What factors determine the quantity of circulating medium (money)? (p.213) (See also pages: 217-219.) Marx argues that the quantity of money in circulation is a dependent variable. Why dependent and not independent?
13. Why and how is it that the nominal and real content of coins can be separated?
14. Why the 'lust for gold' and not lust for some other commodity?
15. 'Thus the social power becomes the private power of private persons.' (p.230) What does this mean?
16. With the rise and development of money also comes the creditor and debtor. Why?
17. What is the relationship between the development of money as a means of payment and the possibility of monetary crisis?
18. With the rise of money as a means of payment comes 'credit-money' or the phenomenon of credit, and coined money is 'mostly relegated to the sphere of retail trade.' Why? (p. 238)

19. What is the function of hoards?

20. Why does world money rise; why does it take the form it does; and what is the function of 'reserve funds' or hoards in international trade?

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GUIDE QUESTIONS TO CHAPTER FOUR

1. Why so much analysis of money in these first 100 or so pages of Capital?
2. What do these two formulas [C-M-C and M-C-M] represent? Outline the differences between these inverted circuits.
3. What does Marx mean by 'valorization'? In which circuit does it happen and what are its implications?
4. In the circuit M-C-M, 'Capital is money; capital is commodities.' (p.255) How can capital be both M and C?
5. Describe the characteristics of the capitalist and explain why he/she must embody such traits.

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GUIDE QUESTIONS TO CHAPTER FIVE

1. Why is there no surplus-value issuing from the simple exchange of commodities?
2. Why is simple circulation seen by some as the source of s-v, or why does exchange appear to produce s-v?
3. Why is it mistaken to see merchants' capital or usurers' capital as if its source were in fraud or cheating?
4. What is the source of value and, it follows, of s-v?

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GUIDE QUESTIONS TO CHAPTER SIX

1. What does Marx mean by labour-power? and what are the pre-conditions of labour power becoming a commodity?
2. Why does Marx say that for money to be transformed into capital the money-owner

- must find the 'free worker available on the commodity-market'?
3. If the value of labour-power is determined by the labour-time necessary for the reproduction of the worker and this in turn the labour-time necessary for the production of the means of subsistence, what constitutes the 'means of subsistence'?
 4. How does Marx calculate the average industrial wage?
 5. Do you agree that one can specify a 'minimum limit to the value of labour-power'?
 6. In what sense do workers extend credit to their employers?
 7. What does Marx mean by the assertion that: 'The sphere of circulation or commodity exchange, within whose boundaries the sale and purchase of labour-power goes on, is in fact a very Eden of the innate rights of man.'?
 8. Why did Marx claim that labour itself had no value, and why did he insist that labour as a commodity should be termed labour-power or labour capacity rather than labour?
 9. What is the use-value of labour-power? What is the significance of the distinction between use-value and value as applied to labour-power?
 10. Why does Marx consider that the transition from simple commodity to commodity as product of capital (or from money as money to money as capital) come with the transformation of labour-power into a commodity?

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GUIDE QUESTIONS FOR CHAPTER SEVEN

a) The Labour Process

1. 'The use of labour-power is labour itself.' What does this mean? (p.283) What is the difference between labour-power and labour?
2. What is the difference between human labour and non-human (i.e., animal) activity?
3. Define the labour process.
4. How does Marx understand the notion of 'raw material'?
5. 'Different economic epochs' are distinguished by how things are made and what instruments of labour are used. Why?

6. In what sense is production also consumption? (p. 290)
7. What characterizes the labour process under capitalism?

b) The Valorization Process

8. What are 'two objectives' of the capitalist in the labour process?
9. In what sense do the means of production impart value to the commodity?
10. What is the source of surplus-value?
11. What is the difference between the 'process of creating value' and the 'process of valorization'?
12. The production process is the 'unity' of two factors -- what are they?
13. What is the relation of the 'two-fold character of labour' and the production of commodities?
14. How is that the capitalist can buy everything at its value (raw materials, equipment and labour-power) and still make a profit?

